

FUELLING PROGRESS SUSTAINING GROWTH

At Petron Malaysia, sustainability is not just a commitment – it is a responsibility we embrace to create a better future for all. As we fuel progress, we do so with care and concern for the environment, society, and the economy, ensuring that growth today does not come at the expense of tomorrow.

Anchored in our three key focus areas – advancing ethical business growth, protecting the environment and nature, and fostering societal well-being – we integrate sustainability across our operations, from reducing our greenhouse gas (GHG) emissions and adopting cleaner energy solutions to supporting communities and strengthening governance.

Our cover reflects this vision, highlighting the collective efforts of our employees, partners, and other stakeholders in building a more sustainable and resilient future. Together, we are committed to Fuelling Progress and Sustaining Growth for generations to come.

NAVIGATION ICONS

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Sustainability Report 2024

OUR VISION

As a progressive oil company in Malaysia, we aspire towards a sustainable, energy-secured nation where everyone's journey is fueled by opportunities for meaningful experiences.

OUR VALUES



OUR MISSION

We will achieve this by:

- Reliably providing premium products and services that exceed customer's expectations.
- Ensuring excellent customer experience enabled by technology and adapted to local communities.
- Developing and strengthening relationships with our stakeholders and partners towards shared growth and success.
- Enhancing our retail, distribution and refining facilities to achieve competitive advantage, sustainable supply chain and long-term viability.
- Managing business and operational risks effectively and reducing our impact on the environment.
- Creating an inclusive, nurturing and purposeful work environment.

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ABOUT THIS REPORT

THIS IS PETRON MALAYSIA'S 8TH SUSTAINABILITY REPORT.

This sustainability report, covering the financial year ending 31 December 2024, is Petron Malaysia's 8th standalone annual sustainability report. It underscores our ongoing efforts to strengthen sustainability across all facets of our operations, reflecting the progress we have made in addressing material priorities and creating long-term value. This report serves as the detailed version of the Sustainability Statement included in our 2024 Annual Report and is also available on our corporate website.

At Petron, sustainability is a key driver of how we operate and deliver value. Through our efforts, we aim to balance economic growth with environmental and social responsibility while ensuring that our business continues to create benefits for all stakeholders. We focus on integrating sustainable practices across our value chain, from responsibly sourcing materials to refining processes and delivering high-quality products and services.

As part of an industry with unique challenges, we understand the broader impacts of our operations. This awareness strengthens our resolve to innovate and improve by embracing strategies that not only mitigate risks but also generate positive outcomes. By adopting cleaner technologies, enhancing efficiencies, and fostering community partnerships, we aim to deliver sustainable value that extends beyond our business.

Our core values – Excellence, Customer Focus, Innovation, Teamwork, Ethics, and Safety – remain at the heart of how we grow and adapt. These principles guide us as we navigate challenges and ensure our efforts are aligned with the needs of our stakeholders and the expectations of a rapidly evolving world.

This 2024 report highlights the measurable progress we have achieved through strategic initiatives and the integration of sustainability into our daily operations. It demonstrates our commitment to creating a business that is resilient, forward-thinking, and focused on delivering lasting impact.

As we continue to evolve, Petron remains committed to building a sustainable future – one where value creation goes hand in hand with responsibility, innovation, and long-term growth.

SUSTAINABILITY IMPACTS



ECONOMIC



ENVIRONMENTAL



SOCIAL

ABOUT THIS REPORT

REPORTING PERIOD, SCOPE AND BOUNDARIES

This report provides an overview of the sustainability performance of the Petron Malaysia Group. It covers Petron Malaysia Refining & Marketing Bhd (PMRMB) and its sister companies, Petron Fuel International Sdn. Bhd. (PFISB) and Petron Oil (M) Sdn. Bhd. (POMSB), for the financial year spanning 1 January 2024 to 31 December 2024, unless otherwise specified.

REPORTING FRAMEWORKS

This Sustainability Report has been developed with reference to the most recent Global Reporting Initiative (GRI) Standards, including GRI 11: Oil and Gas Sector 2021. It also integrates principles and metrics from several key reporting guidelines and frameworks which include the following:

Bursa Malaysia Sustainability Reporting Guide (3rd Edition)

The Malaysian Code on Corporate Governance (MCCG) 2021, issued by the Securities Commission

The United Nations Sustainable Development Goals (UN SDGs)

These frameworks ensure that our report meets high standards of transparency and accountability while addressing the unique challenges and opportunities within the oil and gas sector.

ASSURANCE

To ensure the accuracy and transparency of our disclosures, this report has been internally reviewed on key Environmental data below by Petron Corporation's Internal Audit.

Climate Change and GHGs

Air Emissions and Pollution Management

Waste and Circular Economy

Water Management

Natural Resources

Biodiversity

We shall continue to enhance our data accuracy and quality to strengthen our disclosures moving forward. In addition, we plan to expand the scope of the review.

BOARD OF DIRECTOR'S APPROVAL

The performance of our Material Matters was presented and approved by the Board of Directors on 17 June 2025.

FEEDBACK

We value input from our stakeholders. For any feedback or enquiries, please contact us at corporate.sustainability@petron.com.my.



THE BUSINESS OF PETRON

OUR STRUCTURE

Petron Malaysia belongs to the Petron Group in the Philippines under the umbrella of San Miguel Corporation. Having established a presence in Malaysia for over a decade, Petron Malaysia Group (“the Group”) seamlessly integrates a global outlook with a strong emphasis on its regional presence in its operations and value creation. Today, the Group stands as Malaysia’s third-largest downstream provider in the oil and gas industry. Its operations include a refinery, a Palm Oil Methyl Ester (PME) biodiesel facility, fuel distribution terminals, and an extensive network of 800 service stations.

Petron Malaysia
Refining &
Marketing Bhd

» 73.4%

Petron Fuel
International
Sdn. Bhd.

» 100%

Petron Oil (M)
Sdn. Bhd.

» 100%

PMRMB

is a publicly listed company on the Main Board of **Bursa Malaysia Securities Berhad**



Our head office is located at **Damansara Heights, Kuala Lumpur**



We have **716 EMPLOYEES** under Petron Malaysia Group



THE BUSINESS OF PETRON

Our Business	Our Facilities	Our Products
	Port Dickson Refinery, Negeri Sembilan	Refined Products ▶ Motor Gasoline 100, 97 and 95 RON ▶ Automotive Diesel Oil (ADO) ▶ Liquefied Petroleum Gas (LPG) ▶ Jet Fuel ▶ Naphtha ▶ Low Sulphur Waxy Residue (LSWR)
	Lumut PME Plant, Perak	Distribution of our high quality fuels and LPG  Turbo Diesel Euro 5  Diesel Max Euro 5
	10 strategically located terminals ▶ Port Dickson Terminal, Negeri Sembilan ▶ Bagan Luar Terminal, Penang ▶ Kuantan Terminal, Pahang* ▶ Westport Terminal (JV-BHP), Selangor* ▶ KLIA Aviation Depot ▶ Klang Valley Distribution Terminal (JV-Petronas/Shell), Selangor ▶ Pasir Gudang Terminal (JV-Chevron), Johor* ▶ Sepangar Bay Terminal, Sabah* ▶ Sandakan Terminal, Sabah* ▶ Tawau Terminal, Sabah*	 Blaze 100RON Euro 4M  Blaze 97RON Euro 4M  Blaze 95RON Euro 4M  Petron Gasul

Note:

* PMRMB's sister companies' facilities.

THE BUSINESS OF PETRON

Our Business	Our Facilities	Our Products
 RETAIL	800 Service Stations nationwide >200 Allied Businesses at retail service stations	Our convenience store Treats, provides a rewarding one-stop shop experience to cater to customers' needs. 
 LPG	>200 Service Stations offer cash and carry LPG	Petron Gasul provides efficient energy for Malaysian households for cooking, lighting, etc. 
 INDUSTRIAL	Supplies fuels to mini-stations, transportation, power plants, plantations, airlines, lubes workshops	High quality selection of industrial products to fuel the Malaysian economy ▶ Automotive Diesel Oil (ADO) ▶ Gasoline ▶ Jet Fuel ▶ Bulk LPG ▶ Lubricants ▶ Biodiesel

MESSAGE FROM THE CHAIRMAN

“ DEAR VALUED STAKEHOLDERS,

Over the past year, Petron Malaysia has continued to make good progress in supporting the country's energy security and mobility while advancing our sustainability commitments. Despite a challenging landscape, we have remained focused on driving economic activity, ensuring energy accessibility, and fostering business resilience. Alongside our growth agenda, we have strengthened our efforts to reduce our environmental footprint, engage meaningfully with the communities we serve, and uphold strong governance practices. As we review the progress made, this report highlights our continued efforts to create long-term value for our stakeholders while embedding sustainability into our operations. ”



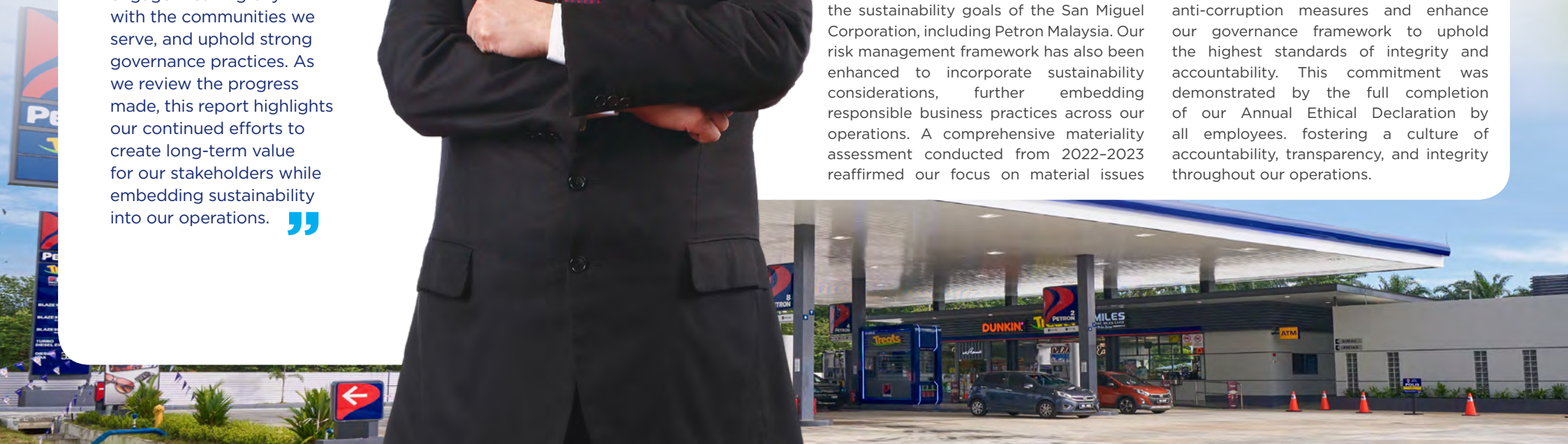
Strengthening Sustainability Governance For Long-Term Impact

We remain focused on enhancing our sustainability efforts, with a key priority being the continued reinforcement of our governance structure. To drive this agenda, we have strengthened oversight mechanisms to align our sustainability commitments with business priorities and stakeholder expectations. The Board Sustainability Committee (BSC) - established to assist the Board of Directors (BOD) in reviewing sustainability strategies, targets, and initiatives - plays a crucial role in integrating sustainability within our broader corporate agenda. Supported by the Sustainability Council (SC) and Technical Working Group (TWG), the BSC ensures alignment with the sustainability goals of the San Miguel Corporation, including Petron Malaysia. Our risk management framework has also been enhanced to incorporate sustainability considerations, further embedding responsible business practices across our operations. A comprehensive materiality assessment conducted from 2022-2023 reaffirmed our focus on material issues



such as climate change, natural resource management, biodiversity, and supply chain sustainability. In 2024, the BOD and SC agreed to uphold these priorities, ensuring they continue to shape our approach to mitigating environmental and social impacts.

Good governance remains a fundamental pillar of our operations. Over the past year, we continued to strengthen our anti-corruption measures and enhance our governance framework to uphold the highest standards of integrity and accountability. This commitment was demonstrated by the full completion of our Annual Ethical Declaration by all employees, fostering a culture of accountability, transparency, and integrity throughout our operations.



MESSAGE FROM THE CHAIRMAN

Our commitment to ethical business practices is reflected in the various awards and certifications we have received. Notably, we continue to retain our position among Malaysia's Top 5 most trusted companies, as ranked by the *Institut Public de Sondage d'Opinion Secteur's* (IPSOS) Trust Track—a global market research benchmark for measuring public trust in corporations and institutions.

The ongoing improvements in our governance and sustainability structures represent important milestones in Petron Malaysia's sustainability journey. By embedding Economic, Environmental, and Social (EES) principles into our corporate objectives, we are committed to creating lasting value and promoting a more sustainable future for all our shareholders and stakeholders.

Advancing Sustainability For Long-Term Growth

Petron Malaysia continues to embed sustainability throughout its operations, placing equal emphasis on economic, environmental, and social objectives. In 2024, we bolstered our sustainability framework, broadened our environmental initiatives, and intensified our local economic involvement. These actions demonstrate our commitment to aligning business growth with recognised global standards, driving meaningful impact across our value chain.

Driving Economic Progress

During the year in review, Petron Malaysia marked significant milestones in reinforcing its commitment to strict Environmental, Social, and Governance (ESG) standards by achieving inclusion in the FTSE4Good Bursa Malaysia Index. This achievement reflects the Group's commitment to driving economic growth in tandem with our sustainability aspirations. Furthermore, our participation in the United Nations Global Compact (UNGC) aligns Petron Malaysia firmly with internationally recognised principles covering human rights, labour standards, environmental sustainability, and anti-corruption measures.



Petron has expanded its renewable energy initiatives by installing solar panels at 35 service stations

Economically, we retained RM45 million for future investment, while RM1.9 million was directed towards community investments, supporting broader socio-economic growth. Additionally, our efforts provided and sustained over 8,600 jobs across our retail, LPG, supplier, and mini-station networks, illustrating our continued commitment to local employment and economic vitality.

Championing Environmental Progress and Operational Efficiency

We continued to prioritise sustainability in our operations, achieving a 17% reduction in total Group Scope 2 GHG emissions and a 20% decrease in total Group water consumption. Our commitment to responsible waste management also resulted in a 50% increase in hazardous waste being diverted from disposal.

Petron Malaysia expanded its renewable energy initiatives, installing solar panels at 35 service stations, with plans to extend this to ~50 more stations by 2025. In addition, 24 sites adopted rainwater harvesting systems, contributing to improved water conservation efforts. The installation of LED and solar-powered lighting further enhanced energy efficiency across our facilities.

Biodiversity conservation remained a core focus, with 1,400 trees planted under the National 100 Million Tree Planting Campaign. These efforts are aligned with the National Energy Policy 2022-2040, as we work towards reducing our Scope 1 and Scope 2 GHG emissions intensity by 4% by 2025, while supporting Malaysia's transition to renewable energy.

MESSAGE FROM THE CHAIRMAN



Petron remains steadfast in its commitment to upholding the highest standards of occupational safety and health

Cultivating a Dynamic Work Culture

Petron Malaysia remains steadfast in fostering a dynamic and inclusive workplace that is driven by our commitment to local economic growth, diversity, employee development, and the highest standards of safety.

At the same time, we promote an equitable workforce. Women account for 33% of our Board of Directors, reflecting our aspiration towards inclusive leadership. We also increased sustainability-related training participation by 152%, equipping our employees with the competencies required to steer sustainable progress. Reinforcing our dedication to cultivating a thriving workforce, we increased our employee engagement programmes that focus on employee well-being, safety and sustainability by 41% in 2024.

Safety remains at the core of our operations, with Petron Malaysia achieving zero injuries and fatalities throughout the year. Our steadfast commitment to workplace safety was recognised at the 42nd Malaysian Society for Occupational Safety and Health (MSOSH) Awards 2024, where we secured an unprecedented 15 accolades. These include the Platinum Award for Kuantan Terminal, marking our first achievement at this highest level with the last Platinum Award in 2007, the High Achiever Award for Bagan Luar Terminal in recognition of outstanding audited safety performance, and the prestigious President Award presented to General Manager Faridah Ali for exceptional leadership in Occupational Safety and Health (OSH). This record-breaking achievement, surpassing our 2023 performance of nine MSOSH awards, reflects our unwavering pursuit of safety excellence through the Petron Operations Integrity Management System (POIMS).

Expanding Our Corporate Social Responsibility (CSR) Impact

In 2024, Petron anchored its CSR initiatives under the *Jelajah* Programme, in partnership with *Radio Televisyen Malaysia (RTM)*. Through *Jelajah Ramadan* and *Jelajah Aspirasi Malaysia*, this comprehensive initiative combined charitable activities, environmental projects, and cultural festivities to strengthen community ties across the nation and create a more cohesive, impactful CSR agenda.

Building A Sustainable Future

Petron Malaysia remains dedicated to driving Malaysia's transition towards a lower-carbon future by aligning our operations with the latest national and global sustainability standards. As we strengthen our climate action framework, we are incorporating the National Sustainability Reporting Framework (NSRF), including the International Financial Reporting Standards (IFRS) S1 and S2 guidelines, to ensure greater transparency and accountability in managing climate-related risks and opportunities. Additionally, we will launch a comprehensive Sustainable Supply Chain and Procurement Policy, supported by a robust Supplier Code of Conduct, reinforcing responsible practices within our supply network.

We value the continued support from our employees, business partners, and stakeholders, whose collective efforts enable us to advance sustainably. As we move forward, Petron Malaysia remains committed to sustainable growth, environmental stewardship, and social responsibility. Through strategic investments in clean energy, ethical governance, and community development, we continue to drive long-term value for all stakeholders while supporting Malaysia's broader sustainability ambitions.

RAMON S. ANG
Chairman

AWARDS AND CERTIFICATIONS

AS AT 31 DECEMBER 2024

AWARDS

Putra Brand Awards 2024

- ★ **Bronze Award**
Automotive – Fuel, Lubricants & Accessories



Malaysian Society for Occupational, Safety and Health Awards (MSOSH) 2024

- ★ **President Award**
Pn. Faridah Ali, General Manager of Petron Malaysia
- ★ **Platinum Award**
Kuantan Terminal*
- ★ **High Achiever Award**
Bagan Luar Terminal
- ★ **Grand Award**
Port Dickson Refinery, Port Dickson Terminal, Sepang Bay Terminal*, Bagan Luar Terminal, Pasir Gudang JV Terminal*
- ★ **Gold Merit**
Sandakan Terminal*, Tawau Terminal*
- ★ **Gold Class 1**
KLIA Aviation Depot, Petron Jalan Meru 3, Petron Skudai Toll Northbound, Petron Grand Saga Southbound, Petron BKE



MiSHA National Excellence Awards on OSH Principle of Prevention (OSHPoP) 2024

- ★ **Diamond Award**
Pasir Gudang JV Terminal*, Port Dickson Terminal



GRADUAN Brand Awards 2024

- ★ **1st Runner Up**
Malaysia's Most Preferred Employer 2023 - Energy Sector



Malaysia's 100 Leading Graduate Employers 2024

- ★ **2nd Runner Up**
Energy, Oil & Gas, Utilities category



AWARDS

Employees Provident Fund (EPF)

- ★ **Best Employer Award**
Petron Fuel International Sdn. Bhd.*



National Energy Awards 2024

- ★ **Runner-Up**
Energy Management in Large Industry category, Lumut PME Plant



CERTIFICATIONS

- ★ **Integrated Management System (ISO 9001, ISO 14001, ISO 45001)**
Bagan Luar Terminal, Kuantan Terminal*, Port Dickson Terminal, Pasir Gudang JV Terminal*, Sepang Bay Terminal*, Sandakan Terminal*, Tawau Terminal*, Port Dickson Refinery

- ★ **Quality Management System (ISO 9001)**
KLIA Aviation Depot, Lumut PME Plant

- ★ **Malaysian Sustainable Palm Oil (MSPO) Certification**
Bagan Luar Terminal, Lumut PME Plant

- ★ **HALAL Certification from JAKIM**
Lumut PME Plant

- ★ **KOSHER Certification from Orthodox Jewish Community of Singapore**
Lumut PME Plant

* PMRMB's sister companies' facilities

SUSTAINABILITY HIGHLIGHTS



Notes:

* Compared to 2023.

** FTSE Russell (the trading name of FTSE International Limited and Frank Russell Company) confirms that Petron Malaysia Refining & Marketing Bhd has been independently assessed according to the FTSE4Good criteria, and has satisfied the requirements to become a constituent of the FTSE4Good Index Series. Created by the global index provider FTSE Russell, the FTSE4Good Index Series is designed to measure the performance of companies demonstrating strong Environmental, Social and Governance (ESG) practices. The FTSE4Good indices are used by a wide variety of market participants to create and assess responsible investment funds and other products.

SUSTAINABILITY FRAMEWORK

Our 2024 sustainability strategy is built on a well-defined framework, designed to deliver enduring value for all stakeholders. As an integral subsidiary of San Miguel Corporation, we are working in tandem with the Corporation's vision of achieving net zero by 2050, echoing Malaysia's goal of achieving carbon neutrality within the same timeframe.

We structure our efforts around three central pillars – Economic, Environmental, and Social (EES) – each addressing distinct priorities. In 2022, we enhanced this framework by infusing Petron Malaysia's core values of Excellence, Customer Focus, Innovation, Teamwork, Ethics, and Safety. This move ensures our sustainability pursuits are in-line with our corporate values, promoting a cohesive and forward-thinking approach across all facets of our operations. We further enhanced our framework in 2023 by aligning our actions with the UN SDGs, illustrating our continued commitment to global sustainability progress. Through this integrated framework, Petron Malaysia aims to foster balanced development that benefits both people and the planet in the journey towards a low-carbon future.

OUR FOCUS AREAS



ECONOMIC
Advancing Ethical
Business Growth

To stay **CUSTOMER FOCUSED** and promote work **EXCELLENCE** towards **ETHICAL** business growth by giving due regards to sustainability impacts of business activities

- » Generating Economic Benefits
- » Ethical Business Practices



ENVIRONMENTAL
Protecting The
Environment and
Nature

To adopt **INNOVATIONS** to promote responsible use of resources, reduce GHG emissions, minimise adverse environmental impacts and transition to low carbon operations

- » Climate Change and GHGs
- » Air Emissions and Pollution Management
- » Waste and Circular Economy
- » Water Management
- » Natural Resources
- » Biodiversity
- » Sustainable Supply Chain



SOCIAL
Fostering Societal
Well-Being

To promote **TEAMWORK** and **SAFETY** at all times whilst creating a balanced co-existence with all stakeholders

- » Agile, Diverse and Thriving Workforce
- » Safety
- » Customer Data Protection



SUSTAINABILITY GOVERNANCE

At Petron Malaysia, an effective governance framework underpins our commitment to ethical and responsible operations.

The Board of Directors (BOD) holds ultimate responsibility for defining and endorsing the Company's sustainability direction, with particular focus on integrity, anti-corruption measures, occupational health and safety, talent stewardship, and risk oversight. Through proactive leadership, the BOD ensures we remain agile in meeting regulatory requirements and stakeholder expectations.

The Group's sustainability agenda is overseen by the Board Sustainability Committee (BSC) which was established to strengthen our governance ecosystem further. Meeting on a quarterly basis, the BSC reviews, refines, and proposes sustainability goals to the BOD. To maintain a cohesive approach, the BSC collaborates closely with the Sustainability Council (SC) and the Technical Working Group (TWG), thereby enabling alignment on Economic, Environmental, and Social (EES) initiatives across the organisation.

Regular engagements among the BOD, BSC, SC, and TWG enable us to address pressing EES considerations while anticipating emerging risks and opportunities. In accordance with recommendations under the Malaysian Code on Corporate Governance (MCCG) 2021, we conducted our first Sustainability Board Evaluation in 2022, achieving an initial average score of 3.94 out of 5.

Following MCCG's recommendation, we engaged independent experts in 2024 to conduct a board effectiveness evaluation. Board Accountability encompassing, sustainability and Environment, Social, Governance (ESG) considerations, scored 4.4 out of 5; while Board Structure, encompassing Board diversity, scored 4.5 out of 5.

SUSTAINABILITY POLICY

Petron Malaysia's Sustainability Policy adopts a holistic approach to driving resilient economic performance by proactively addressing ecological challenges, strengthening stakeholder relationships, and maintaining high standards of governance.



Petron Malaysia's Sustainability Governance Structure and its Key Roles and Responsibilities

To ensure smooth and efficient implementation of our sustainability commitments, we follow a structured, top-down approach that cascades responsibilities from the Board of Directors (BOD) down to the Technical Working Group (TWG). This framework promotes clarity, accountability, and alignment across all levels of our organisation.

SUSTAINABILITY GOVERNANCE

Board of Directors (BOD) » Meets five (5) times per year on a quarterly basis and comprises members of Independent and Executive Directors as recommended by the Nominating Committee. » Maintains overall oversight of sustainability matters, including climate-related risks and opportunities. » Reviews and approves sustainability strategies, objectives, and targets related to material issues.	Sustainability Council (SC) » Meets six (6) times a year and comprises the Company's Key Senior Management. » Oversees the strategic management of material sustainability matters approved by the BOD. » Ensures that sustainability factors are considered when formulating business strategies. » Deliberates and endorses corporate sustainability plans and programmes before tabling them to the BSC. » Recommends and reviews sustainability material matters, as well as proposes relevant Key Performance Indicators (KPIs).
Board Sustainability Committee (BSC) » Meets four (4) times per year on a quarterly basis and comprises members of Independent and Executive Directors (including the Chief Executive Officer). » Up to three advisors from Senior Management within our Company or parent company support the BSC as needed. » Reviews and endorses sustainability strategies, programmes, and targets before presenting them to the BOD. » Ensures the Company's efforts remain aligned with the broader direction of our parent company. » Submits quarterly updates to the BOD and includes a summary of its work in our Annual Report or Annual Sustainability Report, as appropriate.	Technical Working Group (TWG) » Meets twelve (12) times per year on a monthly basis and comprises key personnel appointed by the SC. » Manages the day-to-day operational aspects of sustainability, including data collection, KPI tracking, and reporting. » Assists the SC in evaluating and validating material sustainability concerns. » Provides subject matter expertise and actively contributes to policy development.

In 2024, we convened six Sustainability Council (SC) meetings, four Board Sustainability Committee (BSC) meetings, and five Board of Directors (BOD) meetings. Key decisions and recommendations from these meetings were subsequently implemented.

We also established a new Corporate Sustainability Manager role as part of our ongoing sustainability commitment. Reporting to the Manager of the Corporate Affairs Department, this position is responsible for driving sustainability initiatives across the organisation. Key responsibilities include developing policies, implementing best practices, and collaborating with various stakeholders to embed sustainability principles into our operations and strategic decisions.

STAKEHOLDER ENGAGEMENT

At Petron Malaysia, our stakeholders are integral to our success, representing individuals and organisations that both influence and are influenced by our operations, products, services, and overall strategic direction. We regularly engage with them to appreciate how our activities affect their interests and to tailor our strategies accordingly. By reviewing and measuring the effectiveness of these engagements, we gather insights that help shape our sustainability objectives and related initiatives.

Our efforts are guided by our engagement framework which we have progressively refined over the years to ensure alignment with our overarching corporate objectives. The refinement process entails the Group analysing how each group interacts with our operations and then developing a proactive response to cater to the evolving dynamics of each relationship. For example, Financial Institutions are classified as a stakeholder group as we recognise their vital contribution to our long-term financial stability. Additionally, Unions have been consolidated under the broader Employees category to encourage a more cohesive and inclusive approach to workforce engagement. We also redefined Contractors, Vendors, Suppliers, and Service Providers as External Providers, distinguishing them from the more general Business Partners category. Similarly, we divided our Customers category into two distinct segments – (i) Dealers, Distributors, and Commercial Entities and (ii) End Users – to better recognise their varied relationships with Petron Malaysia and deliver engagement methods tailored to their unique contexts.

A comprehensive overview of these stakeholder groups is provided in the table below, which sets out their key needs and expectations, the methods we use to engage with them, and how frequently these interactions occur. This categorisation enables us to respond effectively to each group, ensuring that our stakeholder engagement remains robust, targeted, and attuned to the changing business environment.

Stakeholder Groups	Stakeholder’s Relevant Needs and Expectations	Engagement Methods	Frequency
 REGULATORS These are the authorities, local governments and ministries that are relevant to our business. We seek to work closely with regulators to ensure compliance and to keep abreast of the evolving regulatory landscape.	• Demonstration of compliance with respective authorities' requirements • Supporting government policies and objectives • Timely and responsive communication and actions	Meetings	Ongoing
		E-mail communication	Ongoing
		Site visits and inspections	Ongoing
		Periodic reports	Monthly/ Quarterly/ Annually
		Corporate website www.petron.com.my	As and when

STAKEHOLDER ENGAGEMENT

Stakeholder Groups	Stakeholder’s Relevant Needs and Expectations	Engagement Methods	Frequency
 CUSTOMERS Dealers, Distributors, Commercial Entities Our dealers and distributors are the face of the Company before our prospective end users. They also act as an important channel of communication between Petron and the end users of our products and services.	• Quality products and services as per product specifications • Fair and competitive product pricing • Timely and responsive communication and actions • Provision of support and guidance • Honouring contractual agreements • Conducive environment to conduct business	Meetings Ongoing social media - Instagram and Facebook E-mail/Memo communication Corporate website www.petron.com.my Petron Miles Website www.petronmiles.com.my Call PMiles Customer Service Hotline 1300 888 812	Ongoing Ongoing As and when As and when As and when
 CUSTOMERS End Users End users are customers that are using our products and services. We continuously engage our end users to improve the quality of our products and services as we seek to deliver excellence.	• Quality products and services as per product specifications • Fair and competitive product pricing • Timely and responsive communication and actions - good customer service • Public safety and security • Good housekeeping at service stations	Social media - Instagram and Facebook E-mail Petron Care petroncare@petron.com.my Corporate website www.petron.com.my Petron Miles Website www.petronmiles.com.my Call PMiles Customer Service Hotline 1300 888 812	Ongoing As and when As and when As and when

STAKEHOLDER ENGAGEMENT

Stakeholder Groups	Stakeholder’s Relevant Needs and Expectations	Engagement Methods	Frequency
 EMPLOYEES Employees are the driving force behind Petron Malaysia. As such, we strive to meet their needs and ensure the provision of a safe, healthy and conducive workplace to nurture their career development. Employees include direct hires, permanent and regular employees, third-party contract workers and unions.	• Safety and health at the workplace • Fair and competitive compensation and benefits • Compliance to legal requirements and labour standards • Opportunities for training and education • Comprehensive guidance and support at workplace • Non-discrimination and equal opportunity • Diversity and representation at the workplace • Employment security • Job satisfaction	Team meetings	Weekly/ Monthly/ As and when
		Team building sessions	Annually
		Individual/Group discussions/ Coaching	Ongoing
		Formal performance evaluation	Annually
		Training on Human Resources (HR) Policies	Ongoing
		Corporate website www.petron.com.my	As and when
 LOCAL COMMUNITIES Engaging with the local communities in our operational areas enables us to address their needs and generate long lasting positive impact. We are committed to give back to society and ensure no one is left behind in our bid to contribute to a sustainable future for all.	• No harm to public safety, security and the environment • No disturbance to quality of life • Support for and participation in community programmes • Timely, responsive and transparent communication and actions • Potential business opportunities	Advocacy programmes such as Go-to-Safety Point, road safety programme, green programme and post-disaster relief	Annually
		Corporate Social Responsibility (CSR) programmes	Annually
		Fenceline community engagements/Meetings with community representatives	Quarterly
		Instant messaging/ Telephone calls/Letters	Ongoing

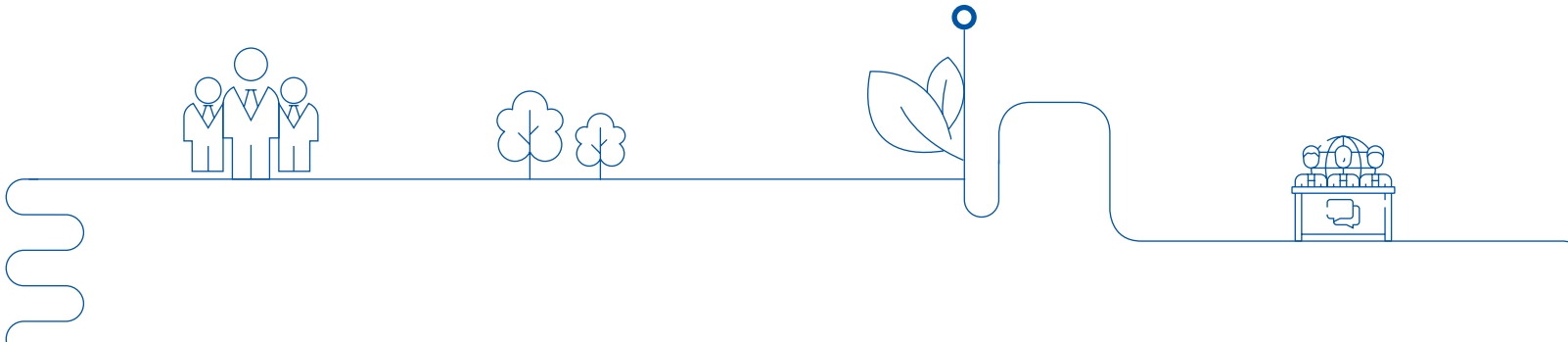
STAKEHOLDER ENGAGEMENT

Stakeholder Groups	Stakeholder’s Relevant Needs and Expectations	Engagement Methods	Frequency
 INVESTORS/SHAREHOLDERS Shareholders and investors are vital to the health and wealth of the Company. Regular engagements with our shareholders and investors will ensure long-term business growth.	- Continued profitability and growth - Product and service innovation to meet changing demands - Compliance to legal and other requirements - Petron image and reputation to maintain business and social licence to operate - Compliance to legal and other requirements	Annual General Meeting Annual Report and Sustainability Report Announcements Corporate website www.petron.com.my Engaging with the local Treasury/Investor Relations group in Manila	Annually Annually As required As and when As and when
 EXTERNAL PROVIDERS We work closely with our contractors, vendors, suppliers and service providers to deliver excellence and explore opportunities for mutual growth.	- Clear contract specifications - Clear requirements on compliance with Petron’s code of conduct, policies and requirements - Honouring contractual agreements e.g. prompt payment - Fair treatment of workers according to legal requirements and labour standards - Fair procurement practices - non-discrimination and equal opportunity - Timely, responsive and transparent communication and actions - Continued business relationship	E-mail communication/Memo Site visits/Instant messaging/ Telephone calls Meetings by territory/Area	Ongoing Ongoing Monthly/ Quarterly/ Annually/ As and when

STAKEHOLDER ENGAGEMENT

Stakeholder Groups	Stakeholder’s Relevant Needs and Expectations	Engagement Methods	Frequency
 FINANCIAL INSTITUTIONS We ensure continuing access to competitive rates/terms by maintaining the trust and confidence of financial institutions such as banks and insurance providers. They provide insight into the early identification of opportunities and emerging trends within the financial markets.	- Compliance to banking terms and conditions and legal requirements - Continued financial soundness - Timely, responsive and transparent communication and continued business relationships	Meetings and telephone calls	As and when
		E-mail communication	Ongoing
 BUSINESS PARTNERS AND JOINT VENTURES (JVs) We actively engage with our business partners including marketing partner and JVs by exploring mutually beneficial partnerships.	- Honouring terms and conditions of agreement - Timely, responsive and transparent communication and actions - Continued business relationship	Meetings	Monthly/ Quarterly/ Annually/ As and when
		E-mail communication	Ongoing
		Periodic report	Monthly/ Quarterly/ Annually

For more information on the key engagements in 2024, refer to engagements detailed in the Economic, Environment and Social sections.



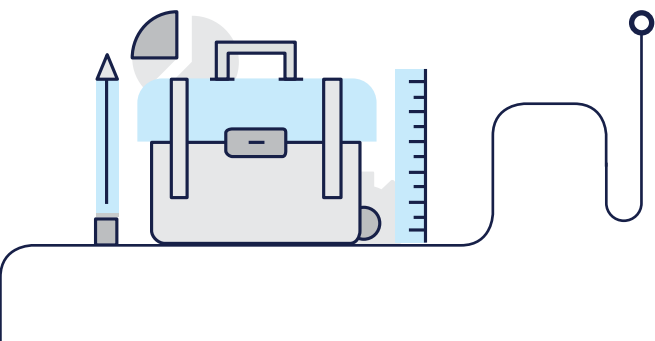
MATERIALITY ASSESSMENT

Material matters form the cornerstone of Petron’s approach to sustainability, shaping our ability to create meaningful value while managing our Economic, Environmental, and Social (EES) impacts. By continuously identifying and addressing these priorities, we ensure alignment with our business objectives and stakeholder expectations, enabling us to navigate challenges and capitalise on opportunities in an ever-evolving industry.

Our materiality assessments are a vital tool in this endeavour, offering a systematic framework to identify the most relevant issues for our operations and stakeholders. These assessments evaluate the significance of potential and actual EES impacts, both positive and negative, based on their severity, likelihood, scale, and scope. This structured approach equips us to proactively address risks and implement strategies that foster sustainable growth.

The materiality assessment process integrates mandatory evaluations such as Environmental Impact Assessments (EIA) alongside ongoing reviews that adhere to international standards, including ISO 14001 for environmental management and ISO 45001 for workplace safety. These rigorous frameworks ensure that our operations meet the highest benchmarks of compliance and accountability.

Equally important is our commitment to stakeholder engagement. We actively seek diverse perspectives through structured surveys, interactive workshops, focus group discussions, and interviews. These engagements provide invaluable insights, ensuring our material priorities reflect the realities of our industry while addressing the concerns and expectations of those who are most impacted by our activities.



HOW WE IDENTIFY AND ASSESS IMPACTS ON AN ONGOING BASIS

We engage with relevant stakeholders and experts to:

- Understand the organisation’s context
- Identify actual and potential impacts
- Assess the significance of the impacts

HOW WE DETERMINE MATERIAL MATTERS FOR REPORTING

We test the identified material matters with subject matter experts to:

- Prioritise the most significant impacts for reporting

Material Matters

These findings allow us to refine and prioritise our material matters as follows:

- | | |
|--|---|
| » Generating Economic Benefits | » Natural Resources |
| » Ethical Business Practices | » Biodiversity |
| » Climate Change and GHGs | » Sustainable Supply Chain |
| » Air Emissions and Pollution Management | » Agile, Diverse and Thriving Workforce |
| » Waste and Circular Economy | » Safety |
| » Water Management | » Customer Data Protection |

MATERIALITY ASSESSMENT

MATERIALITY ASSESSMENT PROCESS

The identification of material matters at Petron Malaysia is carried out through a systematic materiality assessment process, as outlined below:

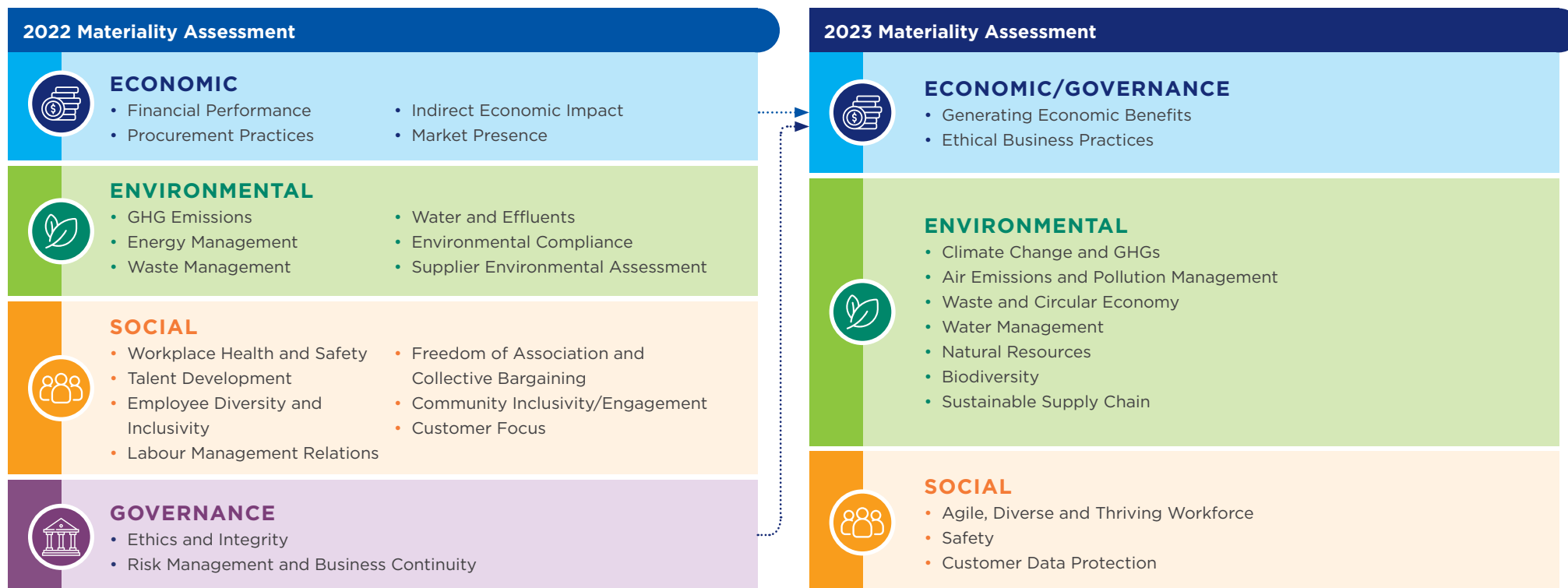


MATERIALITY ASSESSMENT

MATERIALITY ASSESSMENT RESULT

Petron Malaysia most recently refined its materiality assessment by identifying twelve focus areas, shaped by stakeholder surveys and internal evaluations conducted between 2022 and 2023. These assessments identified Climate Change and GHGs as key concerns, prompting the development of a Climate Action Guide. Ethical conduct, Sustainable Supply Chain practices, as well as Customer and Community interests remained central, while Community Inclusivity/Engagement were integrated under Generating Economic Benefits to highlight the importance of societal ties in economic growth. The Sustainable Supply Chain perspective now encompasses broader environmental, social, and economic considerations. These updated material topics allow us to enhance our strategies, set robust targets, and implement initiatives across all levels of our organisation. In 2024, the Board of Directors and the Sustainability Committee jointly resolved to maintain the material matters identified in the 2022–2023 assessment.

Risk Management remains a pivotal component of Petron's governance structure and detailed information on this subject is available in our 2024 Annual Report under the Risk Management Statement.



RISKS AND OPPORTUNITIES

Ensuring the continued resilience of our operations stands at the forefront of Petron's priorities. To achieve this, we actively monitor both current and emerging risks, while also identifying potential opportunities that may arise from a changing business landscape. A key component of this proactive approach is our comprehensive risk assessment framework, which is applied to the 12 material issues identified as critical to our sustainability agenda. This system enables us to anticipate challenges, adapt to evolving conditions, and leverage any prospects for growth.

ECONOMIC/GOVERNANCE TOPICS - ADVANCING ETHICAL BUSINESS GROWTH



Material Matter	Description	Risk	Opportunity	Goal
 Generating Economic Benefit	In generating revenue from our operations, we make direct and indirect contributions to the economy, be it by paying taxes and wages, procuring from local suppliers, or supporting the creation of jobs along the supply chain. Our economic contributions help develop public infrastructure and other social investments.	Poor sales or low profitability can diminish our direct and indirect economic contribution to society, lower market share and reduce our attractiveness to lenders, investors and shareholders, leading to undervaluation of the Company.	- Promoting the Petron brand and enhancing brand equity, will help generate higher sales, profit and wealth contribution. - Advancing organisational value and enhancing product and service presence. - Promoting transparency and enhancing confidence of investors and lenders.	To improve the overall sustainability performance of Petron Malaysia and deliver enhanced value to stakeholders.
 Ethical Business Practice	We have a responsibility to uphold our integrity in the course of doing business and strive for the same in our supply chain. Unethical business practices, e.g. corruption, embezzlement, fraud, intimidation, or false claims, have adverse economic consequences to society as it promotes uneven wealth distribution and further worsens inequality. Such practices indirectly encourage uncontrolled environmental exploitation and human rights abuse.	Unethical business practices occurring in any part of our operations or supply chain can lead to litigation, sanctions and incur compensation costs. Any allegation of involvement in unethical business conduct can lead to a decline in customer and investor confidence, as well as a drop in share value and brand reputation, affecting our legal and social licence to operate.	Continuing to advocate ethical business practices in the oil and gas industry including among external goods and services providers to bolster stakeholder confidence.	To conduct business at the highest level of integrity and promote Petron Malaysia's core values at all times.

RISKS AND OPPORTUNITIES

ENVIRONMENTAL TOPICS - PROTECTING THE ENVIRONMENT AND NATURE



Material Matter	Description	Risk	Opportunity	Goal
 Climate Change and GHGs	Being an oil company, the production and use of our products contribute to climate change. The combustion of fossil fuels to generate energy gives rise to GHG emissions, contributing to the warming of the planet which leads to climate change. In turn, our operations and supply chain face climate related risks that can affect business continuity.	TRANSITION RISKS: Policy and legal risks: Governments may introduce regulations aimed at mitigating the impacts of climate change, such as emissions reduction targets, carbon taxes, stricter products and services requirements, or enhanced emissions reporting obligations and climate related disclosures, which can increase the costs of doing business in terms of operations and potential compensation payments. Technology risks: Current refinery, terminals and retail technology become obsolete and unable to deliver value due to the changing demand for alternative fuel sources. This will require capital investments and may increase operating costs and negatively impact the continued viability of the facility. Market risks: The transition to renewable energy, reduction in global demand for fossil fuel increased demand for electric vehicles, policies favouring lower emission transportation modes and overall growing restrictions on oil and gas production may impact our business model and resilience. Reputation risks: Growing unfavourable perception of the oil and gas industry and increasing stakeholder concerns on climate change will lead to heightened scrutiny over our performance in addressing climate change impacts. Failure to identify and effectively address known climate risks on our assets, facilities and production capabilities can affect customers, investors and lenders preferences as well as our business and social licence to operate.	- Improving production efficiency through climate risk management by identifying areas to reduce GHG emissions, such as through energy efficiency measures, waste reduction and supply chain optimisation. - Improving stakeholder relations by taking proactive steps to manage climate risks and to be viewed more favourably by stakeholders, including customers, investors and regulators. - Enhancing product diversification to include more low carbon products and services for example by providing electric charging stations and other renewable energy solutions, ultimately transitioning into a renewable energy provider to meet climate goals. - Incorporating specific climate adaptation and mitigation measures into our processes and operations including the selection of materials and design features e.g. installation of solar panels and climate adaptive design features into our building standards and incorporating climate related criteria in our supply chain.	To reduce GHG emissions and address climate change risks through more efficient refining operations. To continue carbon sequestration programmes at own available areas and other designated locations.

RISKS AND OPPORTUNITIES

ENVIRONMENTAL TOPICS - PROTECTING THE ENVIRONMENT AND NATURE



Material Matter	Description	Risk	Opportunity	Goal
 Climate Change and GHGs (continued)		PHSYICAL RISKS: Physical risks resulting from climate change can be event-driven (acute) or longer-term shifts (chronic) in climate patterns. Acute Risks: Acute physical risks refer to those that are event-driven, including increased severity of extreme weather events, such as storms, droughts, heavy rainfall or floods. For our refinery, terminals and service stations, this may mean reduced availability of raw materials (e.g. crude etc.) due to supply chain disruptions, physical damage to equipment and facilities, delayed construction projects, increased risk of spills/leaks and limited employee mobility and transportation activities due to unsafe road conditions. These impacts can ultimately lead to reduced revenue, increased repair and other remediation costs, as well as higher insurance premiums. Chronic Risks: Chronic physical risks refer to longer-term shifts in climate patterns (e.g., sustained higher temperatures) that may cause sea level rise or chronic heat waves. These incremental changes over time can result in increased energy and water consumption, specifically by those production equipment, compressor stations and cooling towers which need to compensate the increase in temperatures. This is exacerbated by potentially higher energy costs and reduced water availability in the future. Rises in sea levels may also intensify storm surges which can damage facilities and lead to shutdowns. Such impacts may cause disruptions in our supply chain and financial health in the long-term.	• Staying competitive and capitalising on emerging trends through innovations such as product development, supply chain management and renewable energy and water reclamation technologies. • Improving data collection, analysis and monitoring to help establish effective climate strategy and actions, and ensure transparent and reliable disclosures to all our stakeholders.	

RISKS AND OPPORTUNITIES

ENVIRONMENTAL TOPICS - PROTECTING THE ENVIRONMENT AND NATURE



Material Matter	Description	Risk	Opportunity	Goal
 Air Emissions and Pollution Management	Our production processes, transportation and day-to-day operations at the terminals, refinery and service stations as well as our products, may release pollutants that end up in the air (other than GHGs), soil, waterways and oceans, which may also emit excessive noise and light. The prevention and management of such environmental pollution is critical for us to maintain a legal and social licence to operate.	Exposure to harmful environmental releases can negatively affect human health e.g. respiratory illnesses, neurological disorders and the health of natural ecosystems. Noise and light pollution can create a nuisance to surrounding communities and the public at large which can lead to legal action, incurring remediation and compensation costs, ultimately affecting overall profitability and reputation.	- Effective management of environmental pollution provides a competitive advantage by differentiating Petron Malaysia from other industry players at a time when environmental sustainability is increasingly important to customers, investors and other stakeholders. - Enhancing research and development (R&D) efforts to improve our products and processes to minimise potential pollution and costs for treatment and remediation.	To reduce harmful air emissions and pollution arising from Petron Malaysia’s operations.
 Waste and Circular Economy	The traditional linear concept of “take, make and dispose” can lead to negative environmental impacts and cannot be sustained as resources can be depleted. We have a responsibility to address waste-related impacts resulting from our operations and supply chain and to implement circular economy in our processes.	Poor waste management practices can result in lawsuits, financial losses, penalties and damages to the Company and its reputation. Slow adoption of circularity measures in our operations and supply chain can also lead to missed opportunities for cost savings and revenue generation.	Enhancing R&D efforts to incorporate circularity into our products and services and reduce disposal costs in the long-term e.g. utilising sustainable packaging, and increasing scheduled waste recovery.	Minimise waste and promote circular economy.

RISKS AND OPPORTUNITIES

ENVIRONMENTAL TOPICS - PROTECTING THE ENVIRONMENT AND NATURE



Material Matter	Description	Risk	Opportunity	Goal
Water Management	Water is a vital resource for our operations. Being a commodity shared with other members of society, we have a duty to ensure that water consumption and wastewater discharge are managed effectively throughout our operations and supply chain.	With the potential for future water scarcity, our reliance on water for operations will be affected and this will lead to business implications. Discharges to water bodies from our production processes, including through accidental spills/leaks throughout our supply chain, can lead to water pollution. This affects water quality and availability for society at large, leading to poor public perception and potential legal action and remediation costs. Such events and the increasingly frequent supply disruptions due to water scarcity indirectly increases operations cost.	- Implementing latest water technologies related to reclamation/recycling, harvesting and treatment to help meet water needs during supply disruptions and minimise water and treatment costs in the long-term. - Collaborating and partnering with other stakeholders, such as NGOs, government agencies, and communities, to share knowledge, resources, and best practices, and to collectively address water-related challenges.	Conserve and protect shared water resources.
Natural Resources	The use of natural resources such as crude oil and minerals as raw material in our products and services can contribute to their depletion. Our reliance on these resources must be addressed to minimise our impact on its availability and at the same time ensure continuity of our products and services.	Natural resource scarcity and depletion can directly drive-up material costs. This may require the use of substitutes or making other process changes which can incur extra costs and disrupt our delivery of products, leading to adverse financial implications.	- Exploring renewable energy as an alternate source of income e.g. biofuels, wind, solar or hydrogen. - Utilising renewable raw materials with minimal harm to the environment and adopting latest technologies into our processes to minimise our reliance on non-renewable resources e.g. using solar power in our operations, implementing chemical-free processes and using recycled or biobased packaging for our products.	To reduce the use of non-renewable material and increase the use of renewable material.

RISKS AND OPPORTUNITIES

SOCIAL TOPICS – FOSTERING SOCIETAL WELL-BEING



Material Matter	Description	Risk	Opportunity	Goal
 Agile, Diverse and Thriving Workforce	People who work on our behalf, including our employees, are essential for our continued operations and the achievement of our goals. We recognise our significant role in contributing to society's resilience by ensuring our workers are provided for and empowered. This requires ensuring fair treatment in the workplace and upholding diversity, equity and inclusion (DEI) principles.	Employee/worker concerns over compensation and benefits, limited career development opportunities and lack of a sense of belonging or empowerment can lead to higher turnovers and affect our productivity. Not being able to maintain reputation as an attractive workplace or leveraging on diversity in our workforce will also lead to missed opportunities for innovation, collective knowledge, and overall workforce resilience in a rapidly changing business environment.	Establishing workforce development programmes fit for a low carbon future.	Develop an agile and resilient workforce for the future.
 Safety	Our activities inherently carry safety and health risks due to the nature of our operations, products and services. We therefore have a duty to manage potential safety and health impacts such as injuries and illnesses to employees, other workers, customers and the public that may arise from our operations in the refinery, terminals, transportation and service stations, as well as those occurring in the supply chain.	Our workers, including employees, face physical risks such as fires, exposures to hazardous chemicals, manual handling, as well as those related to psychosocial risks. These types of risks can also occur in our supply chain which if unaddressed can lead to disruptions in our production and delivery. Failure to manage physical safety and health risks from our operations, products and services can also cause injuries and illnesses to our customers and surrounding communities. These factors will affect our legal and social licence to operate.	- Enhancing our operations and products to embed a safety culture aimed at minimising safety and health risks for our workers and the public through innovative means and use of technology. - Participating in national occupational safety and health benchmarking/awards to enhance our reputation as a safe operator.	Promote safety at all times as a core value to Petron Malaysia.

RISKS AND OPPORTUNITIES

SOCIAL TOPICS - FOSTERING SOCIETAL WELL-BEING



Material Matter	Description	Risk	Opportunity	Goal
Customer Data Protection	Breaches of customer data in our possession will compromise our customers' privacy and safety. We are responsible for upholding best practices when collecting, using and securing our customers' personal data to ensure prevention of data losses and breach of their right to privacy.	The invasion of our customer data privacy and safety can lead to loss of trust from customers and investors, incurring legal action and compensation costs, ultimately damaging our reputation.	Continuing to monitor cyber threats and enhancing our data protection systems to maintain stakeholders' confidence.	Safeguard all rights related to data privacy.





ADVANCING ETHICAL BUSINESS GROWTH

Petron Malaysia is focused on achieving sustainable business expansion while maintaining responsible operational practices. By prioritising customer satisfaction, the Company continuously strives for excellence, ensuring that its growth strategies are aligned with long-term sustainability objectives. Additionally, Petron contributes to the nation's overall economic progress by fulfilling tax obligations, creating employment opportunities, and supplying essential fuel products that facilitate mobility—all while prioritising the welfare of the communities we serve.

At the heart of our endeavours is a steadfast dedication to ethical business conduct, which is crucial for maintaining the trust and confidence of our stakeholders. Petron rigorously complies with all relevant legal frameworks, including the Anti-Money Laundering, Anti-Terrorism Financing and Proceeds of Unlawful Activities Act (AMLA) 2001. By upholding these high standards, Petron Malaysia aims to reinforce its reputation as a trustworthy and ethically-driven leader in the industry, fostering sustainable economic growth for the future.

2024 Key Highlights:

Generated
RM15.9 billion
in economic value



Paid
RM45 million
in taxes



Invested
RM1.9 million
in local communities



94%
of suppliers engaged
were local



Zero
confirmed incidents of
corruption



GENERATING ECONOMIC BENEFITS

Petron continues to place responsible business practices at the core of its operations, creating both direct and indirect economic benefits for our stakeholders. Our efforts include delivering value to shareholders, meeting tax obligations, creating employment, and ensuring an uninterrupted supply of essential fuel products – all while remaining attentive to the needs and welfare of surrounding communities.

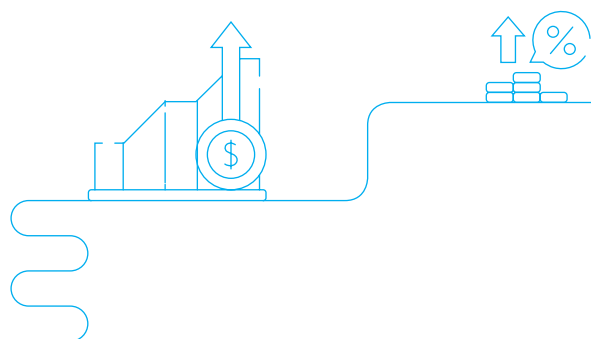
Embodying the spirit of UN Sustainable Development Goal (SDG) 8 on Decent Work and Economic Growth, we strive to enhance access to sustainable employment and promote entrepreneurship, especially for small and medium-sized businesses. These objectives are underpinned by a strong governance framework that guides our sales strategies, resource efficiency, and risk management efforts.

Additional insights on our approach to economic value creation, along with the supporting strategies that reinforce our commitment to ethical, sustainable growth, can be found in our 2024 Annual Report.

DIRECT ECONOMIC IMPACT MANAGEMENT

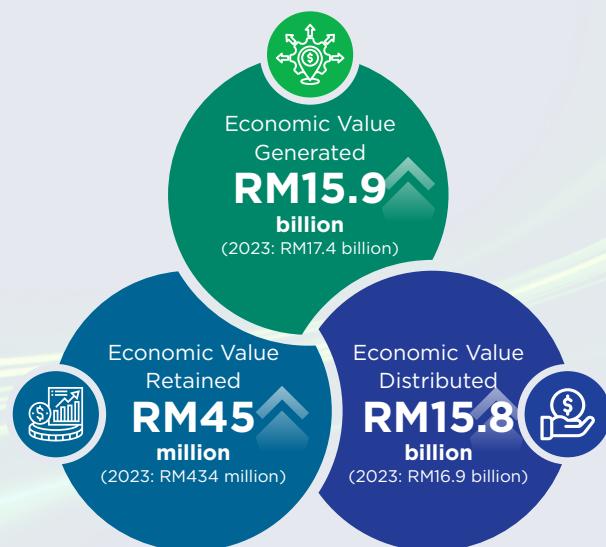
In 2024, Petron Malaysia built on its operational milestones by ensuring a reliable supply of fuel products for industrial, commercial, and household consumption. These efforts resulted in the generation of an Economic Value of RM 15.9 billion, primarily driven by the sales of petroleum products. In addition to these fundamental accomplishments, the Company allocated RM15.8 billion – representing 99% of our revenues – to benefit our suppliers, employees, shareholders, government entities, local communities, other business partners and stakeholders.

Acknowledging the significance of strategic investment, Petron retained RM45 million for business reinvestment in 2024, a reduction from RM434 million in the previous year. The lower value retained resulted from reduced income during the year due to the impact of oil price volatility and narrowed regional refining margins. Our dedication to sourcing from Malaysian suppliers remains a pivotal component of our operations, with the majority of our materials and services procured locally, including nearly all of the crude oil we process. While fluctuations in global oil prices impacted our overall economic value this year, our unwavering focus on sustainable operations and responsible management continues to drive us in delivering substantial and positive outcomes for our stakeholders and the broader community.



GENERATING ECONOMIC BENEFITS

DIRECT ECONOMIC IMPACT PERFORMANCE



	Unit	2022	2023	2024
Economic Value Generated				
Revenue	RM billion	18.4	17.2	15.8
Other Income	RM million	98	164	50
Economic Value Distributed				
Payment to Suppliers/Business Partners/Contractors	RM billion	17.9	16.8	15.7
Salaries and Benefits for Employees	RM million	48	53	51
Dividends Paid to Investors	RM million	54	67.5	62.1
Tax Paid to Government	RM million	26	36	45
Total Amount Invested in Local Communities	RM million	0.6	1.2	1.9
Economic Value Retained for Reinvestment				
	RM million	388	434	45

Note:

- All data except Investment in Local Communities refer to PMRMB only

Supporting Local Industries

Throughout 2024, Petron Malaysia upheld its focus on strengthening domestic industries by prioritising the engagement of local vendors and service providers. By doing so, we have not only streamlined our supply chain and reduced operational costs but also helped foster economic development within the communities in which we operate. Our preference is always to source products and services locally before exploring international options, and we place a strong emphasis on building lasting partnerships with reputable Malaysian suppliers.

During this period, local suppliers made up 94% of our overall vendor base, accounting for 63% of our total procurement expenditure of RM9.9 billion, the majority of which involved purchasing crude oil – largely sourced from within Malaysia. At the same time, we collaborated with foreign suppliers for a total of RM5.8 billion, primarily dedicated to specialised services and finished products not readily available on the domestic market.

Proportion of Local to Foreign Suppliers

Material Matters Indicators				
	Unit	2022	2023	2024
Total Suppliers	Number	1,004	1,066	1,073
Local Suppliers		941 (94%)	992 (93%)	1,012 (94%)
Foreign Suppliers		63 (6%)	74 (7%)	61 (6%)
	Unit	2022	2023	2024
Total Spent	RM billion	17.9	16.8	15.7
Payment to Local Vendors		8.2 (46%)	11.6 (69%)	9.9 (63%)
Payment to Foreign Vendors		9.7 (54%)	5.3 (31%)	5.8 (37%)

GENERATING ECONOMIC BENEFITS

Uplifting Local Leadership

Petron Malaysia prioritises the cultivation of a leadership team that reflects the nation's diverse perspectives and deep-rooted market knowledge. In 2024, Malaysians occupied approximately 98% of all Senior Management positions, covering roles that extend beyond supervisor level. By investing in local expertise, the Group benefits from leaders who possess a nuanced understanding of Malaysia's economic, cultural, and regulatory contexts.

Through this strategy, Petron Malaysia remains firmly connected to its communities, making informed decisions that resonate with local needs and aspirations, while upholding our broader goal of sustainable, inclusive progress.



Dividends Paid to Investors

In 2024, Petron Malaysia strengthened its focus on delivering tangible value to investors by distributing a total dividend of RM62.1 million, consisting of RM59.4 million allocated to local shareholders and RM2.7 million to foreign shareholders. This payout followed a careful assessment of the Company's liquidity, operational priorities, and strategic investment initiatives, reflecting a measured approach that balances shareholder returns with long-term business resilience. By managing its capital allocation responsibly, Petron remains well-positioned to address future challenges and uphold investor confidence.

Taxes

In 2024, Petron Malaysia's overall tax contributions amounted to RM45 million, covering corporate income tax, sales and service tax, along with property-related charges such as quit rent and assessment fees.

Serving Local Communities

Building meaningful connections with our surrounding communities remains central to Petron Malaysia's approach. In 2024, we channelled RM1.9 million into an array of community-focused programmes, reaching 28,534 individuals. Our CSR initiatives underscore the importance of safety, environmental awareness, and collective well-being, particularly in areas close to our facilities where our operations may have a more immediate impact.

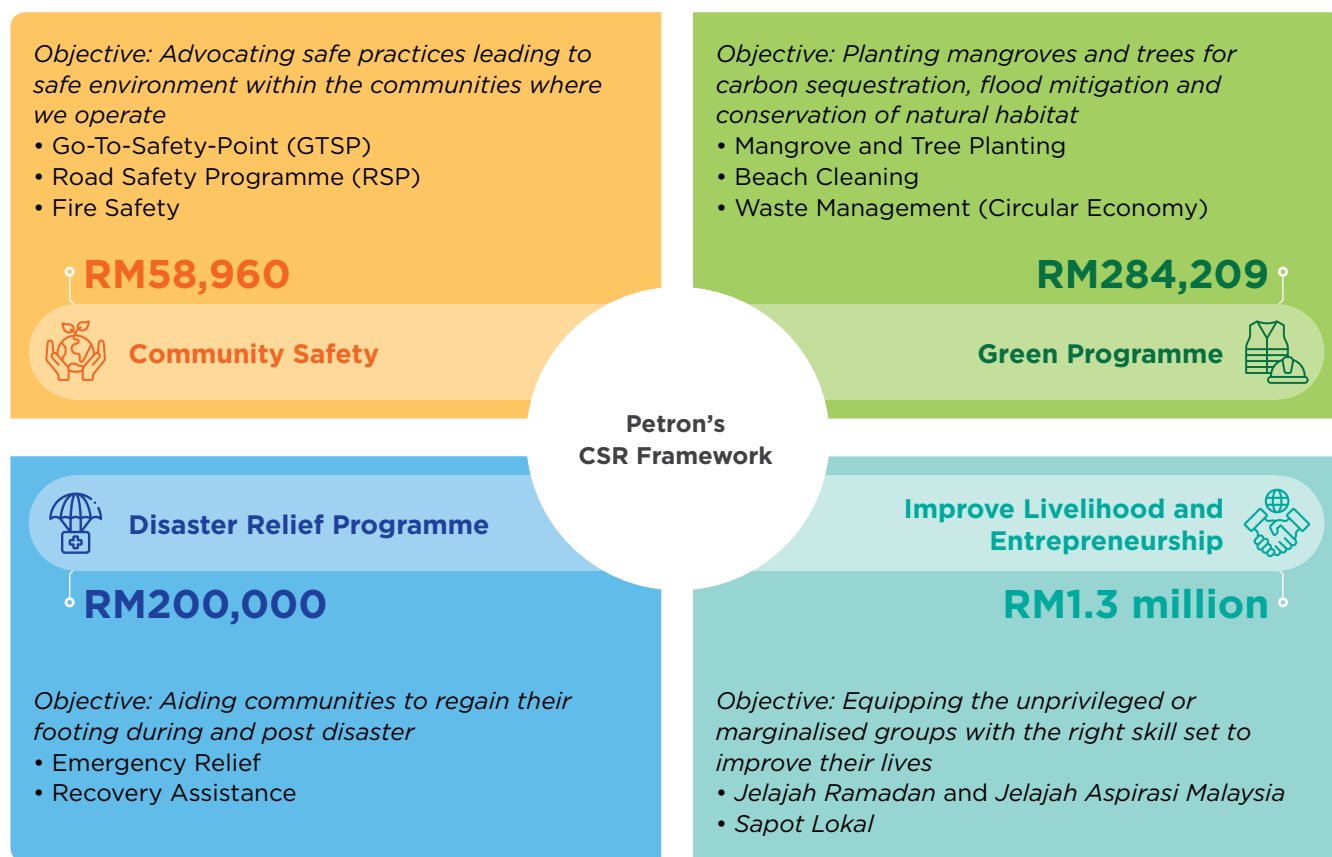
By focusing our efforts on strengthening local partnerships, we aim to be a valued community partner, working in tandem with local residents to promote sustainable development and social progress.

RM1.9 MILLION = **28,534**
INVESTED IN
COMMUNITY-FOCUSED
PROGRAMMES
INDIVIDUALS
BENEFITTED

GENERATING ECONOMIC BENEFITS

COMMUNITY-BASED INITIATIVES

Petron Malaysia pursues a wide range of community initiatives through a structured Corporate Social Responsibility (CSR) Framework built around four core pillars: “Community Safety,” “Green Programme,” “Disaster Relief Programme,” and “Improve Livelihood and Entrepreneurship.” These areas reflect our belief that genuine community engagement calls for tangible actions in environmental care, social well-being, and economic empowerment.



Our initiatives largely comprise corporate-driven efforts as well as programmes championed by our dealers and employees, creating a comprehensive support system that delivers meaningful benefits to communities on multiple fronts. We work closely with local stakeholders to develop programmes that address genuine needs, including fostering entrepreneurial skills, raising environmental awareness, providing targeted disaster relief, and enhancing community safety. These initiatives are part of Petron Malaysia's commitment to increasing community investment by 5% in 2025 compared to 2022.

By aligning these efforts with our broader EES framework, Petron Malaysia aspires to create a positive ripple effect that resonates far beyond our operational boundaries. Through open, ongoing dialogue, we strive to remain sensitive to local perspectives and concerns, ensuring our actions are truly meaningful. This participatory approach not only furthers our dedication to responsible corporate citizenship but also reinforces the trust and support of the communities that stand at the heart of all we do.

GENERATING ECONOMIC BENEFITS

Bringing Hope Through Petron's *Jelajah* Series

In 2024, Petron's primary Corporate Social Responsibility (CSR) efforts centred on the *Jelajah* programme, a nationwide effort in collaboration with *Radio Televisyen Malaysia* (RTM). This new approach brought together charitable efforts, environmental projects, and cultural festivities under two main programmes - *Jelajah Ramadan* and *Jelajah Aspirasi Malaysia*. By unifying its CSR agenda, Petron aimed to strengthen community ties nationwide while delivering a more cohesive and impactful experience for beneficiaries and participants alike.



Jelajah Ramadan: Sharing Happiness and Harmony

During the fasting month, *Jelajah Ramadan* embarked on a nationwide journey covering 7,000 kilometres across all Malaysian states. The programme, officially launched in Terengganu and concluded in Johor, touched the lives of ~20,000 beneficiaries. Local service station dealers played a vital role, complementing the programme with cash and in-kind donations which Petron matched.

In Kuala Lumpur, Petron employees under the Volunteerism in Action (VIA) initiative contributed Company-sponsored grocery hampers and meals to underprivileged families. Additionally, Petron supported hawkers in Melaka and Ipoh by donating 700 Petron Gasul cooking gas cylinders under the *Riuh Bazaar* initiative. The programme concluded with a Road Safety campaign, distributing motorcycle helmets, child car seats, and goodie bags to promote safe travel during the festive season.

Jelajah Aspirasi Malaysia: Uniting Communities Across the Nation

Building on the momentum of its earlier collaboration with RTM through the *Jelajah Ramadan* campaign, Petron Malaysia launched *Jelajah Aspirasi Malaysia* to celebrate National Day and Malaysia Day. Held from 17 August to 16 September, this initiative spanned 14 locations nationwide and was driven by our Petron employees, service station dealers, and representatives from both government and private sectors. Throughout the journey, the programme reached more than 3,000 beneficiaries, generating approximately RM600,000 in cash and in-kind contributions.



Official Launch

The programme officially kickstarted with an official flag-off at Petron NKVE KL Bound Station in Selangor, jointly officiated by Saifuzzaman bin Yusop, Director of Radio RTM Malaysia, and Shaliza Mohd Sidek, Head of Retail Business at Petron Malaysia. This event set the tone for the forthcoming CSR initiatives focused on the environment, education, and socio-economic development.



Road Safety in Kulim, Kedah

In Kulim, 200 students from SMK St Anne participated in a Road Safety Programme coordinated by Petron with the Royal Malaysia Police (PDRM), the Road Transport Department (JPJ), and the Fire and Rescue Department of Malaysia (BOMBA). Activities included demonstrations on blind spots for large vehicles, a safety education session featuring Petron Gasul's LPG usage, and distribution of black motorcycle oil and helmets. Our Petron Dealers also upgraded the school's waiting area and refreshed safety signage.

GENERATING ECONOMIC BENEFITS



Environmental and Community Support in Pantai Remis, Perak

The focus shifted to broader sustainability topics in Pantai Remis, where more than 120 volunteers—including Petron employees, service station dealers, RTM, *Yayasan Hijau Malaysia*, and the Perak State Forestry Department—planted 500 mangrove saplings. Educational support was also provided through book donations and library improvements at SJK(C) Yen Min, while life jackets, hats, and flashlights were distributed to the local fishing community.



Mangrove Conservation in Kuala Selangor

In Kuala Selangor, Petron collaborated with the Kuala Selangor Municipal Council (MPKS) for the 'Malar Hijau' programme, successfully planting 33,333 seedlings at the Firefly Sanctuary in Kampung Kuantan. Petron and its service station dealers established a greenhouse and installed a rainwater harvesting system for the *Berembang* tree seedling nursery. This initiative aimed to protect coastal ecosystems, promote biodiversity, and mitigate climate change.



Supporting MSMEs in Batu Pahat, Johor

Shifting to socio-economic development, Petron joined Credit Guarantee Corporation (CGC) Malaysia to provide training on financial assistance and online business marketing for micro, small, and medium enterprises (MSMEs) in Batu Pahat. Additionally, our Dealers donated RM20,000 to benefit single mothers, equipping them with crucial tools and resources to improve their businesses and foster economic growth.



Rebuilding Water Systems in Ranau, Sabah

In Ranau, Petron employees, service station dealers, government agencies, and villagers collaborated to repair damaged gravity water systems serving more than 400 residents of Kampung Kipaliu and Kampung Kebuh Baru. The initiative provided clean, sustainable water while villagers received essential items such as mattresses and blankets. A medical camp run by the Ranau Health Department offered free screenings, dental check-ups, and dengue awareness.



National Month Celebrations and Environmental Initiatives

To commemorate 67 years of Malaysian independence, Petron launched various promotions, including a Collect & Win contest and Spin the Wheel event, offering hotel stays and other prizes. In a bid to reduce plastic usage, the *Merdeka Dari Plastik* campaign ran from 1 August to 30 September, eliminating plastic bags at Petron service stations and introducing a limited-edition *Merdeka* Non-Woven Bag. Looking ahead, we will be encouraging the reduction of plastic bags by organising a "No Plastic Bag Day" programme that will be held every weekend in 2025. These efforts align with the national government's objective to drastically reduce plastic in retail by 2025.

The *Jelajah* Series exemplifies Petron's dedication to sustainable development and community upliftment. Through collaborations with RTM, local dealers, and NGOs, the initiatives addressed pressing social needs while fostering environmental conservation and economic empowerment. Petron continues to build on these efforts, reinforcing its vision to "Protect the Environment Today, for a Better Tomorrow."

GENERATING ECONOMIC BENEFITS

Petron's Annual Initiatives

In addition to the *Jelajah* Programme, Petron maintained its annual corporate social responsibility activities, which include the long-running, Go-To-Safety-Point and Road Safety Programme as well as ongoing “Green” programmes. These continued efforts highlight Petron's commitment to public welfare and environmental stewardship, ensuring that the company's focus on safety and sustainability remains consistent throughout the year.

Go-To-Safety Point

The Go-To-Safety-Point (GTSP) programme is a collaboration with the Royal Malaysia Police (PDRM) that aims to create safe havens within our service stations and to provide ‘early assistance’ to the public. The GTSP comprises refresher courses for our dealers, commendation letter ceremonies for notable safety practices, and state-level events all aimed at bolstering safety measures and protocols at the service stations with the PDRM. In 2024, the Group's continued investment in the GTSP programme benefitted 355 station dealers and staff.

We also doubled our efforts in enhancing safety measures through the GTSP refresher courses alongside community-centric safety initiatives. The GTSP refresher courses were conducted across multiple states for retail dealers, with sessions covering essential safety protocols, legal aspects of civilian arrest and self-defence. These comprehensive sessions serve to equip the Group's network, including dealers and station staff, with the necessary skills and knowledge to effectively handle emergencies and uphold stringent safety practices.

Most Petron stations now offer “de-stress” corners equipped with first aid kits, recliner chairs, and blankets. This expansion not only strengthens community confidence but also underscores Petron's dedication to prioritising the welfare of those it serves. Looking ahead, the Company plans to further advance the GTSP programme by exploring additional collaborative opportunities with PDRM and other stakeholders, ensuring that its service stations remain safe havens for anyone in need of early assistance.



Dealer Refresher

In 2024, we conducted the following GTSP refresher courses for 223 service stations dealers across five states

- **46** dealers in **KL & Prominent Sites**
- **44** dealers in **Sabah & Sarawak**
- **85** dealers in **Perak**
- **48** dealers in **Negeri Sembilan**



Commendation Letter Ceremony

Forty-one Petron station dealers were honoured with GTSP Commendation Letters by the PDRM for their exemplary handling of 53 GTSP incidents in 2023. These awards were presented by the Deputy Director of Operations, Crime Prevention and Community Safety Department (JPJKK) from Bukit Aman, recognising the dealers' outstanding contribution to public safety and security. In conjunction with the event, three new GTSP posters were introduced, a continuation from the 2022 GTSP initiative which featured a series of designs adapted from the safety-themed murals at our service stations.



Penang State Event and refresher

The Penang State Event and Refresher, officiated by Assistant Commissioner of Police (ACP) Mohamed Nordin Abdullah, Deputy Chief of JPJKK, PDRM Penang took place on 5 December. This significant event was attended by 46 service station dealers and showcased the programme's steady progress since 2013. Highlighting the 11-year journey, a special video montage, safety video and a medical aid briefing was showcased underscoring the pivotal role of service stations in providing safe havens and early emergency assistance to the community.

GENERATING ECONOMIC BENEFITS

Road Safety Programme

Petron Malaysia's Road Safety Programme continues to play an important role in fostering a culture of safety and responsibility, particularly among young Malaysians. In 2024, the Group's continued investment in the Road Safety Programme benefitted over 1,100 secondary school students and members of the public. During the year in review, we expanded our initiatives through a strategic collaboration with the Penang Road Transport Department (JPJ) to host a comprehensive road safety event at *SMK Dato' Kailan*, Penang, engaging over 500 students, including JPJ Cadets from nearby schools.



The event featured a series of hands-on activities aimed at enhancing road safety knowledge and preparedness among students. Highlights included:

Blind Spot Demonstration

Led by Petron's Fleet Group and hauler SCB, this demonstration used a tanker to illustrate the critical importance of maintaining safe distances from large vehicles.



LPG Gas Safety and Fire Demonstration

Conducted by the Bertam Fire and Rescue Department (BOMBA), this session focused on safe handling of home LPG Gasul and fire extinguishing techniques.



Motorcycle Safety

Penang JPJ and Boon Siew Honda collaborated to offer a briefing on safe-riding which was complemented by a motorbike simulator experience, giving students practical insights into handling motorbikes safely.



Interactive Engagements

Petron's booth showcased its 4T and 2T motorcycle oil, with road safety quizzes and prizes to reinforce key safety concepts in an engaging format.

Launched by Tuan Mohd Azmi Jaafar, Deputy Director of JPJ Penang, alongside Petron's Corporate Affairs Manager, Helmi Abdul Hafidz, and the school principal, Puan Noor Lila Zakaria, the programme emphasised collaboration between Petron and community stakeholders.

This initiative also aligns with the United Nations' Second Decade of Action for Road Safety 2021-2030 and Petron's vision to minimise traffic accidents and bolster community welfare. Through interactive learning, practical demonstrations, and local collaborations, Petron continues to emphasise the importance of road safety for all and remains committed to ensuring safer roads for the next generation of Malaysian motorists.

GENERATING ECONOMIC BENEFITS

Green Programme

At Petron, caring for the environment extends beyond operational boundaries. Our Green Programme brings together local communities, educational institutions, and other key partners to foster biodiversity, encourage resource stewardship, and create thriving green spaces. Building on earlier initiatives – such as mangrove restoration, rainwater harvesting, and tree-planting efforts across schools and community sites – our programme continues to evolve with new projects designed to make a lasting impact.

As part of our goal to enhance carbon sequestration and mitigate our environmental impacts, Petron also participates in national-scale projects such as the National 100 Million Tree Planting Campaign organised by the Ministry of Natural Resources, Environment and Climate Change in partnership with *Yayasan Hijau Malaysia* (YHM). To this end, we launched in 2024 the Green Lung Forest Enrichment Planting Programme in collaboration with YHM and *Universiti Putra Malaysia* (UPM). The programme featured the introduction of over 20 diverse species, including native forest trees such as *Merbau* (*Intsia palembanica*), *Meranti Tembaga* (*Shorea leprosula*), *Cengal* (*Neobalanocarpus heimeii*), and fruit-bearing varieties like *Asam Kandis* (*Garcinia xanthochymus*) and *Petai* (*Parkia speciosa*). These species were carefully selected to support local wildlife habitats and provide essential sustenance, contributing to the biodiversity and ecological balance of the area. By enhancing the Green Lung area, we not only improve carbon capture capabilities but also create a thriving ecosystem that benefits both nature and the surrounding communities.

This initiative enabled the planting of 600 tree saplings across 3.7 acres of dry lowland forest within the expansive 400-acre Green Lung area at our Port Dickson Refinery (PDR). Furthermore, our Distribution and Terminal Operations (D&TO) contributed to the restoration of coastal ecosystems by supporting the planting of 400 mangrove saplings at *Hutan Simpan Tanjung Burung* in Pantai Remis, Perak.



GENERATING ECONOMIC BENEFITS

Also part of the *Jelajah Aspirasi Malaysia* programme, this mangrove project drew 120 volunteers, including Petron employees, service station dealers, RTM, and partners from YHM and the Perak State Forestry Department, in Pantai Remis, Perak. Our D&TO team planted an additional 400 mangrove trees in Cherating, Pahang. The saplings—*Rhizophora Mucronata* and *Rhizophora Apiculata*—play a critical role in mitigating climate change by protecting coastal areas from erosion and storm surges.



As part of the 100 Million Trees Programme, YHM vendors are required to provide monitoring and quarterly maintenance reports for a period of two years. To this end, UPM is responsible for providing expertise, as well as monitoring and maintenance services for the Green Lung initiative. Under the D&TO programme, local vendors have been appointed to oversee implementation and upkeep.

In addition to forest enrichment, our CSR Green Programme with fence-line schools encompasses a range of activities aimed at providing project-based learning opportunities outside the classroom and enhancing entrepreneurial skills and knowledge for teachers and students. This programme started in 2022, has adopted three schools, namely *Sekolah Menengah Dato' Abdul Samad* (SDASA), *Sekolah Kebangsaan Port Dickson* (SKPD) and *Sekolah Tinggi Port Dickson* (STPD). In 2024, PDR provided aid to STPD by funding five stingless beehives and coral vine flowers. The stingless bee project aims to help educate 1,200 students on beekeeping and promote entrepreneurship through the sales of “*Kelulut*” honey.

Looking ahead, Petron Malaysia is dedicated to expanding the Green Programme with new projects that further our environmental objectives. Future initiatives will continue to focus on sustainable resource management, habitat restoration, and community-based environmental education, reinforcing our role as a responsible corporate citizen committed to a greener and more sustainable future.

GENERATING ECONOMIC BENEFITS

Disaster Relief



The Group recognises the critical need for immediate and effective support during times of disaster. Our disaster relief efforts bring together our service station dealers, employees, and community networks to mobilise resources swiftly. Contributions often include monetary donations, essential provisions such as food, water, and hygiene products, and logistical support to ensure aid reaches those in need. In addition, our Volunteerism in Action (VIA) programme actively engages our employees, business partners and dealers in fundraising and relief activities, fostering a collective response to crises.

The rationale for our disaster relief efforts stems from a deep understanding of the role businesses can play in mitigating the impact of natural calamities. Beyond immediate assistance, these actions reinforce our commitment to being a responsible corporate citizen, building trust with communities and stakeholders. By working closely with local authorities, NGOs, and international agencies, Petron Malaysia ensures that our contributions align with broader recovery efforts, helping affected communities rebuild and recover more effectively.

Sponsorship

Throughout 2024, PDR supported its local communities with sponsorships that benefitted over 2,000 individuals and improved school facilities, supported law enforcement activities, and contributed to public infrastructure, all to foster unity within these communities. These included the sponsorship of an audio system at *Sekolah Tinggi Port Dickson* (STPD), which benefitted 1,200 students. This contribution was directed to aid the school in handling weekly assemblies. The engagement between PDR and STPD is in addition to our broader three-year CSR Green Programme with fenceline schools, which successfully concluded Phase 1 in August 2024.



Similarly, Petron Malaysia refurbished two public bus stops near the Port Dickson Refinery commonly used by students and nearby community. In addition, two sets of recycling bins were installed using recycled drums. It underscores Petron Malaysia's commitment to support its neighbouring communities and promote community safety.

PDR's provision of hampers during the Chinese New Year festivities to its closest neighbouring community, Kampung Hailam, showed the value we place in embracing cultural inclusivity and enhancing the welfare of our host communities.

GENERATING ECONOMIC BENEFITS

INDIRECT ECONOMIC IMPACT

Petron Malaysia also extends its economic influence beyond its core operations by supporting grassroots initiatives, fostering entrepreneurship, and enhancing educational programmes. These efforts aim to uplift local communities and create a resilient socio-economic future for the communities where we are present.

Through entrepreneurial training, small business owners are empowered to grow and sustain their ventures, contributing to local economic stability. Our school-based programmes provide students with essential skills and knowledge, preparing them to positively impact their communities. Additionally, employee-driven CSR activities ensure that our workforce actively participates in addressing local needs, strengthening the bond between Petron and the areas we serve.

During the year in review, we consolidated most of these efforts under the banner of the *Jelajah* Campaign which is summarised in detail in the preceding section.



Sapot Lokal

- Piloted programmes with 50 entrepreneurs in 2021
- 152 entrepreneurs are currently involved with *Sapot Lokal* with 282 SKUs offered in 2024



Provide Job Opportunities

- Supported 1,012 local businesses through our supplier network
- Retail: 800 stations nationwide employing >7,000 employees
- Commercial: ~680 employed through LPG, Lubes and mini station network



Improving Livelihood & Entrepreneurship

- Organised dealer support for *Jelajah* Series through strategic partnerships with local partners to benefit >23,500 beneficiaries
- Gravity water system, >33,000 mangrove seeds and trees, and care packs donated to local communities



Volunteerism in Action (VIA)

- Invested in community programmes through Back-To-School and *Jelajah* Series
- 1,871 beneficiaries received in-kind items such as school supplies, upgraded library and *bubur lambuk*
- 101 mangrove trees donated by employees



Encouraging Rural Entrepreneurship

- Eight Portable Container Systems (PCS) introduced starting in 2016
- In 2024, seven units were installed in Kelantan and Sabah
- Grand total 15 units providing opportunity to small-scale entrepreneurs

GENERATING ECONOMIC BENEFITS

Supporting Entrepreneurship with *Sapot Lokal*

In 2024, Petron Malaysia's *Sapot Lokal* initiative continued to foster rural entrepreneurship. Initially launched in 2021 as a collaboration with the Ministry of Rural and Regional Development and the Ministry of Domestic Trade and Cost of Living (KPDN), the programme began with six service stations in the Klang Valley. *Sapot Lokal* has since been providing a platform for local entrepreneurs to showcase and sell their products directly at Petron service stations.

Petron Malaysia incorporated its *Sapot Lokal* initiative into the wider *Jelajah* campaign in 2024, thereby broadening its scope and influence. By aligning with *Jelajah Ramadan* and *Jelajah Aspirasi Malaysia*, the programme showcased local products at Petron service stations nationwide, particularly during the fasting month, and National and Malaysia Day festivities. This led to an increase of participants to 152 entrepreneurs at >100 sites, achieving our target to increase the number of *Sapot Lokal* entrepreneurs to 150 by 2025.



Through this approach, *Sapot Lokal* continued to support rural entrepreneurs by increasing the visibility for their products in high-traffic locations. Customers had the opportunity to purchase locally made goods, such as pastes, *sambal*, *kerepek*, *keropok*, and other traditional food items, directly from Petron service stations. This not only benefitted local businesses but also reinforced Petron's commitment to fostering economic sustainability within communities.

By embedding *Sapot Lokal* into *Jelajah*, Petron has further strengthened its role in empowering small businesses, ensuring they remain competitive and sustainable while reaching a broader customer base.

Providing Job Opportunities

Petron Malaysia and its sister companies' combined network of 800 service stations nationwide play a pivotal role in bolstering the local economy. The retail network offers more than 7,200 employment opportunities. Equally significant, this network prioritises hiring Malaysian citizens, demonstrating a strong commitment to local workforce development. Furthermore, our commercial business supports an additional 680 jobs through our LPG, Lubes and Mini-station network. In addition, our supplier network supports 1,012 local businesses ranging mainly of suppliers of crude, finished products and logistics services. All these allows us to create more jobs and energise local businesses across the country.

GENERATING ECONOMIC BENEFITS

Improving Livelihood and Entrepreneurship

Our retail service station dealers and Petron Malaysia Head Office (HQ) joined forces for the *Jelajah Ramadan* and *Jelajah Aspirasi Malaysia* programme in 2024. This new approach combined our corporate and dealer-led CSR programmes maximising impact to benefit local communities. For more information on our combined efforts, please refer to the box story entitled 'Bringing Hope Through Petron's *Jelajah Series*' in the previous section.



Volunteerism in Action (VIA)

Volunteerism in Action (VIA) is Petron Malaysia's employee volunteer programme, drawing inspiration from its parent company Petron Corporation's volunteerism programme in fostering community support and uplifting the underserved and underprivileged. Employees invest their time and resources across a spectrum of CSR initiatives, including providing school supplies to underprivileged students and essential items to flood victims. Petron Malaysia dealers also supported these efforts, enhancing the overall impact. VIA is dedicated to creating positive societal impact by providing relevant assistance and enhancing quality of life in areas such as education and the environment. Significantly growing in the number of volunteers, programmes and beneficiaries over the years, VIA continued to provide volunteer support for the Group's CSR programmes demonstrating a robust commitment to community welfare and sustainability. As a company, Petron Malaysia supports VIA activities by allowing volunteers time-off from work if the events were to be held during office hours.

In 2024, Petron's Volunteerism in Action (VIA) programme was largely integrated into the *Jelajah* campaign, with employees actively participating in various community outreach efforts. From providing essential aid to underprivileged families during *Jelajah Ramadan* to donating 101 mangrove trees in support of environmental and socio-economic initiatives under *Jelajah Aspirasi Malaysia*, the programme enabled employees to contribute meaningfully to nationwide CSR activities.



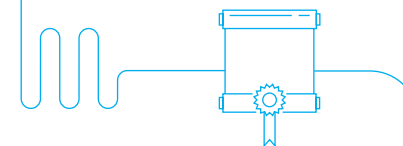
GENERATING ECONOMIC BENEFITS

VIA 2024 Back to School (BTS) Handover Event

This year, we continued with our signature Back To School (BTS) initiative - an effort that has benefitted countless young learners for more than a decade. In partnership with the National Higher Education Fund Corporation (PTPTN), we provided each participating student with RM350, allocated as RM100 in an SSPN-Prime savings account, RM150 in MYDIN vouchers, and RM100 in Popular Bookstore vouchers. Two handover events took place - one at SMK Bukit Jalil in the Klang Valley on 31 January, and another at Sungai Menyala Forest in Port Dickson on 6 February - collectively involving 140 students from three schools.

Beyond the distribution of essential school supplies, the events featured terrarium workshops, jungle treks, and a career talk led by our Human Resources team. All these efforts were rolled out as part of VIA's commitment to holistic youth development. By complementing financial support with interactive learning experiences, the programme encourages students to explore new skills and envision broader career possibilities.

Notably, these achievements would not be possible without the dedication of Petron employees, who contribute their own time and resources. Looking ahead, Petron Malaysia aims to deepen its engagement through VIA, enhancing social impact and reinforcing our role as a responsible corporate citizen. We extend our gratitude to every sponsor and volunteer whose commitment helps build stronger, more resilient communities.



GENERATING ECONOMIC BENEFITS

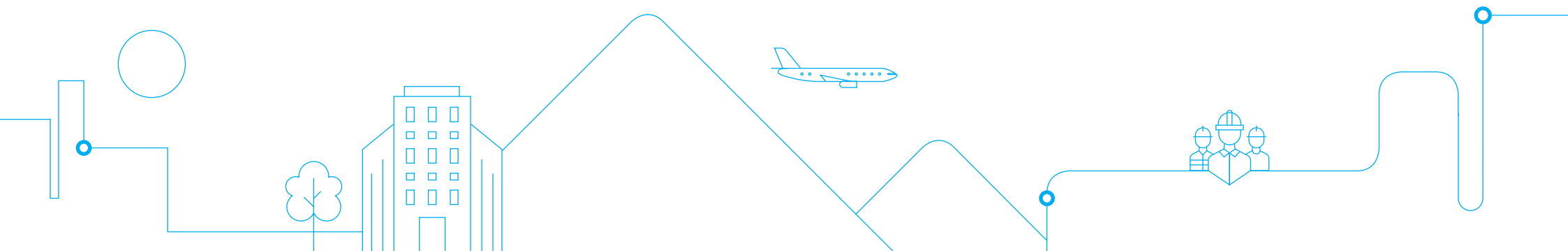


Encouraging Rural Entrepreneurship

Petron Malaysia continued to expand its efforts to foster rural entrepreneurship and empower local businesses through innovative approaches. One such endeavour is the Portable Container System (PCS), launched in 2016, which enables entrepreneurs in rural regions to establish service stations at a lower initial capital. By delivering fuel at regulated prices, these PCS units reduce reliance on unregulated sources and enhance community safety. In 2024, we installed seven PCS units in Kelantan and Sabah, bringing the total to 15 PCS units under the Group. Each new location undergoes comprehensive evaluation to ensure both viability and compliance with KPDN requirements.

Beyond the PCS initiative, Petron collaborated with Credit Guarantee Corporation (CGC) Malaysia in Batu Pahat to offer training on financial assistance and online business marketing for micro, small, and medium enterprises (MSMEs). Petron service station dealers complemented this effort by donating RM20,000 to benefit single mothers, providing them with vital resources and tools to expand their businesses.

These programmes reflect Petron's broader commitment to improving community well-being, as outlined in its CSR Framework. By striving to increase both community investment and the number of beneficiaries by 5% in 2025, Petron seeks to amplify positive societal impact. Whether through the PCS rollout in remote locations or direct engagement with MSMEs, the company remains dedicated to strengthening rural economies and cultivating long-term partnerships that benefit our stakeholders.



ETHICAL BUSINESS PRACTICES

At Petron Malaysia, ethical conduct is woven into every aspect of our operations, anchored by clear guidelines and accountability measures. We see treating stakeholders with fairness and honesty as fundamental to building trust, reducing potential risks, and cultivating stronger relationships. By committing to transparency in decision-making and enforcing a zero-tolerance policy on corruption, bribery, and fraud, we safeguard both our reputation and the interests of those we serve—including shareholders, employees, suppliers, customers, and local communities. Through this focus on ethical principles, Petron Malaysia ensures a responsible corporate culture that underpins our resilience and sustained long-term success.

ETHICAL BUSINESS MANAGEMENT

2024 Key Highlights:

Zero

incidents of corruption

100%

of employees
completed Annual
Ethical Declaration

100%

new suppliers
screened against
AMLA

Standards Of Business Conduct

Cultivating a culture of integrity is fundamental to Petron Malaysia's way of doing business. At the heart of our efforts lies the Standards of Business Conduct (SBC) – a comprehensive framework detailing best practices that encompass anti-corruption, anti-money laundering, and the prevention of workplace harassment, among other key topics. The SBC forms the cornerstone of the Group's efforts to mitigate legal, regulatory, financial, and reputational risks. The SBC is consistently updated to ensure our proactive approach in addressing emerging risks and ensuring alignment with evolving industry standards.

Robust governance structures further reinforce these principles. These include a Board of Directors with a majority of Independent Directors and a defined separation of responsibilities between the Chairman and the Chief Executive Officer. Both the Internal and External Audit functions play important roles to guarantee the integrity, fairness and quality of the Group business operations, performances and processes through the conduct of regular audits, which are then reported directly to the Board Audit & Risk Management Committee (BAC), safeguarding independence and integrity of information and reports. While an audit is not a guarantee to identify potentially fraudulent activity, it is nonetheless an effective deterrent as relevant controls, processes and performance results are reviewed and compared with certain standards to identify deficiency or failure of compliance. Internal audits are conducted on a regular basis through the intermediate parent company's Manila-based internal audit team. We also engage an external auditor to provide independent third-party assurance on the financials and internal control matters of the Group on an annual basis as part of statutory compliance and good governance. To further ensure transparency, the BAC's rigorous review process includes private sessions with the external auditor without management presence. Overall, these audit activities add greater value to Petron Malaysia management in helping to ensure the high quality and integrity of its operations in accordance with the standards. For additional information on our governance and business practices, please refer to the "Corporate Governance" section of our 2024 Annual Report.

ETHICAL BUSINESS PRACTICES

An Ethical Supply Chain

Maintaining the highest ethical standards within our supply chain is fundamental to Petron’s operational integrity. To achieve this, we have implemented a structured approach that incorporates the Dealers and Suppliers Partnership Policy and the SBC to govern our external partnerships. Additionally, our Whistleblowing Policy offers protection to our vendors and suppliers, empowering them to report any unethical conduct or corruption safely and without fear of retaliation.

These policies set clear expectations for ethical behaviour among our retail dealers and adherence is integral to their contractual obligations. The terms of these agreements explicitly cover the expectations for business conduct and anti-corruption, ensuring that ethics and integrity are at the core of our partnerships. To support our dealers, dedicated ethics and business integrity training sessions are integrated into dealer inductions with refresher courses every five years. Dealers also have ongoing access to these policies through their operational handbooks, ensuring they remain informed and compliant.

Beyond dealer engagement, we ensure our suppliers are well-informed about our anti-corruption policies and practices through the inclusion of pertinent clauses within their formal contractual agreements.

We employ rigorous sanctions screening processes to verify the compliance of new suppliers with the Anti-Money Laundering, Anti-Terrorism Financing, and Proceeds of Unlawful Activities Act (AMLA) 2001. This involves cross-referencing audited financial statements with sanctions lists maintained by local and international authorities such as Ministry of Home Affairs, Bank Negara Malaysia and Office of Foreign Assets Control of the US Department of Treasury, among others to mitigate risks of association with criminal or unethical activities. By 2024, 100% of our new suppliers had successfully undergone these screenings.

Incorporating social criteria screening and continuous monitoring, Petron ensures that our supply chain reflects the values of integrity, transparency, and accountability, reinforcing trust and respect across all stakeholder relationships.

Material Matters Indicators	Unit	2022	2023	2024
New Suppliers that were Screened Using Social Criteria	Percentage	100	100	100

Anti-Corruption Practices

A steadfast commitment to ethical conduct drives our efforts to maintain a corruption-free environment across all areas of operation. Guided by stringent Anti-Corruption and Anti-Money Laundering policies, we actively engage employees, dealers, business partners, suppliers, and vendors to promote awareness and adherence to the highest standards of integrity. These policies are supported by targeted training sessions, continuous communication via email and intranet, and accessible resources on our corporate website.

Regular corruption risk assessments play a pivotal role in identifying vulnerabilities within our operations and partnerships. Conducted every three years, with the next assessment due in 2025, these evaluations cover our HQ, the Port Dickson Refinery (PDR), Lumut PME Plant (LPP), and terminals. Notably, the 2022 - 2023 assessments found low risk of corruption or money laundering within our organisation.

In addition to addressing corruption risks, we ensure compliance with anti-competitive behaviour, anti-trust, and monopoly laws. For 2024, we are proud to report zero violations or instances of anti-competitive conduct.

These efforts demonstrate our unwavering resolve to uphold integrity in all aspects of our business, building trust and safeguarding our reputation as a responsible corporate entity.

ETHICAL BUSINESS PRACTICES

Anti-Corruption Training

Building a culture of integrity and compliance is central to Petron Malaysia's business operations, and comprehensive training on our SBC is a key part of this effort. Through targeted educational initiatives, we ensure employees at all levels, including new hires, are well-versed in the ethical principles and policies that safeguard our operations.

Our Legal Department conducts SBC training as part of induction sessions held three times a year, ensuring that new employees are equipped with the knowledge to uphold Petron's ethical standards from the start of their journey with us. Additionally, a group-wide SBC refresher training is conducted every two years, with the next session scheduled for 2025. These sessions, which cover critical topics, including anti-corruption,

whistleblowing, anti-money laundering, and sexual harassment, offer a comprehensive understanding of Petron's zero-tolerance approach to unethical practices.

In 2024, we achieved 100% completion of the Annual Ethical Declaration by all personnel, a requirement that reinforces individual accountability and adherence to our SBC policies. Our commitment extends beyond employees, with all members of the Board of Directors (BOD) also receiving anti-corruption and anti-money laundering training, ensuring that ethical practices are upheld at every level of governance.

These initiatives are part of our broader objective to ensure 100% of employees are trained on the Standards of Business Conduct by 2025.



COMPLIANCE STATUS

In 2024, Petron Malaysia recorded zero instances of significant non-compliance or substantiated complaints, highlighting the robustness of our ethical framework. Beyond merely meeting compliance obligations, our approach to ethical business management fosters enduring trust, safeguards our reputation, and underpins the long-term resilience of the Company.

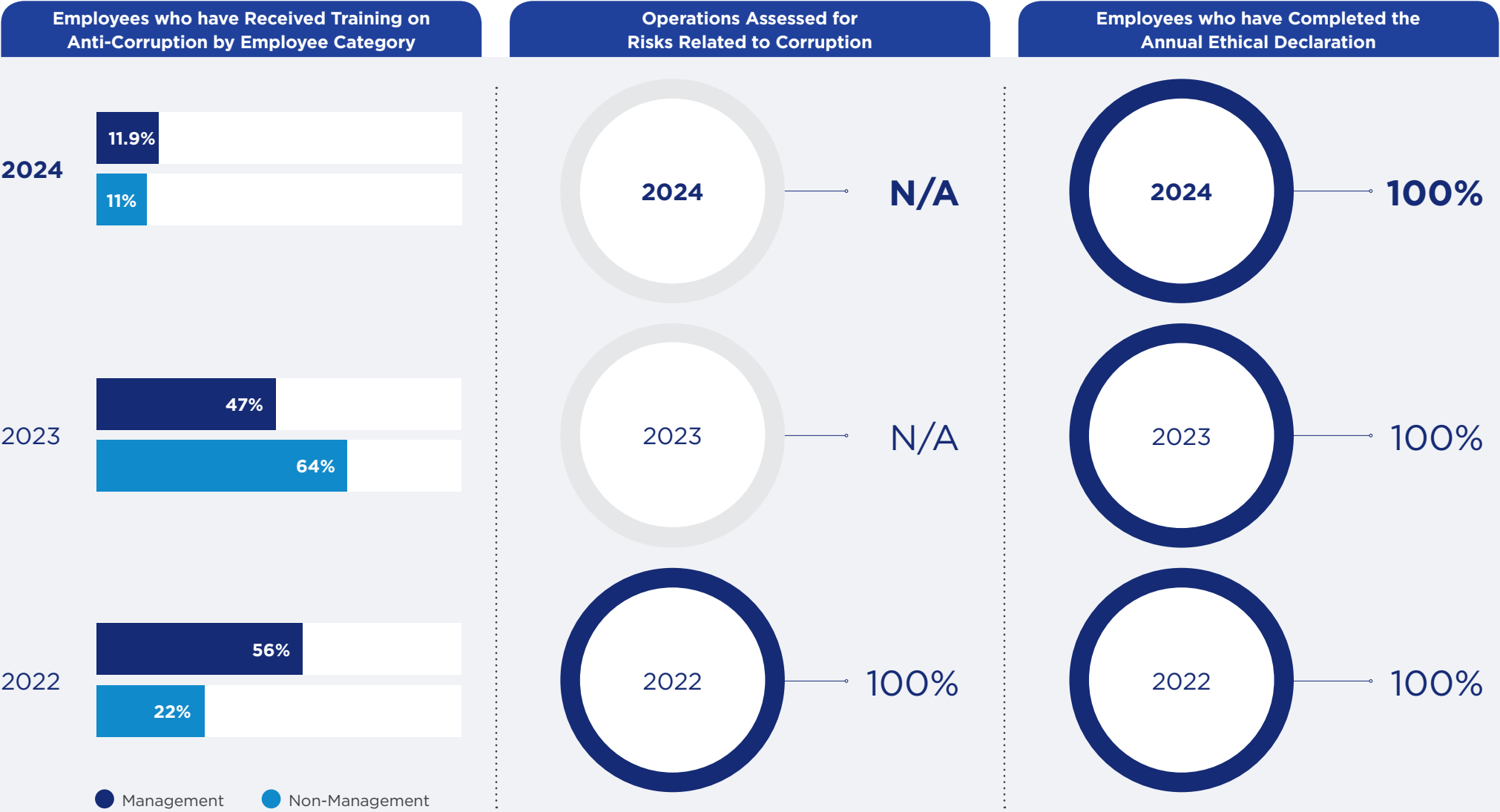
Instances of Significant Non-compliance/ Substantiated Complaints in 2024

Air Emissions	0
Wastewater Discharge	0
Regulations/Voluntary Codes on Health and Safety Impacts of Products and Services	0
Regulations/Voluntary Codes on Product and Service Information and Labelling	0
Regulations/Voluntary Codes on Marketing Communication (Advertising, Promotion, Sponsorship)	0
Breach of Customer Privacy and Loss of Customer Data	0
Human Rights Violations	0

Note:

- Significant instances of non-compliance refers to court-imposed fines

ETHICAL BUSINESS PRACTICES





PROTECTING THE ENVIRONMENT AND NATURE

At Petron Malaysia, sustainability is embedded in the way we operate to guide our efforts to minimise environmental impact while improving efficiency across our value chain. We are committed to reducing emissions, optimising resource consumption, and implementing best practices that align with both local regulatory requirements and international environmental standards. Through stringent environmental management systems and continuous process improvements, we strive to maintain high levels of operational excellence while upholding our responsibility to the environment.

Our commitment to environmental stewardship is evident in the expansion of our Integrated Management System (IMS) certifications. Encompassing accreditation in ISO 45001 for Occupational Health and Safety Management Systems (ISO 45001 OHSMS), ISO 14001 for Environmental Management Systems (ISO 14001 EMS), and ISO 9001 for Quality Management Systems (ISO 9001 QMS), the IMS certifications reinforce our best practices in occupational health and safety, environmental management, and quality management. In 2024, we took key steps to strengthen our IMS framework, by initiating the QMS rollout at Lumut PME Plant and extending IMS implementation to all three Sabah Terminals in July. All four facilities subsequently underwent SIRIM certification audits, which were completed in December 2024, marking an important milestone in our ongoing efforts to enhance governance and operational controls across our facilities.

2024 Key Highlights:

Reduced total group Scope 1 and 2 Greenhouse Gas (GHG) emissions by

15% from FY2023 (FY2023: 262 ktCO₂e)



Increased total group hazardous waste diverted from disposal by **50% from FY2023** (FY2023: 400 tonnes)



Reduced total group water consumption by **20% from FY2023** (FY2023: 150 ML)



Planted **1,400 trees** through the **National 100 Million Tree Planting Campaign**



PROTECTING THE ENVIRONMENT AND NATURE

Further reinforcing our commitment, SIRIM conducted IMS audits at several key locations, including the Petron Malaysia Peninsular Terminals and Petron Oil (M) Sdn. Bhd. terminals, between July and November. These assessments focused on both recertification and new certifications for environmental and occupational health and safety standards. The process concluded successfully in November, with auditors identifying no major non-conformances and recommending IMS certification for the audited terminals with a one-year validity.

Our approach to environmental management is guided by the ISO 14001 EMS standard and contained in the Environmental Business Plan (EBP), a strategic framework that sets annual targets over a five-year horizon to ensure alignment with our broader sustainability goals. This plan is regularly assessed to reflect evolving environmental priorities and business objectives, ensuring that our operations remain efficient, compliant, and forward-thinking.

Our environmental data covers all operating facilities in which Petron Malaysia holds more than 50% ownership and full operational control. This includes the Port Dickson Refinery, Port Dickson Terminal, Bagan Luar Terminal, Lumut PME Plant, as well as our sister companies' terminals in Kuantan, Sepangar Bay, Sandakan, and Tawau. Group-wide energy consumption and GHG emissions data also encompass our Head Office at Menara I&P, Kuala Lumpur, and the Petron Retail Training Centre (PRTC). References to "PDR" in the Environment section specifically relate to both the refinery and terminal operations in Port Dickson, Negeri Sembilan.

Our approach reflects a commitment to resource conservation, regulatory excellence, and sustainable growth, ensuring that we continue to protect the environment while delivering value to our stakeholders and the communities in which we operate. To this end, our Port Dickson Refinery and several of our terminals participated in the Prime Minister's Hibiscus Award (PMHA) 2024/2025 cycle. By subjecting our operations to rigorous evaluation against stringent environmental criteria, we continue to demonstrate our dedication to sustainable practices. The results of this assessment are anticipated to be announced in late 2025.

Port Dickson Refinery Scope Manufacturing of petroleum products and supply to Port Dickson Terminal, marine shipments and Multi Product Pipeline Certification ISO 45001 OHSMS ISO 14001 EMS ISO 9001 QMS	Port Dickson Terminal Scope - Truck Loading/Bottling and Distribution of Petroleum Products (Fuel/LPG) - Receive, storage and supply of petroleum products Certification ISO 45001 OHSMS ISO 14001 EMS ISO 9001 QMS	KLIA Aviation Depot Scope Refuelling of Jet A1 into Plane and Aircraft Defueling Certification ISO 9001 QMS
Bagan Luar Terminal, Kuantan Terminal, Pasir Gudang JV Terminal Scope Receiving, storing and supplying of petroleum products Certification ISO 45001 OHSMS ISO 14001 EMS ISO 9001 QMS	Sepangar Bay Terminal, Sandakan Terminal, Tawau Terminal Scope Receiving, storing and supplying of petroleum products Certification ISO 45001 OHSMS ISO 14001 EMS ISO 9001 QMS	Lumut PME Plant (LPP) Scope Manufacturing of Palm Oil Methyl Ester (PME) and Glycerin Products Certification ISO 9001 QMS

CLIMATE CHANGE AND GREENHOUSE GASES (GHGS)

Accelerating climate change continues to present serious threats to ecosystems, societies, and economies worldwide, with rising temperatures and more frequent extreme weather events underscoring the urgency of collective action. From Petron's perspective, the intensifying climate crisis not only poses risks to our own business operations but also carries significant implications for our broader stakeholder community. As a player in the oil and gas industry, Petron relies heavily on various energy sources to drive our operations. These include electricity from the grid, fuel gas, and natural gas as well as renewable energy sources such as solar energy to power our offices, machines, plants and selected stations. In a bid to mitigate our environmental impacts and to ensure our long-term value creation, the Board of Directors maintains a strong focus on climate-related issues and GHG emissions, affirming the importance of proactive environmental stewardship within our overall strategy.



In line with the National Energy Policy 2022–2040, Petron Malaysia continues to prioritise energy efficiency and greenhouse gas (GHG) emissions reduction efforts across our operations. Specifically, we aim to reduce our Scope 1 and Scope 2 GHG emissions intensity by 4% by 2025, from a baseline of 6.49 kg of CO₂e per barrel in 2022. Recognising the role of the energy sector in Malaysia's transition towards renewables, we actively support the national goal of increasing the country's renewable energy capacity to 31% by 2025. The Group's GHG objectives are also strategically aligned with the Net Zero aspirations of our parent company, San Miguel Corporation.

To address climate risks and harness potential opportunities, we also pursue initiatives that embed climate considerations into operational planning, and foster greater awareness among our workforce and throughout our supply chain. Additionally, we continue to develop internal policies that align with our goals of mitigating our greenhouse gas impacts, integrating these strategies into our annual Business Plan to ensure consistent implementation throughout the organisation's value chain.

Through these measures, Petron demonstrates its commitment to mitigating climate impacts and adapting to evolving environmental challenges. By acknowledging climate change as a material matter and integrating it into our strategic decision-making, we strive not only to safeguard our own long-term viability but also to contribute positively to the global transition towards a more sustainable, climate-resilient economy. Furthermore, these efforts not only drive internal improvements but also strengthen our ability to communicate performance and progress to stakeholders in line with the latest disclosure requirements, such as the IFRS S1 and S2 standards.

CLIMATE CHANGE AND GREENHOUSE GASES (GHGS)

GHG Emissions Management

At Petron Malaysia, we remain dedicated to reducing our GHG emissions through strategic enhancements in energy efficiency, emissions control, and sustainable fuel production. As part of our ongoing efforts, we focus on minimising carbon dioxide (CO₂) emissions, which constitute the majority of our GHG output, while also mitigating methane (CH₄) and nitrous oxide (N₂O) emissions from combustion processes in furnaces and boilers. By improving combustion efficiency, we aim to maximise complete fuel combustion, thereby reducing the formation of secondary GHG.

To achieve low-carbon operations, we have implemented several energy-saving and operational optimisation initiatives at PDR and our other key facilities. These measures include the installation of a lower-power instrument air compressor and the regular cleaning of burners to improve combustion efficiency, both of which contribute to lower Scope 1 emissions. Plans are also in place for the refinery to install a new boiler by 2025 and LPP to install a dual burner boiler by 2026 for better efficiency.



For Scope 2 emissions, we have made significant progress in optimising energy use by leveraging energy efficiency technology as well as renewable energy. For further details on our energy-saving measures, please refer to the Energy Management section.

Beyond emissions reduction in our refining operations, Petron Malaysia is actively supporting Malaysia's Biodiesel Mandate by transitioning from B10 to B20/B30 biodiesel blends. Our Lumut PME Plant plays a crucial role in this initiative, having increased production capacity by 30%. This expansion enables a monthly displacement of 6,370 metric tonnes of Palm Oil Methyl Ester (PME) in placement of Automotive Diesel Oil (ADO) thereby reducing emissions from customer fuel use through the adoption of PME. This decrease would translate to a 20,000 metric tonne CO₂ reduction per month.

As part of our long-term commitment to sustainable fuel production, we are progressing with the construction of a new 400 tpd PME plant alongside a 420 tpd Refined, Bleached & Deodorised Palm Oil (RBDPO) plant, expected to be mechanically completed by early 2026. Upon completion, the facility is projected to displace 12,000 metric tonnes of PME per month, leading to an estimated reduction of 40,000 metric tonnes of CO₂ emissions linked to fuel use by customers.



Our commitment to emissions management and energy efficiency has earned industry recognition. In 2024, we received recognition as the Runner-Up in Energy Management in the Large Industry category at the National Energy Awards 2024.

By continually refining processes and adopting cleaner, more efficient technologies, the Group not only supports national sustainability objectives but also bolsters its ability to operate responsibly in a rapidly evolving energy landscape.

CLIMATE CHANGE AND GREENHOUSE GASES (GHGS)

The GHG inventory summary provides an overview of Petron Malaysia's emissions, following internationally recognised methodologies for quantification and reporting. The inventory covers Scope 1 (direct emissions), Scope 2 (indirect emissions from purchased electricity) and relevant Scope 3 (business travel and employee commuting), with reference to the GHG Protocol.

The quantification methodology is based on a combination of direct measurement, emission factors, and energy consumption data, ensuring accuracy and consistency in calculations. Emission factors are sourced from reputable databases such as the American Petroleum Institute (API), U.S. Environmental Protection Agency (EPA) and local regulatory guidelines.

The organisational boundary for this inventory is established using the equity share approaches, ensuring that emissions are accounted for based on more than 50% equity share. The reporting boundary includes relevant emission sources within facilities under Petron Malaysia, ensuring a transparent and accountable reporting process. However, we acknowledge the need for future expansion to enhance completeness.

GHG Emissions Across Petron Malaysia Network				
Locations	Refinery	LPP	Terminals	Groupwide
Applicable GHGs	CO ₂ , CH ₄ , N ₂ O	CO ₂	CO ₂	CO ₂ , CH ₄ , N ₂ O
Scope 1	- Furnaces - Boiler - Flaring - Genset - Company Vehicles	- Boiler - Forklift	- Pump - Genset - Company Vehicles	-
Source of Emission Factors	American Petroleum Institute (API) Compendium of GHG Emissions Methodologies for the Natural Gas and Oil Industry (2009)	U.S. Environmental Protection Agency (EPA) 2021		-
Scope 2	Purchased Electricity			-
Source of Emission Factors	MY Energy Commission 2019 Grid Electricity			-
Scope 3	-			- Business Travel - Employee Commuting
Source of Emission Factors	-			U.S. Environmental Protection Agency (EPA) 2024



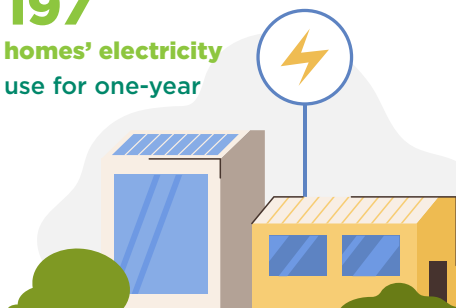
CLIMATE CHANGE AND GREENHOUSE GASES (GHGS)

Q What is 1 kilotonne of CO₂ equivalent to?

Carbon sequestered by
16,535 tree seedlings
grown for 10 years



CO₂ emissions from
197
homes' electricity
use for one-year



Source: US EPA Gov Greenhouse Gas Equivalencies Calculator
(Updated November 2024)

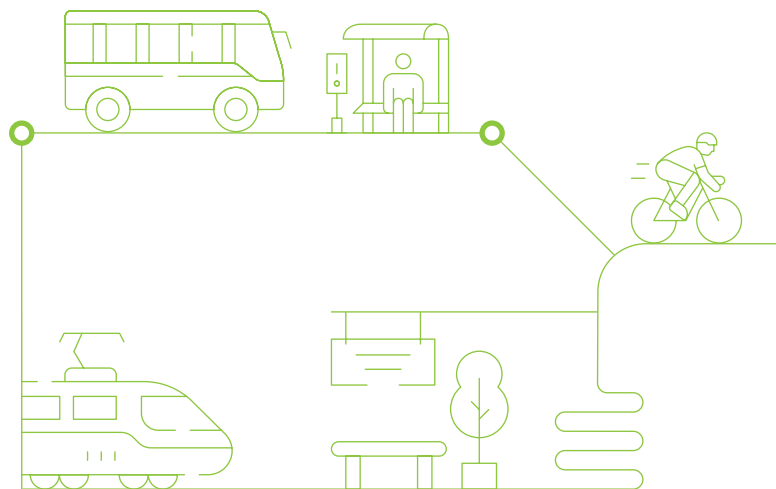
GHG Emissions Performance

Petron Malaysia continues to advance its efforts in reducing GHG emissions, achieving notable reductions in both direct and indirect emissions. Through process optimisation and enhanced equipment efficiency, the company recorded a 14% decrease in Scope 1 emissions from fuel consumption and a 17% reduction in Scope 2 emissions from electricity consumption.

In particular, PDR recorded reductions in both Scope 1 and Scope 2 GHG intensity. Scope 1 improvements followed a scheduled heat exchanger cleaning in May-June, which optimised heat transfer and lowered furnace firing requirements. LPP also reported a 10% decrease in Scope 2 intensity, partially due to a 21-day production shutdown.

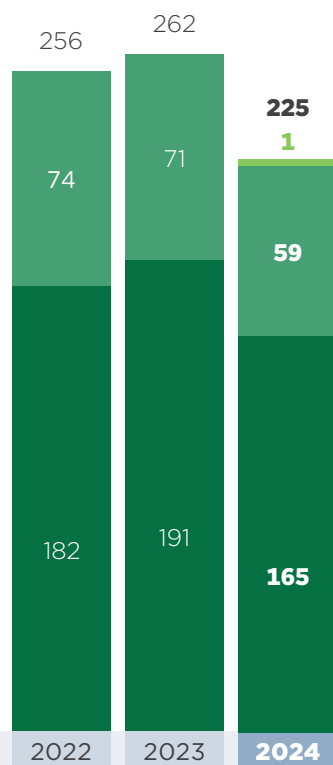
Beyond operational measures, Petron Malaysia remains committed to addressing Scope 3 emissions associated with fuel usage. The company's cleaner fuel portfolio - featuring RON 100 with sulphur content below 10 ppm, Petron Turbo Diesel B7, and Diesel Max B10 at Euro 5 standards - contributes to reduced GHG impacts on the end-user side. Infrastructure enhancements, including the Marine Import Facility 2 (MIF2) commissioned in 2021 for larger parcel imports, further minimise shipping frequencies and cut emissions. The Multi-Product Pipeline and Klang Valley Distribution Terminal have likewise streamlined truck deliveries, yielding CO₂ reductions of 486 tCO₂e monthly, which are equivalent to planting more than 8,000 tree seedlings over ten years.

To deepen its understanding of indirect emissions, Petron Malaysia launched new data collection processes for Scope 3 on 1 August 2024, incorporating updates to the Employee Self Service (ESS) Portal and introducing an Employee Commuting Survey. Preliminary data shows employee commuting contributes 0.75 ktCO₂e, while business travel adds 0.33 ktCO₂e, for a total of 1.08 ktCO₂e in Scope 3 emissions during the year. Although these efforts centre on data acquisition, they mark an important step towards broader Scope 3 mitigation strategies.



CLIMATE CHANGE AND GREENHOUSE GASES (GHGS)

Group GHG Emissions – ktCO₂e



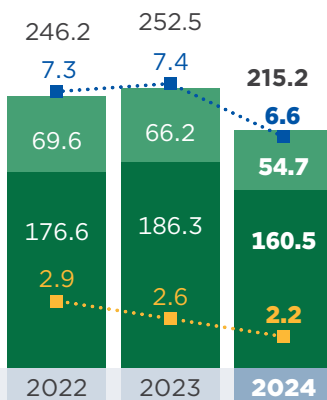
■ Scope 1
 ■ Scope 2
 ■ Scope 3
 (Employee Commuting & Business Travel)

Note:

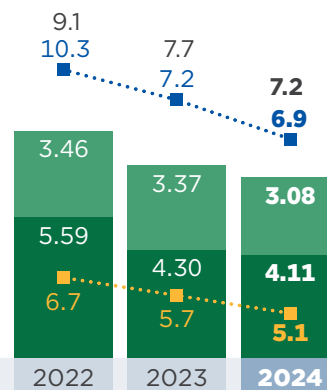
- Scope 3 emissions data covers only the period from 1 August 2024 to 31 December 2024 due to the late commencement of the data collection exercise, primarily due to new data tracking processes.

GHG Emissions and Intensity (ktCO₂e and kgCO₂e/BBL)

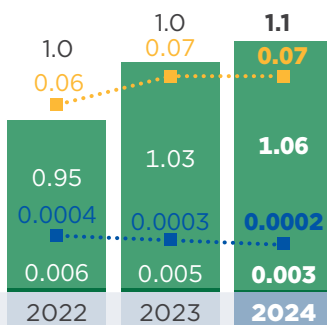
Port Dickson Refinery and Terminal



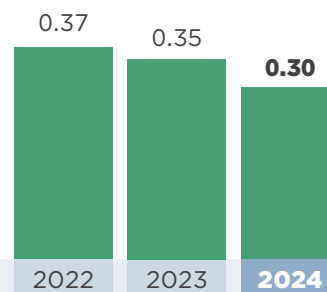
Lumut PME Plant



Terminals (BLT, KTN, SBT, SDK, TWU)



HQ & PRTC



■ GHG Emissions Scope 1
 ■ GHG Emissions Scope 2
 ■ GHG Intensity Scope 1
 ■ GHG Intensity Scope 2

Note:

- The global warming potential rates used in the calculation of CO₂e are based on the Intergovernmental Panel on Climate Change (IPCC) Fifth Assessment Report (AR5) over a 100-year period.

CLIMATE CHANGE AND GREENHOUSE GASES (GHGS)

Efficient Energy Management

During FY2024, as Malaysia's GDP rose by 5.1%, Petron Malaysia continued to play a vital role in meeting the country's growing energy requirements by ensuring a reliable supply of fuel for households, businesses, and industries nationwide. We were well prepared to address the increase in biodiesel demand, as LPP expanded its capacity in FY2023 to achieve a 30% surge in sustainable palm oil methyl ester production.

Petron Malaysia's energy consumption is primarily driven by electricity, supplemented by other sources such as fuel gas, natural gas, diesel, light fuel oil, and gasoline, which support operations across the refinery, terminals, and LPP.

By integrating renewable energy solutions, investing in energy-efficient technologies, and expanding electric vehicle (EV) infrastructure, Petron Malaysia is taking decisive steps towards reducing its GHG emissions and driving a more sustainable energy future.

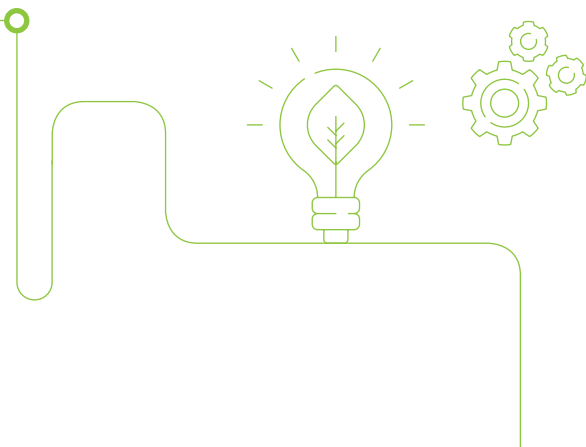
Central to this achievement was the implementation of infrastructure upgrades at our facilities which include the integration of renewable energy sources to power our operations. A significant share of this initiative is centred at LPP where most of the Group's renewable energy supply is currently generated. Building on this progress, preparations are underway for the installation of solar panels at our refinery, slated to begin in 2026. In 2024, we also equipped our refinery, terminals, LPP, and retail stations with solar-powered perimeter lighting. Moreover, we expanded the adoption of solar energy across our network by fitting 35 service stations with solar panels, drawing closer to our target of installing ~50 more by 2025. The system enables the service stations to run on solar energy at night. During the day, the facilities will continue to draw electricity from the national grid via Tenaga Nasional Berhad.



Additionally, Petron has steadily replaced conventional lighting with energy-efficient LED fixtures in our refinery, terminals, service stations, HQ, and training centre. New station designs feature natural lighting and ventilation, reducing reliance on grid electricity. Additionally, these facilities utilise ENERGY STAR-certified appliances and inverter-based air conditioning systems to optimise energy consumption. The introduction of a Variable Frequency Drive (VFD) for Power Former 2 at our refinery has also enhanced energy efficiency by adjusting motor speeds based on operational demand.



As part of our broader sustainability efforts, we also continue to actively participate in global initiatives such as Earth Hour, turning off non-essential lighting across our facilities, including our refinery, terminals, plants, and service stations.



CLIMATE CHANGE AND GREENHOUSE GASES (GHGS)

Furthering our shift towards cleaner mobility, we expanded beyond our own operations to pilot an electric vehicle (EV) charging station in 2021 and, expanded our efforts in 2024 at Petron's Dealer Owned, Dealer Operated (DODO) stations through strategic partnerships. This included collaborating with *Tenaga Nasional Berhad* (TNB) to install two additional chargers at selected stations and working with Carput to introduce another charging station at one of our locations. Moving forward, we are looking to install seven more EV charging stations across our network in 2025, inclusive of two pilot installations at Company Owned, Dealer Operated (CODO) sites.



Earth Hour 2024 - Our Biggest Hour for Earth

At Petron Malaysia, we recognise that even small changes can yield meaningful benefits for the planet. During this year's Earth Hour on 23 March, our teams at the Refinery, Terminals, Lumut PME Plant, and 518 service stations joined forces by switching off non-essential lighting from 8.00 p.m. to 9.00 p.m.

This collective effort resulted in energy savings of 2,447.36 kWh, which translated to approximately 1.7 tonnes of CO₂ equivalent. By participating in Earth Hour, we highlighted our dedication to protecting the environment and raised awareness of the importance of energy conservation.

While Earth Hour may last just sixty minutes, its real value lies in the call for ongoing, positive change. Petron Malaysia aspires to extend these efforts beyond the hour to encourage continuous improvements in our environmental practices.



1,700 kg CO₂e avoided = **112,869** smartphones charged



Driving **7,038** km in a typical petrol-powered vehicle



Consuming **727** litres of petrol



Source: US EPA Gov - Greenhouse Gas Equivalencies Calculator



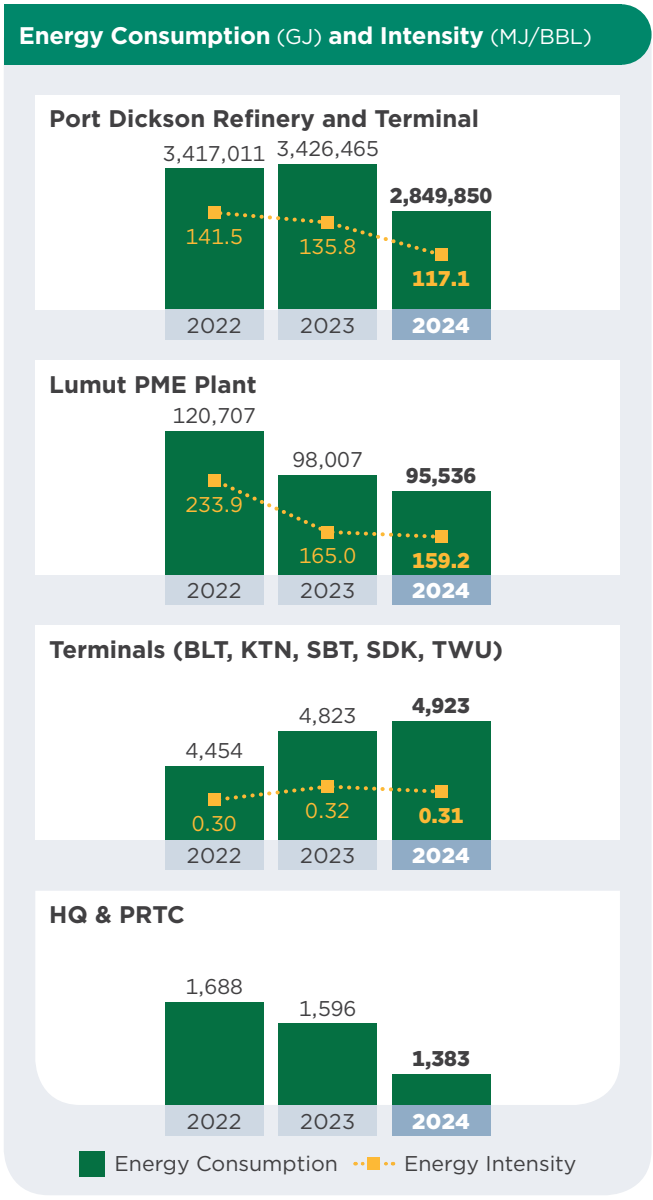
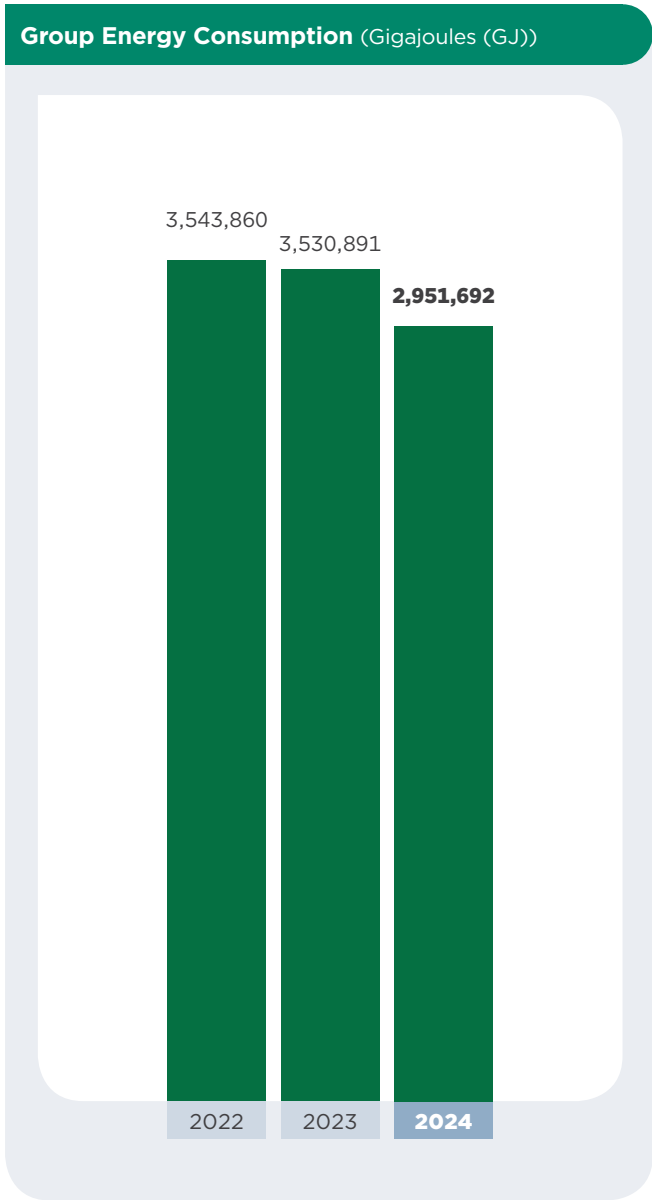
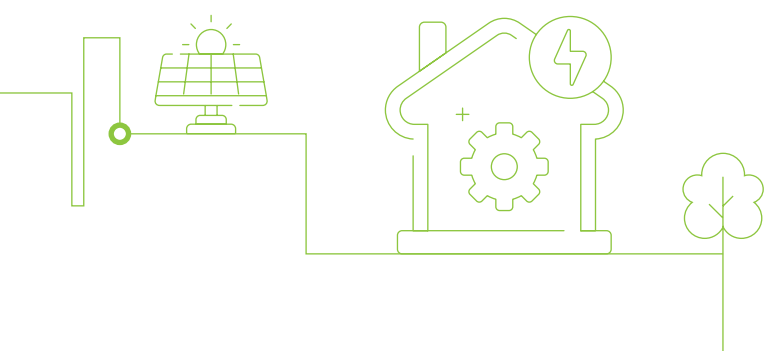
CLIMATE CHANGE AND GREENHOUSE GASES (GHGS)

Energy Performance

In 2024, the company improved energy efficiency and reduced GHG emissions. PDR, which accounted for 97% of total energy consumption, recorded a significant 14% reduction in unit energy intensity compared to 2023, mainly due to an extended plant shutdown. This reduction was further attributed to energy optimisation initiatives, including the installation of a lower-power instrument air compressor, Variable Frequency Drive (VFD) for pumps, and solar-powered perimeter lighting. Additionally, scheduled maintenance activities, such as heat exchanger and electrical air fin cooler cleaning, further contributed to enhanced energy efficiency.

Following the full transition to LED lighting across LPP, HQ, and PRTC by the end of 2023, electricity consumption continued to decline. LPP also replaced perimeter lighting with solar-powered alternatives and installed digital power meters (DPM) to improve energy monitoring and savings.

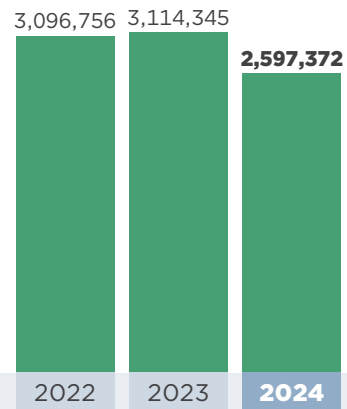
Petron Malaysia remains committed to improving energy efficiency through continuous upgrades and replacement of outdated equipment with energy-efficient alternatives.



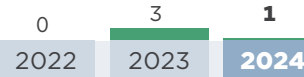
CLIMATE CHANGE AND GREENHOUSE GASES (GHGS)

Group Energy Consumption by Sources (Gigajoules (GJ))

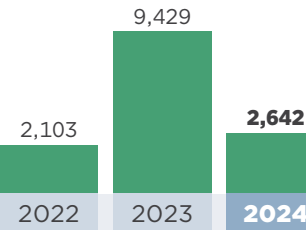
Fuel Gas



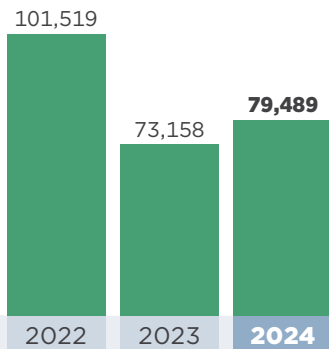
Gasoline



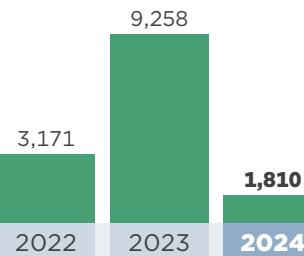
Diesel



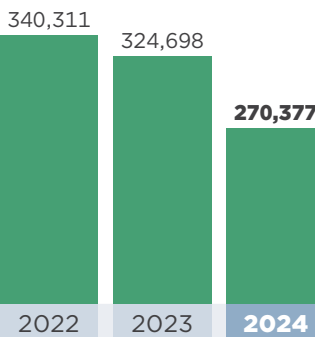
Natural Gas



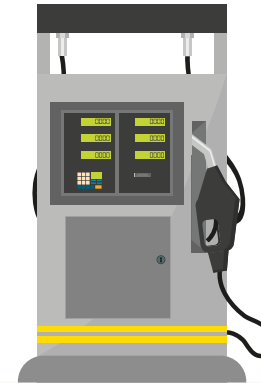
Light Fuel Oil (LFO)



Electricity



How much is 1 gigajoule of energy?



28.6 litres
of petrol consumed

Source: Natural Resources Canada

AIR EMISSIONS AND POLLUTION MANAGEMENT

Managing air emissions is a critical aspect of our environmental responsibility, ensuring that our operations not only meet but exceed regulatory requirements. In addition to addressing GHGs, we actively monitor and mitigate Sulphur Oxides (SO_x) and Nitrogen Oxides (NO_x), which are key pollutants regulated under Malaysian environmental laws. Our pollution management approach extends beyond air quality to include water, soil, noise, and light pollution, reinforcing a holistic commitment to protecting the environment.

Maintaining strict compliance with environmental regulations, we conduct quarterly air quality and noise assessments at our refinery and LPP under the Environmental Monitoring Programme (EMP). Weekly effluent water testing ensures that our discharge meets Department of Environment (DOE) standards, while annual air quality and noise evaluations at our terminals provide additional oversight.

At the Port Dickson Refinery, we employ the Predictive Emission Monitoring System (PEMS), which is directly linked to the DOE's Integrated Remote Monitoring Enforcement (iREMOTE) system. This allows real-time tracking of emissions, with automated alerts triggered when gases at high-rating furnaces exceed permissible limits. Process personnel are immediately notified, enabling them to take swift corrective action to maintain compliance.



Beyond monitoring, we remain proactive in minimising our environmental impact by producing cleaner, low-sulphur fuels in line with the government's Clean Air Action Plan (CAAP), which supports the Environmental Quality Act 1974. Additionally, we engage with local communities to address pollution concerns promptly and transparently, strengthening trust and accountability.

Our dedication to responsible air emissions management was reaffirmed in 2024, as no significant court-imposed fines were recorded for environmental non-compliance. By continuously investing in cleaner technologies, stricter monitoring systems, and community engagement, we are advancing our mission to reduce pollution and contribute to a healthier environment for future generations.

ZERO
ENVIRONMENTAL FINES
OR PENALTIES (MYR 0)
INCURRED IN FY2024.

AIR EMISSIONS AND POLLUTION MANAGEMENT

SOx and NOx Emissions Management

Petron Malaysia recognises the importance of controlling air pollutants, particularly sulphur oxides (SOx) and nitrogen oxides (NOx), which primarily stem from our refinery furnace operations. To achieve this, we have embraced cutting-edge technology by installing advanced Oxygen (O₂) and Carbon Monoxide (CO) analysers in our Diesel Hydrotreater (DHT) furnace. These systems enable us to maintain precise control over the combustion process, thereby minimising the production of these harmful emissions.

At our terminals and the Lumut PME Plant, emissions remain negligible as diesel generators and fire water pumps are utilised sparingly—only during emergency situations, testing, or as backup. Furthermore, we maintain a rigorous schedule of routine burner servicing and maintenance, carried out both during regular operation and planned shutdowns, to ensure that all equipment functions at optimal efficiency while keeping emissions to a minimum.

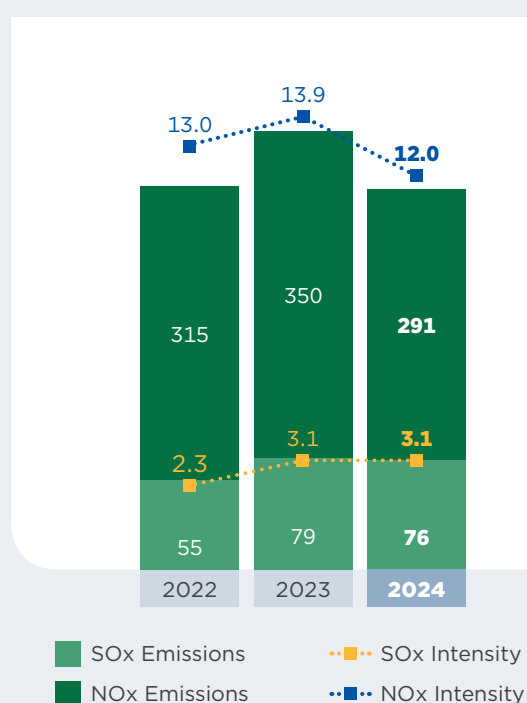
In addition, our proactive No Oil to Sewer (NOTS) initiative prevents oil discharge into our sewer systems by facilitating the prompt recovery of hydrocarbons from the skim pond back into the slop tank, thus reducing the risk of volatile organic compound contamination.

By integrating advanced technology with stringent operational controls, Petron Malaysia will continue to drive tangible reductions in our SOx and NOx emissions.

SOx and NOx Emissions Performance

The intensity of SOx emissions remained stable while NOx emissions showed a decline. This positive outcome can be largely attributed to a reduction in crude processing and lower crude gas consumption resulting from shutdowns, both of which have contributed to minimising flaring activities.

SOx and NOx Emissions (Tonnes) and Intensity (G/BBL)



Spill/Leaks Management

Petron Malaysia reinforces its commitment to protecting the environment by consistently evolving its spill and leak management framework. To this end, we have integrated an innovative Mechanical Integrity and Global Reliability system within our Petron Operations Integrity Management System (POIMS). This approach rigorously scrutinises every process and asset through scheduled testing, detailed inspections and a structured maintenance programme, ensuring that our operations meet both regulatory and industry standards. The Group is also looking to enhance POIMS training and operational controls so as to maintain our target of zero reportable spill incidents.



AIR EMISSIONS AND POLLUTION MANAGEMENT

We have also refined our operational safeguards by setting clear performance parameters and introducing continuous monitoring to track equipment health. Regular training and emergency drills keep our staff fully prepared to tackle any unexpected challenges. As part of our forward-thinking strategy, we are planning a comprehensive Risk-Based Inspection of all refinery equipment by 2025, and are actively updating outdated assets as part of our preventive maintenance initiatives to secure our operational integrity. We will also be organising continuous training in chemical handling and the deployment of a certified Emergency Response (ER) team.

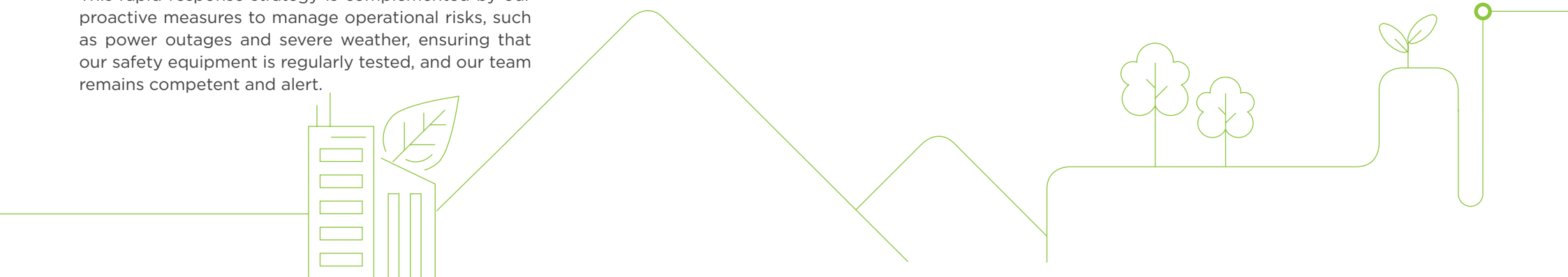
Our retail service stations are equipped with advanced leak detection technology and our service station dealers are required to consistently monitor daily oil loss reports. This exercise includes utilising precise procedures that include Tank Pump Reconciliation Reports, Automatic Tank Gauging systems and Critical Safety Devices to avert environmental discharges.

We immediately take action in the event of an oil spill, coordinating with the Petroleum Industry of Malaysia Mutual Aid Group (PIMMAG) and other regulatory bodies to limit any potential environmental harm. This rapid-response strategy is complemented by our proactive measures to manage operational risks, such as power outages and severe weather, ensuring that our safety equipment is regularly tested, and our team remains competent and alert.

During the year, we advanced several preventive initiatives, including tank seal upgrades, the installation of vapour monitoring wells and the launch of an Annual Leak Detection and Repair (LDAR) Programme. The successful execution of the ERP PELITA IX Exercise in August 2024 further demonstrated our readiness to manage emergencies effectively while we strive to maintain our record of zero reportable spills. For further details on this exercise, please refer to the ‘Emergency Preparedness and Response’ Box Story under ‘Safety’ in the ‘Social’ section of this Report on page 101.

Spills Performance in FY2024		
In the year under review, we had zero significant (reportable) spill incidents at PDR, Terminals and LPP		
	Number of Reportable Spills	Estimated Spills Volume (Litres)
Spills on Land	0	0
Spills on Water	0	0
Spills at Offsite	0	0

- Notes:
- The spills performance in FY2024 table includes PDR, Terminals and LPP, aligning with our reporting scope on Environment data.
 - Significant (Reportable) spills**, as defined by Petron Malaysia’s Work-Related Incidents and Injury (WII) guidelines - Incident Severity Determination, are spills that exceed 10 barrels (bbls) on land or offsite locations, and those above 3 barrels (bbls) on water. This criterion is uniformly applied across all Petron Malaysia Group operations.
 - Offsite are defined as locations that are physically separate from the main facility, site or operation.



WASTE AND CIRCULAR ECONOMY

At Petron Malaysia, we acknowledge that a robust approach to waste management is fundamental to protecting the environment, preserving resources, and upholding public health, all of which are critical to sustainable development. In 2024, our commitment to minimising the environmental impacts of our operations, products, and services was reinforced through innovative waste recovery and recycling initiatives.

Adopting the circular economy approach, we have advanced our practices by enhancing the recovery of hazardous waste, repurposing non-scheduled waste streams, and introducing sustainable packaging alternatives. These measures divert waste from the landfill while reclaiming valuable resources and reducing our overall waste generation impacts. Continuous monitoring and analysis of our waste outputs ensure that we are able to refine and improve our strategies on an ongoing basis.

Furthermore, our responsibility for the safe disposal of hazardous materials remains paramount. In strict adherence to the Environmental Quality (Scheduled Wastes) Regulations 2005, we collaborate with DOE-licensed operators who utilise approved disposal facilities, thereby ensuring that our practices meet legal and environmental standards. This holistic approach not only mitigates the potential legal, reputational, and operational risks associated with improper waste handling but also reinforces our role as stewards of the environment.

In summary, our 2024 initiatives demonstrate a proactive commitment to efficient waste management and the circular economy that is underpinned by rigorous monitoring, innovative recycling and repurposing practices, and a steadfast adherence to regulatory compliance.



Waste Management

Petron Malaysia remains committed to safeguarding the environment by focusing on responsible waste management and the wider principles of a circular economy. Our Certified Environmental Professional in Scheduled Waste Management (CePSWaM) accredited personnel underscore this commitment by ensuring that our handling and storage of hazardous materials comply fully with the Department of Environment's (DOE) stringent requirements. Where on-site disposal options are unavailable, we strictly engage DOE-approved off-site facilities, employing an end-to-end approach that includes water removal and oil extraction to minimise overall waste volume.

One of Petron Malaysia's goals in its circularity measures is to extend the useful life of materials and reduce the need for disposal. We achieve this through a comprehensive waste recovery strategy, which includes extracting oil from skim ponds, reprocessing residual sludge, and responsibly managing waste by selling used additive drums and oil sludge to DOE-certified recyclers. Furthermore, we reclaim reforming catalysts to recover valuable reusable metals, ensuring compliance with the Environmental Quality Act (EQA) 1974 Standard B effluent discharge requirements. Additionally, we have installed

mandatory oil interceptors at our service stations to prevent hydrocarbon discharges. The maintenance of these systems is managed according to station ownership structure—Petron's maintenance team oversees upkeep at CODO stations, while DODO stations are maintained by the respective station owners. At the refinery, our NOTS programme involves daily checks designed to minimise the risk of hydrocarbon contamination in drainage systems.

Throughout 2023 and 2024, we accelerated several recycling and reduction initiatives, including a 30% cut in paper use at service stations by shortening receipt lengths. Further progress in 2024 has enabled optional printing for customers, significantly lowering paper consumption at Point-of-Sale (POS) and Outdoor Payment Terminals (OPT). Moreover, our partnership with KLEAN Malaysia has seen Reverse Vending Machines (RVMs) introduced at four of our service stations to encourage community recycling for plastic containers, PET bottles, and aluminium cans. These efforts have diverted nearly 35,000 items from landfills across three sites up to end-December 2024, collectively weighing almost 1,400 kilogrammes and preventing close to 3,000 kilogrammes of CO₂ emissions.



WASTE AND CIRCULAR ECONOMY

Supporting national and company-wide environmental campaigns, we continued our “Rehydrate and Recycle” Campaign to educate our customers on responsible plastic use and promote plastic bottle and plastic bottle cap recycling at our retail stations. A total of 1,300 kilograms of plastic bottles and caps were collected and successfully recycled in 2024. We also ran the “Merdeka Dari Plastik” campaign which drove awareness on reducing single-use plastics by encouraging customers to say ‘no’ to plastic and opt for reusable alternatives instead. In support of this, participating retail service stations sold non-woven bags as sustainable options.

Additionally, in conjunction with World Environment Day 2024, Petron Malaysia’s Office Safety, Health & Care Committee (POSHCC) organised an awareness session on electronic waste (e-waste) titled “*Kesedaran Sisa Elektronik Dan Hari Alam Sekitar Sedunia*,” which actively engage employees on the urgent need for proper e-waste handling to prevent environmental harm.

Our PDR facility continues to showcase innovative practices, successfully recovering 925 tonnes of bio-sulphur in 2024 for conversion into sulphuric acid, a by-product that has also proved valuable to fertiliser manufacturers since 2022. Looking ahead, we aim to build on these measures by further cutting total waste, with particular emphasis on hazardous streams, and collaborating more closely with DOE-authorized recyclers to maximise waste reprocessing options in support of a circular economy.

Sustainability Partnership Project with UPM

In 2023, Petron Malaysia forged a strategic partnership with *Universiti Putra Malaysia* (UPM) through a Memorandum of Understanding (MoU) to bolster long-term environmental sustainability initiatives. This alliance is rooted in our shared commitment to biodiversity conservation and the advancement of a circular economy. Together, we are pioneering projects that not only address critical environmental challenges but also offer tangible benefits to the community and industry.

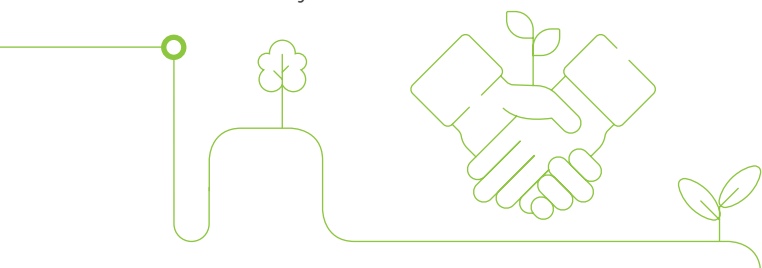
A flagship initiative under this collaboration is the Port Dickson Green Lung project. Spanning 400 acres—an area equivalent to over 300 football fields—this project is dedicated to enhancing local biodiversity and establishing a significant carbon sink near the Port Dickson Refinery. By capturing atmospheric carbon, the initiative plays a pivotal role in improving air quality in the surrounding region of Negeri Sembilan, while simultaneously contributing to climate change mitigation efforts in line with Sustainable Development Goal (SDG) 13.

In parallel, UPM researchers are spearheading innovative efforts to convert industrial waste into valuable resources. One key focus is the transformation of BioSulphur waste from the Port Dickson Refinery into a fertiliser additive. Recent findings from 2024 have demonstrated that when used on Napier grass, this bio-sulphur-based fertiliser significantly enhances plant height, leaf number, and stem girth, thereby improving crop growth and yield quality. This development not only supports

waste reduction and reinforces the circular economy but also lowers the cost of imported feedstock for farmers, aligning with our sustainability and economic goals.

Moreover, the partnership is investigating the reformulation of waste generated by LPP, further exemplifying our commitment to repurposing waste and minimising environmental impact. By reimagining waste as a resource, we are setting new benchmarks in sustainable industrial practices.

This collaborative effort highlights the mutual dedication of Petron Malaysia and UPM to advance research, education, and targeted environmental projects. Together, we are not only contributing to SDG 15 (Life on Land) and SDG 17 (Partnerships for the Goals) but also paving the way for future commercial arrangements that could scale these innovative solutions.

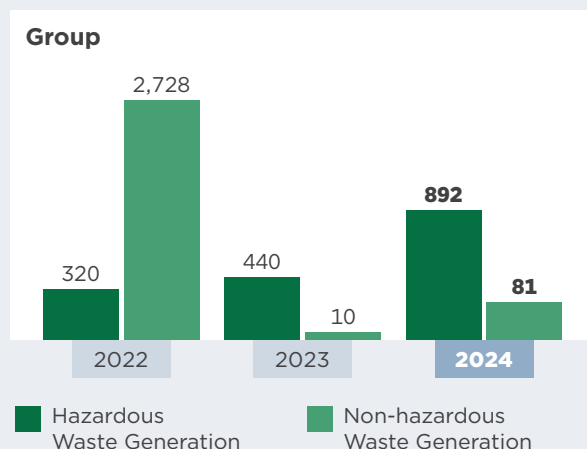


WASTE AND CIRCULAR ECONOMY

Waste Performance

Our total waste output in 2024 rose by 116% compared with the previous year, with hazardous waste increasing by 103% and non-hazardous waste surging by 710%.

Group Waste Generation (Tonnes)



Note:

- Figures reported in 2023 have been restated following internal review by Petron Corporation's Internal Audit under restatement threshold of 5%, following the refinement of data into categories.

Waste Generated



=

Waste Diverted from Disposal

+

Waste Sent to Disposal

Hazardous Waste Performance

Petron Malaysia's operations generate hazardous waste from various activities, including tank maintenance, fuel storage, and equipment use. This waste primarily consists of oily sludge, mixed oil waste, used additive and chemical drums, and spent oils. To ensure compliance with environmental regulations, all hazardous waste is managed through licensed contractors approved by the Department of Environment (DOE), following strict disposal protocols.

During the reporting period, 33% of the Group's total hazardous waste was sent for disposal, while 67% underwent recovery or recycling—representing a substantial improvement from the previous cycle. PDR, as the largest contributor at 70% of the Group's hazardous waste, undertook major lagoon desludging which typically occurs every five years. The refinery also undertook plant shutdown activities and performed rock salt removal from ADO dehazers, an operation which is carried out every two and a half years.



Despite the increase in volume, PDR succeeded in diverting 55% of its hazardous waste from disposal. This was achieved primarily through collaboration with a waste management company certified by Malaysia's Department of Environment (DOE) and licensed as an entity with ISO 17025-accredited laboratory, to repurpose lagoon sludge into alternative raw material (ARM) for co-processing in the cement industry. For the remaining scheduled waste sent for disposal, PDR ensures it is treated at a licensed prescribed facility. This facility utilises an Energy Conversion Process through its Scheduled Waste-to-Energy (SWTE) plant, which converts scheduled waste into valuable by-products and renewable energy.

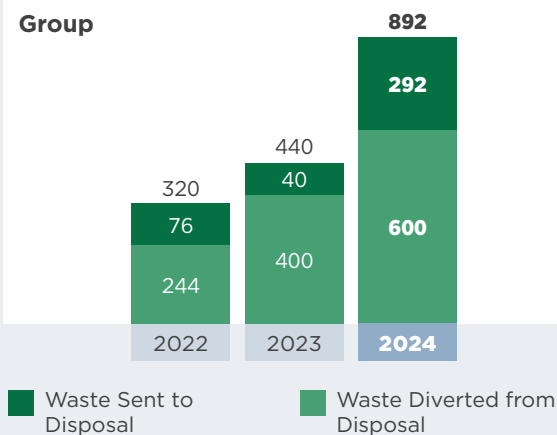
LPP accounted for 22% of the Group's hazardous waste. While production decreased due to a plant shutdown and process enhancements—including refinements to the filter press at its wastewater treatment plant—LPP maintained a high recovery rate, with 99% of its hazardous waste being converted into carbon ash for application in the cement or soil enhancement industry. To support this effort, LPP partnered with Edsha Solutions, an environmental services and sustainability firm, which oversaw the recovery process for scheduled waste.

At the terminals, advanced fuel additive technology and the conversion of selected tanks from diesel to gasoline storage led to decreased sludge and reduced waste generation from used drums. However, certain waste streams, such as oily sludge from tank maintenance and contaminated cleaning materials, remain difficult to reuse or recycle. As a result, these materials must be sent for appropriate disposal.

WASTE AND CIRCULAR ECONOMY

Petron Malaysia continues to explore methods to divert more hazardous waste from disposal, emphasising beneficial reuse, resource efficiency, and container recycling. In partnership with UPM, the company is also investigating additional opportunities to repurpose operational by-products in line with a circular economy model. Looking ahead, Petron remains dedicated to lowering hazardous waste disposal intensity by 2% from 2022 levels by 2025.

Hazardous Waste Generated (Tonnes)



Notes:

- Hazardous waste sent to disposal (incineration with and without energy recovery, landfilling); hazardous waste diverted from disposal (recovery, including preparation for reuse and recycling).
- Figures reported in 2023 have been restated following internal review by Petron Corporation's Internal Audit under restatement threshold of 5%, following the refinement of data into categories.

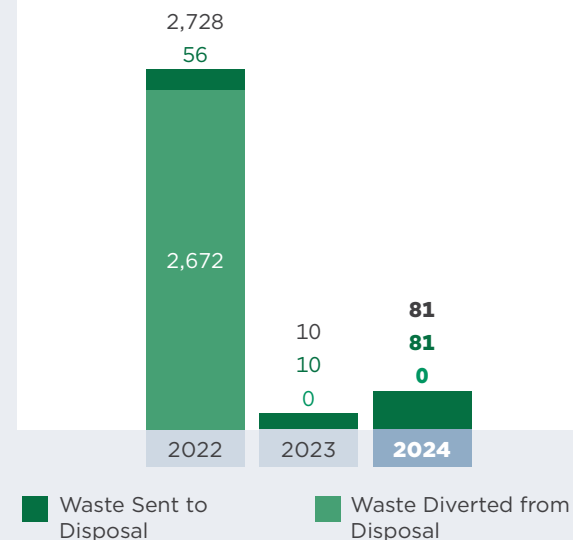
NON-HAZARDOUS WASTE PERFORMANCE

Petron Malaysia remains committed to responsible waste management by implementing stringent controls over non-hazardous waste disposal. Materials such as metals, plastics, paper, and construction debris are managed in compliance with local council regulations through authorised contractors. Improved waste segregation practices have further enhanced efficiency, leading to more effective waste processing across operations. The appearance of the increase in non-hazardous waste in 2024 attributed to enhanced data collection and monitoring efforts which have provided a more comprehensive understanding of non-hazardous waste generation. These enhancements have, in turn, allowed for better tracking and management of disposal and recycling initiatives.



Non-hazardous Waste Generated (Tonnes)

Group



Notes:

- Non-hazardous waste sent to disposal (incineration with and without energy recovery, landfilling); non-hazardous waste diverted from disposal (recovery, including preparation for reuse and recycling).
- Figures reported in 2023 have been restated following internal review by Petron Corporation's Internal Audit under restatement threshold of 5%, following the refinement of data into categories.

WASTE AND CIRCULAR ECONOMY

12 RESPONSIBLE
CONSUMPTION
AND PRODUCTION

Enhancing E-Waste and Paper Waste Management at HQ & PD

Petron Malaysia's Office Safety, Health & Care Committee (POSHCC) has taken proactive steps to manage electronic waste (e-waste) responsibly since 2021, culminating in our largest collection initiative to date. Through this endeavour, employees from the Head Office gathered a total of 1,612.05 kg, while our Port Dickson Refinery's workshops collected 3,943 kg. These combined efforts have set a new benchmark for responsible e-waste management across the Group.

Head Office

2021 – 31 kg
2022 – 0.05 kg
2023 – 828 kg
2024 – 753 kg

1,612.05 kg
TOTAL (2021-2024)

Port Dickson Refinery

2022 – 1,430 kg
2023 – 2,300 kg
2024 – 213 kg

3,943 kg
TOTAL (2022-2024)

Note:

- Head office data in 2022 covers only Sep-Dec while the others cover from Jan-Dec.

Beyond e-waste, we also place great emphasis on the sustainable handling of documents and paper products. Under our records retention programme, we manage confidential files for a designated period before deciding whether to continue keeping them or dispose of them in an environmentally responsible manner. In 2023, we addressed a backlog of paper waste that had accumulated

since 2019 due to the COVID-19 pandemic. Working with a licensed Records Management vendor, we securely shredded and transported these materials to paper mills in Penang, where they were recycled into commercial tissue products. For 2024, we aim to expand on these efforts by streamlining our record management practices and exploring additional opportunities to reduce paper consumption further.

At the same time, we have become increasingly selective about the paper we use in our day-to-day operations. We opt for paper certified under the Programme for the Endorsement of Forest Certification (PEFC). By choosing PEFC labelled paper, we help ensure that responsibly managed forests continue to provide environmental, social, and economic benefits for future generations.



WASTE AND CIRCULAR ECONOMY



Advancing E-Waste Responsibility at Petron Rinningg

In a pioneering move to promote sustainable practices and raise public awareness on e-waste disposal, Petron Malaysia joined forces with the Selangor Department of Environment (DOE) to host its inaugural e-waste collective drive on 22 June 2024 at Petron Rinningg. A model of sustainability in its own right, Petron Rinningg is equipped with solar panels, rainwater harvesting systems, and landscape features constructed from recycled materials as well as local plantings such as lemongrass and pandan leaves.

The drive was officially inaugurated by Selangor Public Health and Environment Exco YB Jamaliah Jamaluddin, DOE Selangor Director Nor Aziah Jaafar, and our Head of Retail Business, Shaliza Mohd Sidek. TM Enviro Industries Sdn Bhd, a DOE-licensed e-waste processor, managed the collection by exchanging the gathered items for cash. At their reprocessing facility, the waste undergoes sorting, processing, and remanufacturing, with over 90% of the materials successfully repurposed into new products.

The event invited residents from the nearby Semenyih area to responsibly dispose their unwanted electronics and electrical waste, resulting in the collection of an impressive 647 kg of e-waste. A total of 35 community members participated, receiving cash incentives for their contributions along with potted brinjal plants as a token of appreciation. Additionally, interactive booths hosted by our stakeholders and the DOE provided an engaging and educational experience, offering insights into the e-waste recycling process.



This initiative builds on our ongoing commitment to e-waste management, with approximately 4,500 kg of e-waste collected since 2021. Aligned with circular economy principles, it minimises environmental impact while promoting responsible consumption and production as outlined in SDG 12. It also reinforces partnerships for sustainability in line with SDG 17.



Promoting Responsible E-Waste Disposal and Sustainability at PDR

Recognising the environmental challenges posed by electronic waste, Port Dickson Refinery and Terminal launched a Household E-Waste Collection Campaign in collaboration with DOE Negeri Sembilan, the SSHE Committee, and dedicated volunteers. This initiative aimed to raise awareness of proper e-waste disposal while encouraging sustainable waste management practices within the community.

The campaign, which ran from 27 May to 30 June 2024, focused on the theme “Repair, Reuse, Recycle, and Recover” to emphasise the importance of reducing hazardous electronic waste. The effort culminated in an e-waste collection event on 3 July 2024, where 156 discarded electronic items were gathered and responsibly disposed of by Lak Makros Services Sdn Bhd, generating RM 170 in recycling value.

To complement the collection drive, a Sustainability Talk titled “Transforming E-Waste into Opportunity” was delivered by Pn. Raudhah from DOE Negeri Sembilan. The session provided insights into the impact of e-waste on the environment and the need for proper recycling and disposal methods.

By championing responsible e-waste management, Port Dickson Refinery and Terminal continue to reinforce their commitment to sustainability, ensuring that environmental awareness translates into meaningful action within the community.

WATER MANAGEMENT

Petron Malaysia recognises that water is a vital resource underpinning every aspect of our operations—from refining processes to daily activities at our service stations. In 2024, we intensified our efforts to manage this essential resource responsibly, ensuring that water scarcity does not disrupt our operations or impact community health.

At the heart of our strategy is a commitment to innovative water conservation. We continue to adhere strictly to the Environmental Quality Act 1974 and the Environmental Quality (Industrial Effluents) Regulations 2009, employing a multifaceted approach to both optimise water use and reduce overall consumption. Our robust practices enable us to closely monitor water usage, manage effluent discharge, and maintain efficiency across all operations.

Our initiatives include the ongoing reuse of water within our refinery cooling towers and the effective collection of rainwater, which is then deployed for non-potable purposes such as landscaping and facility cleaning. Additionally, we maximise efficiency by recirculating water condensed from steam back into our boilers, further reducing our dependency on fresh water supplies.

These proactive measures are part of our aim to preserve our water resources, so as to mitigate the risk of operational disruptions and safeguard the environment. Through continuous improvement and innovative water management practices, Petron Malaysia is committed to securing a sustainable future for our operations and the communities we serve.

Water Conservation

In 2024, Petron Malaysia made good progress in water conservation by adopting advanced measures to reduce raw water consumption and promote sustainable water use across our operations. During the year, we further developed our rainwater harvesting systems, enabling the collection of rainwater for non-potable applications such as toilet flushing and garden irrigation. This improvement significantly reduced our reliance on municipal water supplies, a change which contributes to a more sustainable operational model.

Across our business lines, upgraded rainwater harvesting installations have increased our capacity to capture and utilise natural rainfall, leading to notable water savings. Furthermore, a new initiative at our terminals has introduced a recycled water system that repurposes water to cool truck driver resting areas. This development not only enhances operational efficiency but also improves the working environment for our staff.

**IN TOTAL,
WE HAVE COLLECTED
1.5 MEGALITRES (ML)
OF RAINWATER ACROSS
OUR OPERATIONS IN 2024.**



WATER MANAGEMENT

These initiatives are the latest additions to Petron's water conservation projects which include polytanks, collection drums and rooftop rainwater systems which have been installed throughout our various operational facilities and service stations. Through these concerted efforts, Petron Malaysia continues to demonstrate its dedication to using water judiciously, reducing raw water consumption, and minimising environmental impact, thereby supporting our broader sustainability objectives.

Water Withdrawal and Consumption

We continue to refine our water management practices by lowering water withdrawal and consumption throughout our operations. By enhancing operational processes and using modern technologies, we have further reduced our reliance on water while maintaining efficiency.

We operate in areas not considered water-stressed according to the World Resource Institute's Aqueduct Water Stress Atlas and we rely mainly on municipal water supplies for our essential operations. Non-critical applications, such as cooling, cleaning and landscaping, are supplemented with harvested rainwater. These measures enable us to use water responsibly and uphold our commitment to sound resource management.

Waste Water and Effluent

In response to evolving operational demands, Petron Malaysia has strengthened its approach to wastewater and effluent treatment in 2024. Our processes remain firmly aligned with the Environmental Quality (Industrial Effluents) Regulations 2009 and our internal Sustainability and SSHE policies. Across our refinery, terminals, and the LPP facility, we ensure that wastewater undergoes thorough treatment before discharge, thereby

NO SIGNIFICANT COURT-IMPOSED FINES WERE RECORDED FOR NON-COMPLIANCE WITH WATER QUALITY/QUANTITY PERMITS, STANDARDS AND REGULATIONS IN FY2024.



safeguarding local water bodies and protecting aquatic life in accordance with Environmental Quality (Industrial Effluents) Regulations 2009 Standard B.

Enhancements made to the LPP wastewater treatment plant in previous years have increased its capacity to process 0.1 megalitres (ML) of wastewater per day. Following a 30% production capacity upgrade at LPP in 2023, we implemented proactive measures to manage the higher volume of effluents effectively. This adaptive approach has allowed us to maintain stringent environmental compliance while optimising our treatment processes, demonstrating our ongoing commitment to responsible wastewater management.

Water Performance

Over the reporting period, our water performance demonstrated marked improvements through enhanced efficiency measures and stringent wastewater management. Municipal water consumption declined by 20% compared to the previous period, a clear indication of the effectiveness of our initiatives.

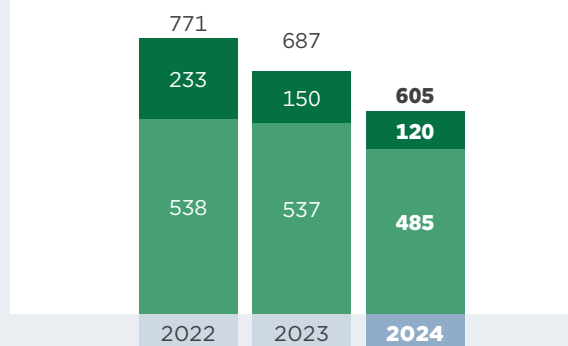
Our largest water consumer, PDR, accounted for 86% of total water withdrawal, registering a 12% reduction primarily due to plant shutdowns, which also contributed to a 9% decrease in water intensity.

Similarly, LPP reduced its water withdrawal share to 12%, representing a 13% decline from the previous period. Enhanced operational efficiency during plant maintenance also allowed LPP to lower its water consumption by 22%.

At the terminals, a slight increase in water withdrawal was observed, driven by intensified cleaning activities at Bagan Luar and Sepangar Bay Terminals in preparation for external audits, as well as tank hydrotesting at Kuantan Terminal.

Group Water Withdrawal (ML)

Group

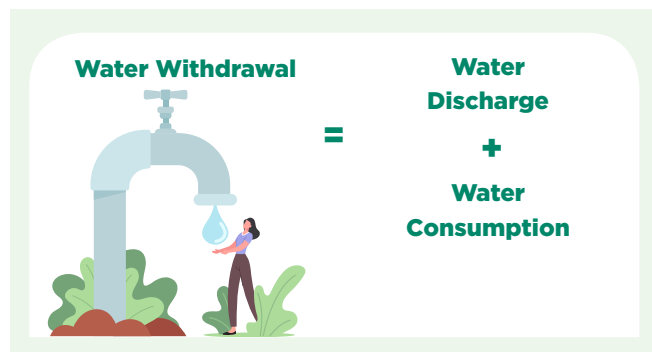


■ Water Discharge ■ Water Consumption

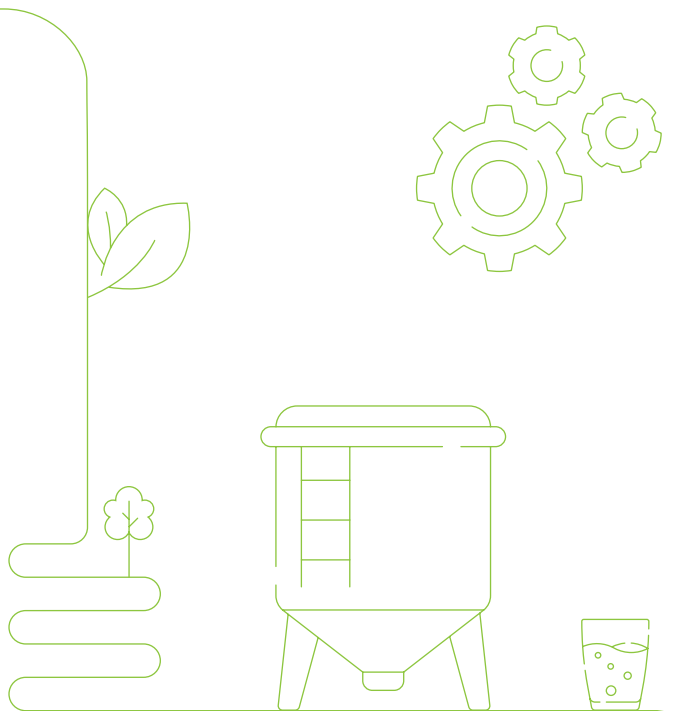
Notes:

- Water discharge figures reported in 2024 are based on the assumption that the terminals' water withdrawal equals water consumption, resulting in zero water discharge.
- Figures reported in 2022 and 2023 have been restated following internal review by Petron Corporation's Internal Audit under restatement threshold of 5%, following the refinement of data into categories.

WATER MANAGEMENT



Moving forward, Petron Malaysia is set to refine its water management practices further by targeting a 2% reduction in water consumption intensity by 2025, using 2022 as the baseline. In June 2024, a new centrifuge was installed at the LPP facility with the aim of reducing water consumption. The unit is currently undergoing commissioning, and its effectiveness will be assessed once this process is completed. In addition, efforts are underway to boost the return of condensate water to feedwater boilers, which represent the second largest consumer of water in our operations, thereby reducing our reliance on fresh water. Plans are also in place to replace our existing cooling tower—the largest contributor to overall water usage—with a more efficient model within the next five years. Together, these initiatives illustrate our commitment to exploring innovative systems and technologies that minimise water use, ensuring that our operations remain both sustainable and efficient.



NATURAL RESOURCES



Natural resources, from crude oil and water to land and other vital materials, are integral to our operations and our environmental responsibilities. In 2024, Petron Malaysia recalibrated its approach to managing these natural assets, ensuring that our operational needs are met while also protecting the resources we depend on for the future.

In alignment with SDG 12—which promotes sustainable consumption and production—we recognise that our activities can place strain on natural resources. To address this, we have introduced innovative management strategies aimed at improving efficiency and reducing resource depletion. These measures are designed to lower our environmental impact while supporting our business objectives, thereby securing a sustainable path forward.

Conservation of Natural Resource

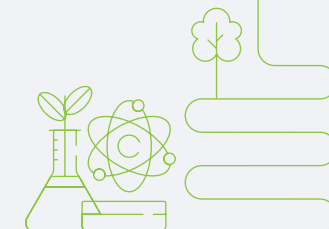
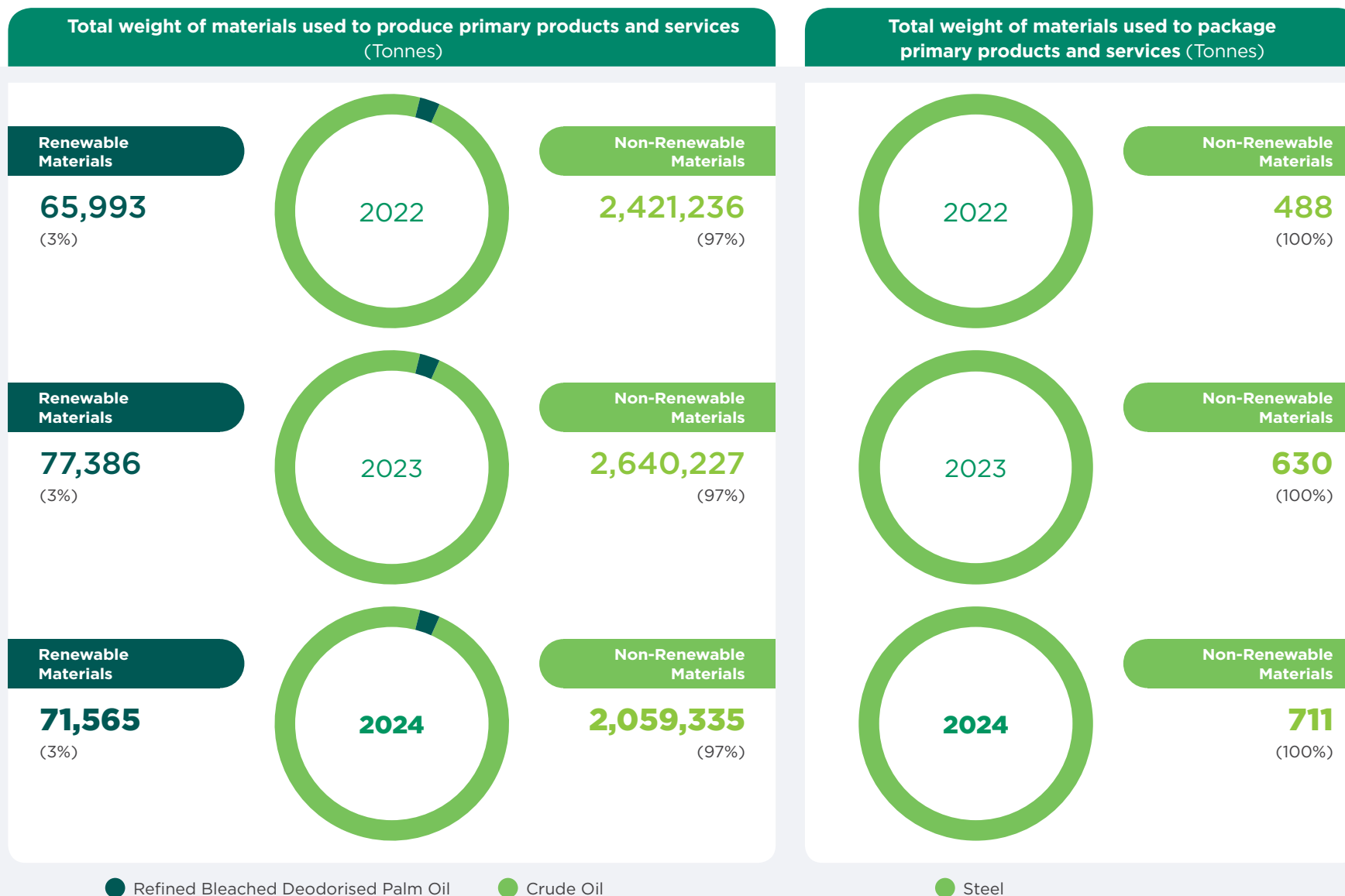
At Petron Malaysia, our drive for reducing our impacts on natural resources is evident in our adoption of renewable materials and our efforts to reduce environmental impact across our operations. Our PME facility in Lumut, Perak, is a prime example of this approach. Here, locally sourced palm oil is converted into biodiesel in strict accordance with Malaysian Sustainable Palm Oil (MSPO) standards. Under the Malaysian Sustainable Palm Oil Supply Chain Certification Standard (MSPO SCCS), we diligently monitor our use of RBDPO through precise measurements from mass flowmeters, weighbridges, and daily records. Presently, all RBDPO utilised in our operations is MSPO certified, ensuring compliance with Good Agricultural Practices (GAP).

Our sustainable initiatives extend to packaging as well. Our lubricant bottles incorporate an average of 10% recycled plastic—a practice we have maintained since 2022—with any surplus material being reintegrated into the production process. Meanwhile, at our Port Dickson Refinery, we utilise domestically sourced, low-sulphur crude oils such as *Tapis*, *Kimanis*, and *Kikeh* to produce cleaner, higher-quality petroleum products.

We also engage our network of suppliers, dealers, and customers to promote resource efficiency. For instance, our LPG cylinders undergo a re-qualification process 12 years after manufacture and every seven years thereafter, in line with Malaysia Standard (MS) 830. Through rigorous inspection and testing, these cylinders are deemed safe for continued use, thereby reducing the demand for new units. Additionally, our collaborative cylinder exchange programme with other oil companies has effectively lowered the need for new cylinders over the past eight years.

Together, these initiatives contribute to waste reduction, minimise environmental impact, and advance responsible consumption throughout our value chain.

NATURAL RESOURCES



BIODIVERSITY

At Petron Malaysia, we recognise that safeguarding natural ecosystems is fundamental to both our operations and the communities we serve. Acknowledging that robust natural environments underpin long-term resilience, we consciously locate our facilities away from ecologically sensitive areas and perform comprehensive Environmental Impact Assessments for new projects. These measures minimise any unintended harm to local habitats. We also undertake continuous water quality assessments and disciplined waste management—exemplified by the water treatment system at LPP—to maintain the integrity of surrounding ecosystems by preventing pollution of local water bodies and other ecologically sensitive areas.

One notable development this year is our continued partnership with UPM. Building on Phase 1 of the 2023 Green Lung Project—which offered insights into local species diversity, population density, and carbon sequestration potential—we have now embarked on Phase 2 with UPM and Yayasan Hijau Malaysia (YHM) on a forest enrichment programme aimed at revitalising

WE TARGET TO INCREASE THE NUMBER OF TREES PLANTED TO 2,000 TREES BY 2025

over 400 acres of low-diversity green spaces near the Port Dickson Refinery. Through this project, we successfully planted 600 trees during the year, of which 328 were classified as threatened and endangered species according to the International Union for Conservation of Nature (IUCN) Red List. Refer to the table below for more details.

THREATENED AND ENDANGERED SPECIES IDENTIFIED ACCORDING TO THE INTERNATIONAL UNION OF CONSERVATION OF NATURE (IUCN) RED LIST BY LEVEL OF EXTINCTION RISK:

EN

Endangered

VU

Vulnerable

NT

Near Threatened

Flora (10 species identified in total out of 21 species)

Common Name	Scientific Name	IUCN Red List Conservation Status
Merawan Jantan	Hopea griffithii	EN
Cengal	Neobalanocarpus heimii	EN
Meranti Temak	Shorea hypochra	EN
Kapur	Dryobalanops aromatica	VU
Merawan Bunga	Hopea pubescens	VU
Meranti Temak Nipis	Shorea roxburghii	VU
Merbau	Intsia palembanica	NT
Nyatoh Taban Merah	Palaquium gutta	NT
Meranti Tembaga	Shorea leprosula	NT
Meranti Bukit	Shorea platyclados	NT

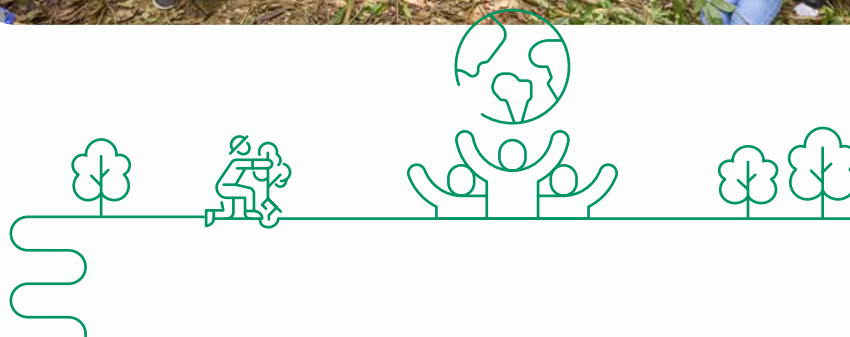
BIODIVERSITY

Our commitment also extends to broader community and ecological initiatives. Through our collaboration with Yayasan Hijau Malaysia, we initiated a mangrove reforestation initiative which resulted in the planting of 800 mangrove trees. This venture directly supports the rejuvenation of coastal habitats, exemplifying our dedication to preserving biodiversity.

Phase 2 – Petron Green Lung Forest Enrichment Planting Project

In celebration of World Environment Day, 45 employees from the Petron Malaysia Sustainability Council, along with staff from the Port Dickson Refinery and Terminals, collaborated with YHM and UPM to launch the Green Lung Forest Enrichment Planting Project. The event, held within the 400-acre Green Lung area at the refinery, resulted in the planting of 600 tree saplings across 3.7 acres of dry lowland forest. This initiative supports the Greening Malaysia Programme, a government effort aimed at planting 100 million trees nationwide by 2025, and is designed to enhance carbon sequestration in the area in line with our commitment to 'Protect our Environment Today for a Better Tomorrow.'

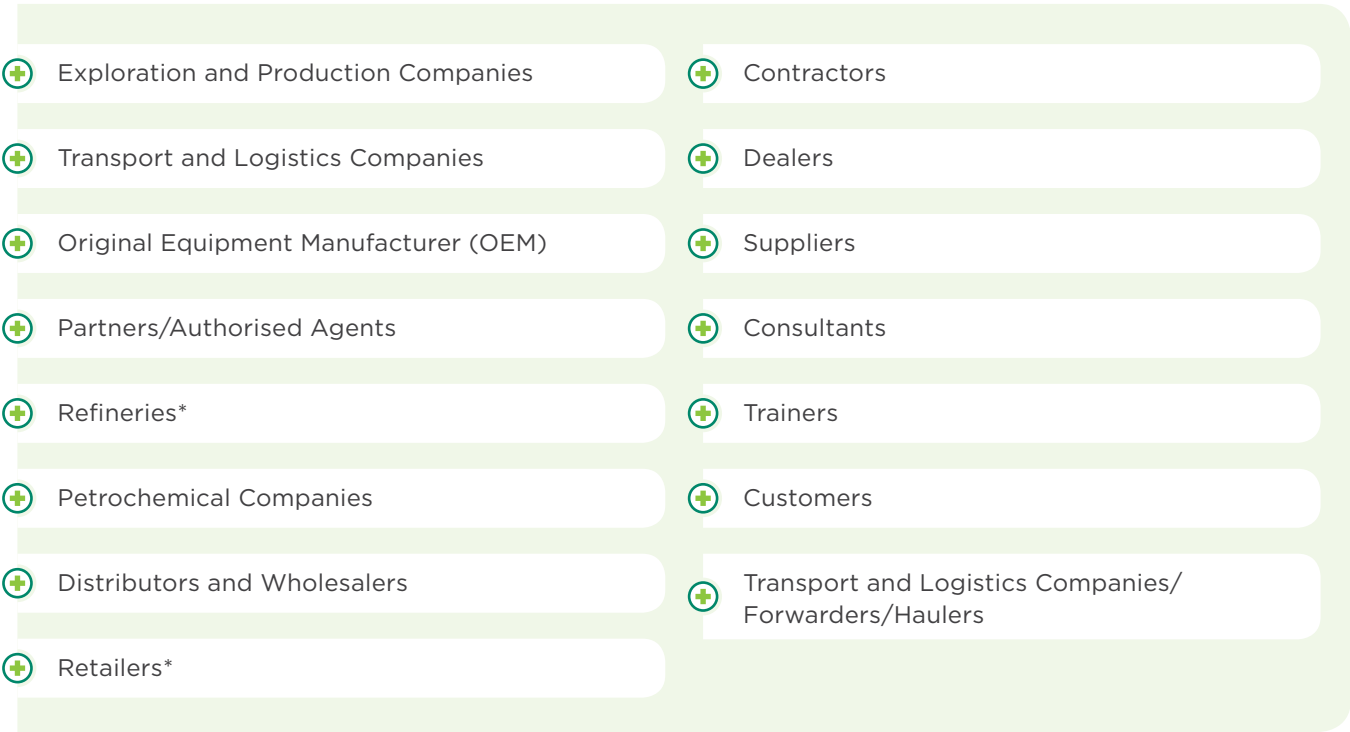
Over 20 species were planted during the event, including *Merbau* (*Intsia palembanica*), *Meranti Tembaga* (*Shorea leprosula*), *Cengal* (*Neobalanocarpus heimeii*), as well as fruit trees such as *Asam Kandis* (*Garcinia xanthochymus*) and *Petai* (*Parkia speciosa*). These species are essential for providing wildlife habitats and supporting local ecosystems. To support the effective implementation of this initiative, YHM appointed UPM to provide technical expertise, as well as monitoring and maintenance services. The university's prior engagement with Petron's Green Lung—through a biodiversity survey and carbon stock assessment—offered them valuable insight into the site's ecological profile, making them a suitable partner for this ongoing effort. This collaboration reinforces our commitment to environmental sustainability and our ongoing efforts to contribute to a greener future.



SUSTAINABLE SUPPLY CHAIN

With a network of more than 1,000 suppliers and contractors, Petron Malaysia manages a complex supply chain that supports nationwide fuel distribution and daily operational needs. Our supply chain spans from upstream crude oil producers and logistics firms to downstream collaborations with retail dealers and commercial accounts, all whom help us to ensure that our products are delivered efficiently and reliably.

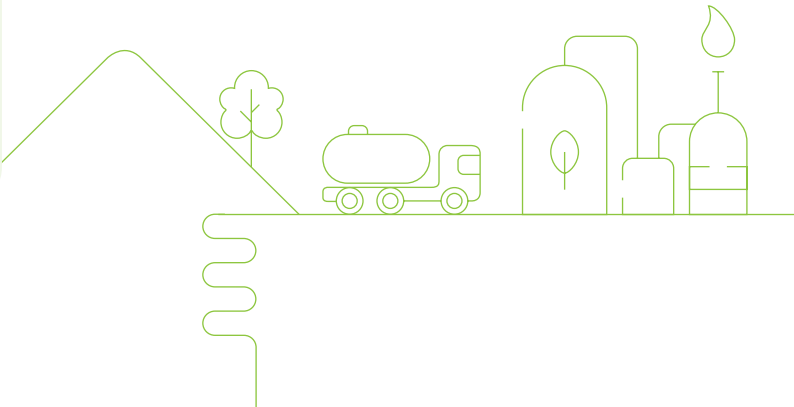
The following is a summary of the various partners we engage with in both our Upstream and Downstream supply chains:



Note:
* These roles are carried out by Petron Malaysia

Recognising the potential environmental and social impacts of this extensive network, we have integrated sustainability principles into our vendor selection and evaluation processes guided by ISO 20400:2017 (Sustainable Procurement – Guidance). At our refinery and terminals, robust environmental safeguards and workplace safety initiatives are driven by the ISO 45001:2018 (Occupational Health and Safety) and ISO 14001:2015 (Environmental Management) certifications. These safeguards extend to our suppliers environmental, safety and health performance to ensure they contribute to achieving Petron’s sustainability objectives.

Going forward, we aim to fully integrate the ISO 20400 (Sustainable Procurement) into our supply chain management framework. We also plan to support our retail and LPG dealers through training programmes covering oil spill response, scheduled waste management, and oil interceptor maintenance, ensuring environmental best practices are upheld throughout our operations. By fostering a culture of shared responsibility, Petron Malaysia champions both environmental stewardship and social well-being, whilst meeting the changing demands of the market.



SUSTAINABLE SUPPLY CHAIN

Strengthening Warehouse Safety Standards at FM Global

On 28 November 2024, the Lubes team conducted a warehouse walkabout audit at FM Global to assess safety, security, and operational compliance. Warehouses play a critical role in our supply chain efficiency, and maintaining high safety standards is essential to protect workers, assets, and stored products.

The audit found that FM Global's practices were well-aligned with Petron's SSHE requirements, demonstrating strong adherence to workplace safety protocols. While no major issues were identified, minor improvements were recommended, such as repositioning fire extinguishers for better accessibility and replacing faded safety signage to enhance visibility. These recommendations have been shared with FM Global, and a follow-up report will be provided to facilitate timely corrective action.

By conducting regular audits and reinforcing safety measures, Petron Malaysia ensures that its supply chain partners uphold the highest standards to create a safe and compliant work environment.

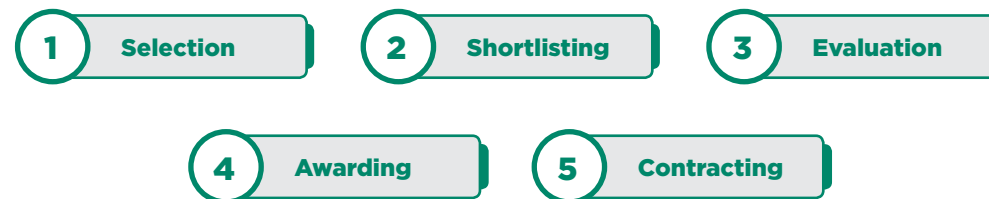


Procurement Practices

Petron Malaysia upholds high standards in procurement by integrating considerations of quality, efficiency, environmental stewardship, and social benefits into every acquisition. Suppliers, both large and small, are offered transparent and fair opportunities to participate in bidding, a practice that is in line with our commitment to equitable business practices. This approach not only enriches our selection of goods and services but also fortifies the resilience of our supply chain.

Building and maintaining strong vendor relationships is a priority, which is why we have refined our payment system to ensure timely settlements for all procured products and services. Our Procurement and Finance teams coordinate closely to monitor payment statuses, minimising the likelihood of delays or discrepancies. This diligence fosters a climate of trust, ensuring commitments to our suppliers are honoured without fail.

To guide each procurement process, we abide by a structured progression that comprises the following stages:



Through these phases, we uphold stringent standards aligned with the Group's values, thereby ensuring that our procurement decisions contribute positively to both our operations and the communities we serve.

SUSTAINABLE SUPPLY CHAIN

Vendor Assessments and Evaluations

Petron Malaysia maintains stringent requirements for all our vendors and haulers, ensuring their operations are in harmony with our environmental and social objectives. Before any work commences, prospective suppliers undergo a detailed assessment that examines potential impacts in areas such as environmental performance and occupational health and safety (OHS). Over the past four years, 100% newly engaged vendors have been evaluated in this manner, demonstrating alignment with relevant ISO-based management systems (ISO 14001, ISO 45001, and ISO 9001), whenever applicable.

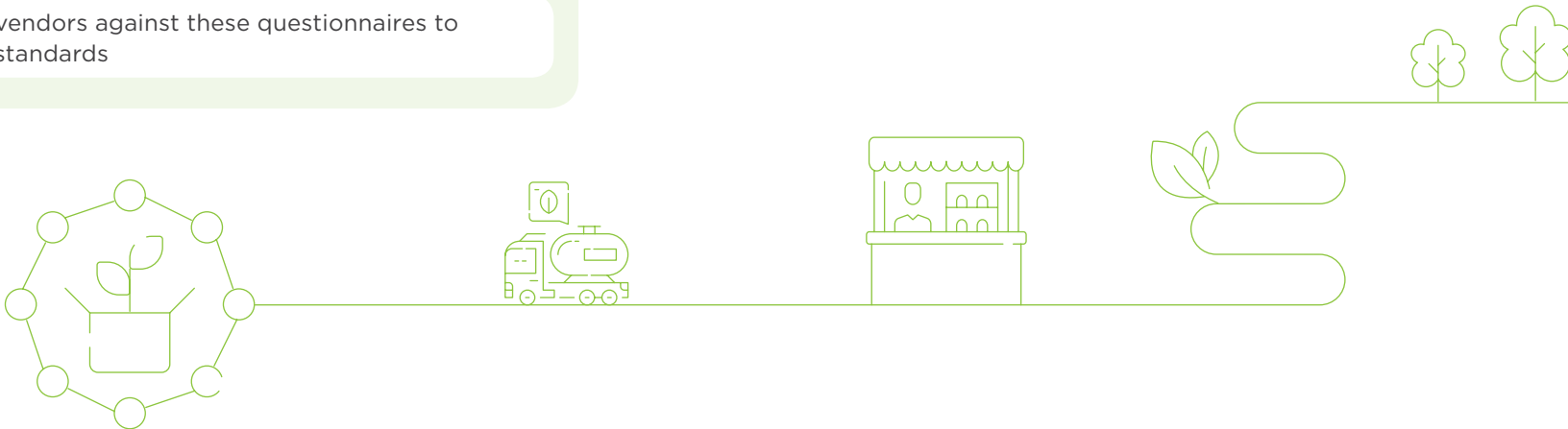
While human rights criteria have not previously been central to our assessments, we are taking steps to incorporate these considerations in the near future. By 2025, we plan to:

- Introduce a Supplier Code of Conduct along with Economic, Environmental, and Social Questionnaires
- Attain universal acknowledgment of the Supplier Code of Conduct among new vendors
- Assess all newly onboarded vendors against these questionnaires to ensure compliance with our standards

Beyond these measures, certain operations necessitate additional requirements. For instance, our Lumut PME facility adheres to Malaysian Sustainable Palm Oil standards, compelling suppliers of RBDPO to uphold rigorous environmental and social benchmarks.

In our terminals and other business units, the Petron Operational Integrity Management System (POIMS) guides supplier and contractor selection by evaluating safety performance, capabilities, and past project outcomes. The Asset Management Group (AMG), responsible for retail station upkeep, ensures contractors are properly trained and equipped, while Safety, Security, Health, and Environment (SSHE) advisors conduct detailed internal audits to measure effectiveness and pinpoint improvement areas.

Petron Malaysia continues to advocate for responsible practices among its vendors, dealers, and business partners through proactive communication and engagement. To further minimise environmental and social risks throughout our supply chain, we are aiming to finalise a Sustainable Supply Chain Policy and Supplier Code of Conduct by 2025.





FOSTERING SOCIETAL WELL-BEING

Empowering people remains central to Petron Malaysia's success. Our priority is to maintain a supportive and respectful work culture, where each employee feels safe, valued, and equipped for growth. To this end we continue to uphold an equitable approach to training and career advancement while also emphasising overall employee well-being by offering extensive benefits and fostering camaraderie through engagement programmes.

We are deeply concerned about the well-being of our communities. To this end, we comply with relevant occupational safety and health legislation, guided by our Safety, Security, Health, and Environment (SSHE) Policy, to maintain high operational standards and protect those living around our facilities and beyond. Similarly, we safeguard our customers' personal information in accordance with the Personal Data Protection Act 2010 (PDPA), ensuring that data is handled responsibly and securely. Through these commitments, we continually reinforce a people-centric approach to sustainable growth.

2024 Key Highlights:

152% increase in employees trained on sustainability-related matters



Maintained **0** recordable injuries and fatalities



33% women representation on the Board of Directors



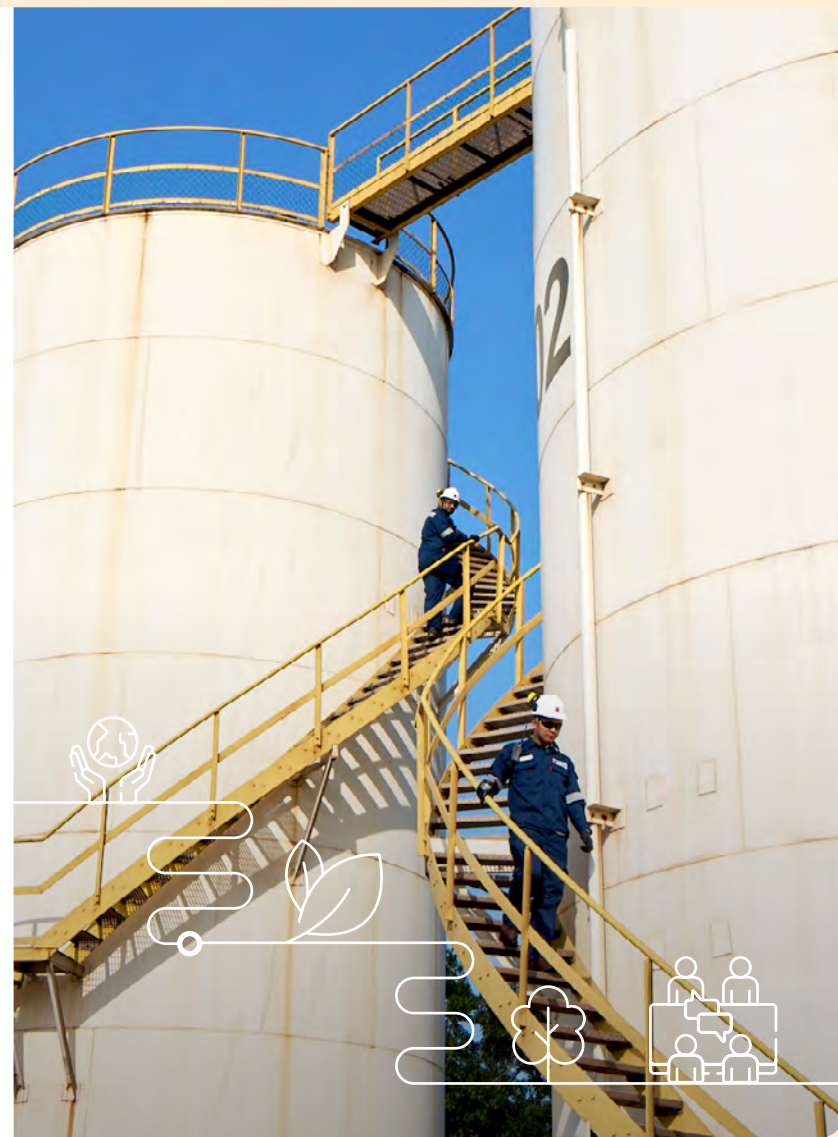
31% increase in employees receiving training on health and safety standards



29% employees in Staff Union



0 instances of Human Rights Violations



AGILE, DIVERSE AND THRIVING WORKFORCE

Success in today's market hinges on a workforce that embodies resilience, diversity, and are equipped for change. Cultivating an inclusive atmosphere—one where every employee is treated equitably—helps businesses attract and keep talent in an increasingly competitive environment. We are committed to fair hiring practices for individuals from all backgrounds, including those from vulnerable groups, ensuring that no one is left behind in our pursuit of economic growth.



DIVERSE WORKFORCE MANAGEMENT

At Petron Malaysia, we recognise that a diverse workforce is central to our continued success, integral in fostering growth, enhancing adaptability and facilitating recruitment. This inclusive strategy not only enriches our operations but also enhances decision-making and stimulates innovation throughout the organisation.

Our commitment to equality is upheld by our Equal Employment Opportunity Policy, which guarantees that every employee has the same access to career development and is treated fairly. Our Policy also ensures that we accord equal wage and remuneration to men and women for the same role and position by each employee category. To maintain an environment free from discrimination, we have implemented a transparent grievance process that allows staff to raise concerns with our Legal or Human Resources departments.

TRANSPARENT GRIEVANCE PROCESS

»
Employee



»
**Immediate
Supervisor or
Next Immediate
Supervisor**



»
**Human Resources
or Legal**



Additionally, our Whistleblowing Policy offers a secure, confidential channel for internal employees, as well as external contractors and vendors, to anonymously report any suspected breaches of company policies or legal requirements. This measure ensures that any unethical or improper conduct is promptly and effectively addressed. Through these initiatives, Petron Malaysia reaffirms its dedication to managing a diverse workforce while fostering a safe, respectful, and progressive workplace for all.

AGILE, DIVERSE AND THRIVING WORKFORCE

Creating Inclusive Pathways Through Strategic Partnership with University of Malaya

In line with our commitment to building an inclusive workforce, Petron Malaysia formalised a strategic partnership with University of Malaya (UM) through a Memorandum of Understanding (MoU), exchanged on 17 October 2024 at the Kuala Lumpur Convention Centre.

The agreement focuses on enhancing employment prospects for UM graduates, particularly Persons with Disabilities (PWD). This collaboration is in line with our goal of advancing equitable employment practices and embracing diversity across our organisation.

By working closely with one of Malaysia's premier academic institutions, we aim to widen our talent pipeline and provide structured pathways into meaningful careers for graduates from marginalised backgrounds.

This initiative strengthens Petron Malaysia's ongoing efforts to foster an inclusive organisational culture built upon equal opportunities, diversity, and mutual respect.



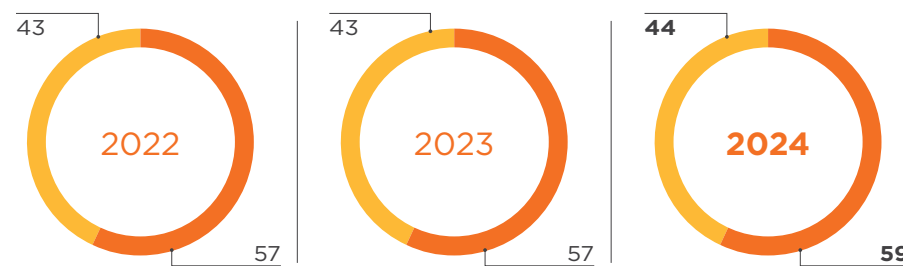
DIVERSE WORKFORCE PERFORMANCE

Workforce Diversity

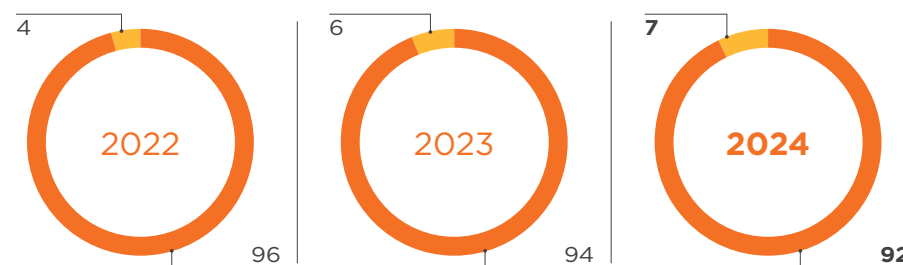
During the year in review, our team expanded to 716 permanent employees across both management and technical roles, providing a solid foundation for our operations. The technical nature of our work at the refinery, PME plant, and fuel distribution terminals results in a 66:34 male-to-female ratio. While this is consistent with industry demographics, we acknowledge that the demands of 24-hour operations, including weekend and public holiday shifts, present challenges for attracting a broader female talent pool.

Employee Diversity by Employee Category, Gender (%)

Management



Non-Management

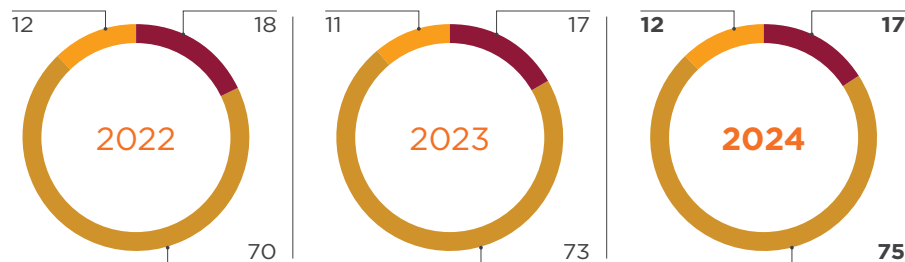


Male Female

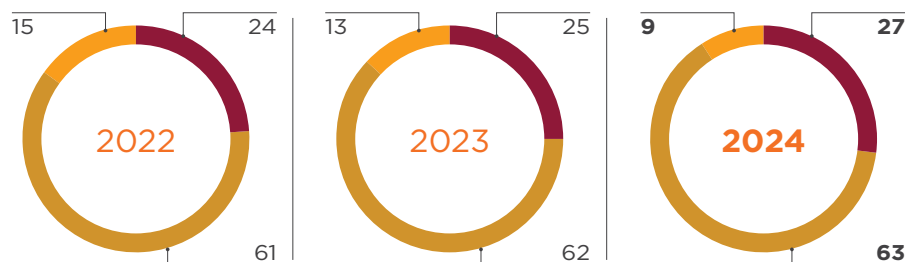
AGILE, DIVERSE AND THRIVING WORKFORCE

Employee Diversity by Employee Category, Age Group (%)

Management



Non-Management



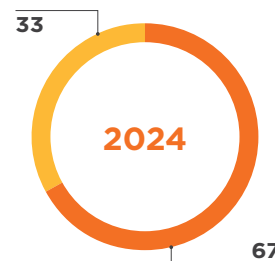
● <30 ● 30-50 ● >50

Our dedication to diversity is reflected in our leadership, with 33% of our Board of Directors being female—a figure that consistently exceeds the 30% recommendation set by the Malaysian Code on Corporate Governance. Additionally, our workforce remains vibrant and youthful, with the “Under-30” and “30-50” age groups collectively making up ~90% of employees. This dynamic composition, combined with a structured composition of 97% regular employees and 3% direct hires, supports our vision for sustainable growth.

These measures and figures, reflect our ongoing efforts to build an inclusive environment that benefits both our organisation and the communities we serve.

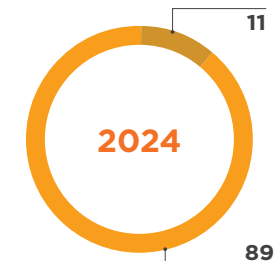
Board of Directors Diversity by Gender and Age Group (%)

Gender



● Male ● Female

Age Group

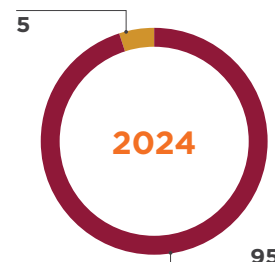


● <30 ● 30-50 ● >50

Senior Management in 2024 (%)

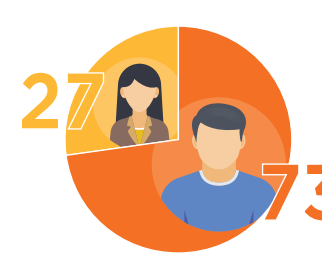
Proportion of senior management hired from the local community

Local Community



● Local ● Foreign

Gender



● Male ● Female



AGILE, DIVERSE AND THRIVING WORKFORCE

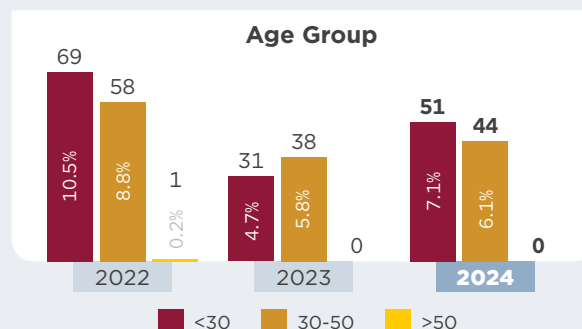
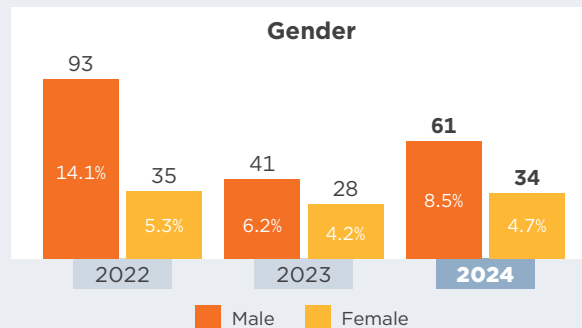
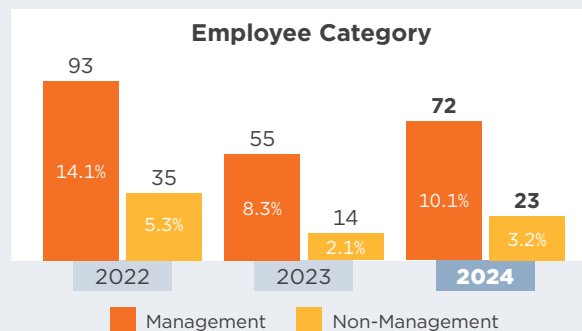
Employment in 2024

In 2024, our recruitment efforts saw a modest rise compared to the previous year, with a notable number of new hires joining us in the “Under-30” age bracket. This group, while injecting fresh perspectives and energy into our operations, also continues to exhibit higher turnover rates due to their inherent career mobility and job opportunities.

There was a decrease in employee turnover rates by 37% in 2024 compared to the previous year. To retain our talent and support their career progression, we continue to cultivate a positive and supportive work environment in line with local laws, regulations, and the Malaysian Government’s policies. Our comprehensive training programmes, such as Management Development Training (MDT), along with regular employee engagement initiatives, help ensure that our workforce remains well-equipped to meet future challenges while actively contributing to our community values.

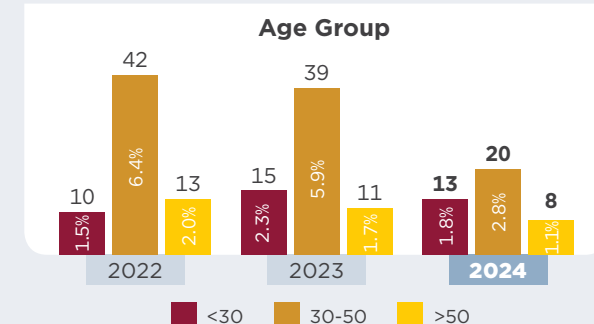
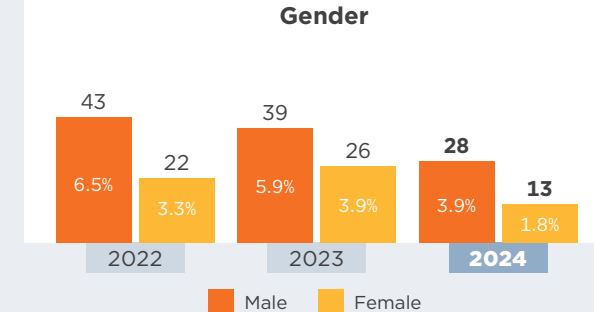
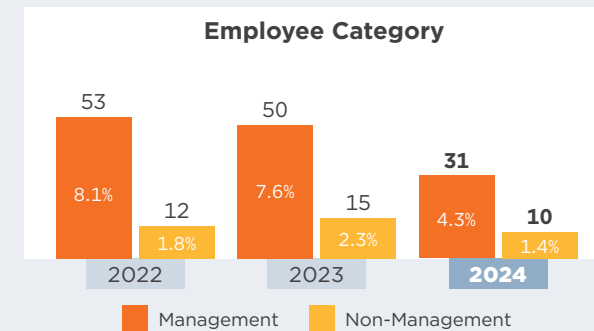
Our hiring practices ensure that all Malaysian nationals, regardless of gender, have fair access to employment based on their qualifications and ability to meet job requirements. Furthermore, our employment practices comply with the Employment Act 1955 by not engaging or employing anyone through forced labour. Additionally, we are compliant with the Children and Young Persons (Employment) Act 1966 by not employing children below the legal minimum legal working age of 18 in Malaysia. As a fair practice employer, we also comply with local laws and regulations regarding working hours and overtime to prevent excessive working hours.

Total Number & Rate of New Hires



Source: Petron Malaysia HR Database

Total Number and Rate of Employee Turnover



Note:

- Turnover figures (2022-2023) restated to align with GRI definition
- Employee Turnover = Employees who leave the organisation voluntarily or due to dismissal, retirement, or death in service

Source: Petron Malaysia HR Database

AGILE, DIVERSE AND THRIVING WORKFORCE

AGILE WORKFORCE MANAGEMENT

Shifting towards a low-carbon economy while keeping pace with industry transformations calls for a workforce that is flexible, resilient, and able to respond quickly to new demands. As such, our approach to training and education centres on developing our people through targeted training and skill enhancement, ensuring they can run day-to-day operations safely, fairly, and efficiently while meeting the evolving requirements of the sector.

Training and Education

In 2024, Petron Malaysia continued to focus on strengthening its employee training and education programmes to ensure our workforce is equipped to meet the evolving demands of the industry, particularly as we transition towards a more sustainable future. This year, we became a signatory of the United Nations Global Compact (UNGC) and launched sustainability-related training courses via the UNGC’s e-learning platform, The Academy. This online training was initially rolled out to our Technical Working Group and Management levels, supporting our commitment to increasing the proportion of employees receiving sustainability training to 50% by 2025. Titled, “Sustainable Development Goals: How to Understand and Take Action on the Global Goals,” the course introduced participants to the 17 Global Goals and the Ten Principles of the UN Global Compact. It also offered practical strategies for making meaningful contributions to the SDGs. As a result of this programme, the number of employees trained in sustainability rose by 152% compared to 2023.

In addition to sustainability-focused education, we maintained a strong emphasis on developing both technical and soft skills across the workforce. Our approach integrates personalised learning into each employee’s Individual Development Plan (IDP), ensuring that training is tailored to address specific competency gaps and performance needs. Regular IDP reviews with employees are conducted to assess the training effectiveness and ensure that each individual’s professional development requirements is adequately met.





Communication



Leadership



Individual Effectiveness



Corporate Culture & Knowledge

AGILE, DIVERSE AND THRIVING WORKFORCE

Our programmes span a range of areas—from specialised technical skills to leadership and soft skills training. For instance, our Management Development Training programme covers four modules in communication, individual effectiveness, leadership, and corporate culture and knowledge, which include courses such as Corporate Storytelling and emotional intelligence training to help prepare our future leaders. Additionally, due to the nature of our operations, most technical training is undertaken by employees in operational roles, particularly regarding safety. The Health & Safety courses detailed in the Safety section are all technical in nature, aimed at enhancing employees' SSHE competencies and fostering a strong safety culture across the organisation.

During the year, we introduced the following training programmes:



Effective Performance Feedback Techniques

- To equip Petron leaders with essential skills for providing constructive feedback in performance evaluations



Smart Retirement Planning

- To support employees retiring within 5-10 years in planning for retirement, this transition assistance programme addresses financial, well-being, and emotional aspects to ensure employees smoothly transition into their next phase of life



Positive Attitude and Highly Productive Employee

- To enhance employee motivation and productivity, fostering a positive work environment that encourages high performance

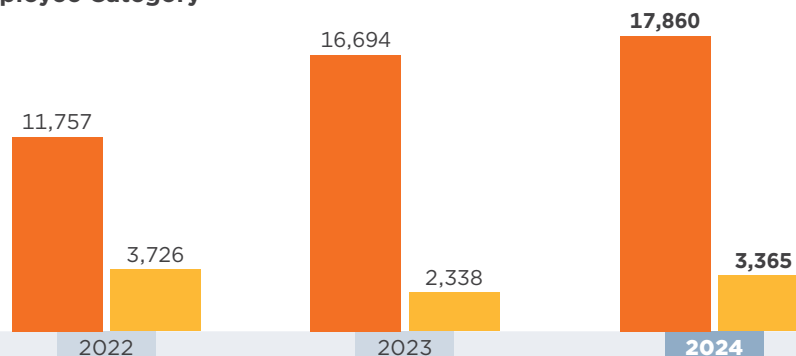
In addition to training, our existing systems are designed to enhance employee skills. Petron's Staffing and Development process is a structured, forward-looking approach that aligns talent management with business needs. Through regular HR engagements with business lines, we proactively plan staff development and identify growth opportunities, particularly for high-performing employees. This is supported by a robust Total Performance Monitoring system that evaluates individual performance, and a continuous succession planning strategy designed to cultivate future leaders and ensure seamless leadership transitions.

In FY2024, we realised our FY2025 target of achieving an average of 32 training hours per employee for management and also surpassed our target of 15 hours for non-management, ensuring that our people are well-prepared for the future of work. Looking ahead, we aim to further embed sustainability into our training programmes and continue supporting the growth and adaptability of our workforce through a structured approach to education and development.

Agile Workforce Performance

Total Training Hours by Employee Category (Hours)

Employee Category

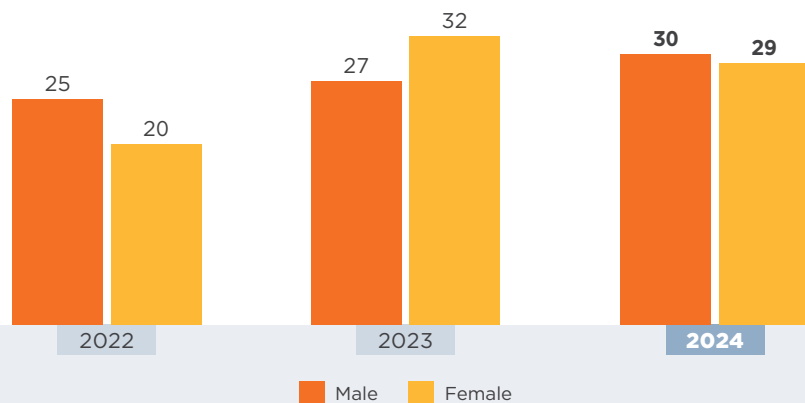


Management Non-Management

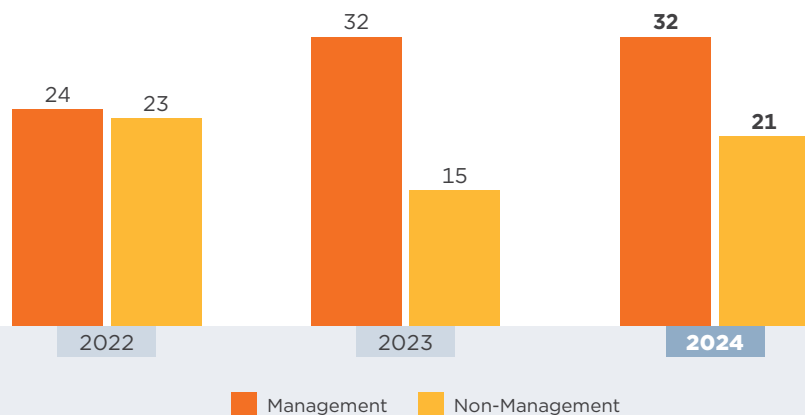
AGILE, DIVERSE AND THRIVING WORKFORCE

Average Training Hours Per Employee (Hours)

Gender



Employee Category



THRIVING WORKFORCE MANAGEMENT

In an evolving business environment, keeping employees healthy and engaged is essential to ensuring consistent performance. To this end, Petron Malaysia emphasises physical well-being, mental health, a sense of purpose, and strong team bonds, all of which fuel greater innovation and productivity. Our programmes focus on building a supportive culture through empowerment, collaboration, and motivation, while providing fair treatment and opportunities for everyone.

Employee Benefits

The Company offers a broad range of benefits that exceed regulatory standards and the minimum wage requirements, tailored to each employee category. These programmes are available to all regular employees and are designed to address their varied needs, supporting both professional growth and personal well-being. In close collaboration with Union representatives, we ensure our workforce feels recognised and adequately supported. Our comprehensive benefits package includes:

1

Petron Medical Plan


6

Petrol Rebates


2

Education Refund Plan


7

Home Ownership Assistance Plan


3

Retirement Benefit


8

Survivors' Benefits Plan


4

Medical Disability Retirement Plan


9

Social Club Assistance Plan


5

Car Allowance


AGILE, DIVERSE AND THRIVING WORKFORCE

Parental Leave

Our parental leave policy complies with the Employment Act 1955, granting 98 days for maternity and five days for paternity leave. To date, every female employee who has taken maternity leave has remained with the Company for at least a year, reflecting the effectiveness of our workplace policies in supporting employees as they balance work and family responsibilities.



AGILE, DIVERSE AND THRIVING WORKFORCE

Employee Well-being Programmes

Petron's employee wellbeing programmes are a key reflection of the Group's commitment to holistic care, addressing the emotional, mental, and physical health of our workforce. Through targeted initiatives, we aim to foster a supportive and resilient work environment. These efforts align with our belief that employee wellbeing is fundamental to sustained performance and organisational success.

In 2024, we organised 38 employee engagement programmes, a 41% increase from the previous year. This feeds into our target of further increasing the number of employee engagement programmes by 23% in 2025.

Our ExCITES Team Building event provided a practical forum for staff to collaborate and reinforce our core values of excellence, customer focus, innovation, teamwork, ethics and safety (ExCITES). This event featured interactive sessions, group quizzes, strategic planning discussions and an innovative coaching tool designed to prompt personal and professional growth. Complementary initiatives such as the ExCITES Carnival Day in KL and the Green Workspace Contest encouraged employees to actively support environmental sustainability and contribute to organisational goals. T-Shirt Upcycling Workshops at both our Port Dickson Refinery and Head Office further promoted creativity and resourcefulness by transforming old materials into useful new items.



In addition, the Petron Kuala Lumpur Recreational Club (PKLRC) offered a diverse range of activities designed to boost morale and promote a healthy work-life balance. From Zumba and yoga sessions to competitive events like the Petron Olympics and football matches, as well as creative workshops such as *batik* painting and terrarium building, these programmes helped to build camaraderie and foster a dynamic corporate culture.



Petron Malaysia's Volunteer in Action (VIA) programme is a hallmark of our team-building efforts, driven by employee participation in community service initiatives. This initiative fosters collaboration among the employees and our external stakeholders while reinforcing our commitment to social responsibility. For details on this year's VIA activities, please refer to the 'Economic' section of this report.

Petron's Office Safety, Health & Care Committee (POSHCC) plays an integral role in fostering employee engagement around workplace safety. Through initiatives such as the Green Bag Talks, which bring representatives from multiple departments together, the committee cultivates a proactive culture of health and safety. For further information on these and other related programmes, please refer to the Safety Section of our Sustainability Report.

The PDR's New Hires Club (NHC) integrates newcomers into the company culture and facilitates networking with experienced colleagues. During the year in review, there were three events, beginning with the NHC *Berbuka Puasa* on 27 March, where new hires had the chance to connect, following the welcoming address from the Technical Manager. On 14 May, participants joined forces with the SSHE team at SDASA for a tree planting activity supporting environmental sustainability. The final event, a Dinner and Movie gathering on 17 July, offered a more casual setting to strengthen team cohesion and boost morale among new hires. Together, these initiatives contributed to a smoother onboarding experience and reinforced PD Refinery's commitment to both employee engagement and environmental responsibility.

AGILE, DIVERSE AND THRIVING WORKFORCE

Human Resources-led programmes played an equally important role in fostering a supportive workplace. Regular events such as “Breakfast with the General Manager” and “HR Open Days” in both KL and Port Dickson facilitated open communication and helped employees better understand key HR matters. Celebrations—including Chinese New Year, Hari Raya, Deepavali and Petron International Women’s Day—reinforced our commitment to inclusivity, while a visit to a mental health facility on International Mental Health Day provided a real-world perspective on well-being.

We also provide employees with access to essential HR materials through our HR Connect platform. By offering information on tax relief benefits and other HR-related insights, the platform supports their professional growth and enhances their overall workplace experience.



World Mental Health Day: A Meaningful Visit to Hospital Bahagia Ulu Kinta

In conjunction with World Mental Health Day, Petron Malaysia had the privilege of visiting *Hospital Bahagia Ulu Kinta*, one of Malaysia’s leading mental health institutions. Organised by the Human Resources team, the visit offered valuable insights into the hospital’s extensive mental health services, which include outpatient and inpatient care, counselling and therapy, and public education and outreach initiatives.

Recognising that mental well-being is essential for every individual, Petron aims to foster a supportive environment for employees and the wider community. This visit reaffirmed our commitment to raising awareness, ensuring accessible services, and advocating for mental health education. We are grateful to the dedicated professionals at *Hospital Bahagia Ulu Kinta* for sharing their expertise, and we look forward to further enhancing our own programmes to support the mental health needs of our workforce.



Together, these initiatives are aimed to equip our employees with the necessary grit and mindset to meet industry challenges, while contributing to a sustainable and productive work environment.

Labour-Management Relations

Maintaining constructive labour-management relations is essential to ensuring a stable and productive workplace. To this end, we uphold structured engagement practices that provide employees and their representatives with clear communication and ample time to prepare for operational changes. Employees typically receive a minimum of three weeks’ notice before significant adjustments are implemented, allowing for necessary training and adaptation. For employees covered by collective bargaining agreements, we allocate a three-month notice period to facilitate discussions and negotiations, ensuring that all perspectives are considered.

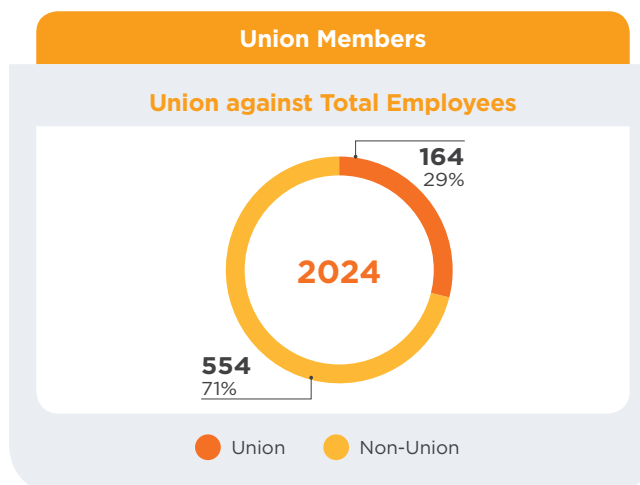
To further strengthen engagement, we organised initiatives such as the annual “Breakfast with the GM”, held on 12 January 2024. This informal session allows employees to interact directly with senior management, exchange ideas with colleagues across departments, and address any concerns. By fostering open dialogue and transparency, we reinforce a collaborative workplace where employees remain informed, valued, and involved in decisions that affect them.

AGILE, DIVERSE AND THRIVING WORKFORCE

Freedom of Association and Collective Bargaining

Petron Malaysia supports the freedom of association and collective bargaining rights of our non-management employees, ensuring they have a structured platform to voice concerns and negotiate employment terms. Employees are free to be represented by the Sabah Petroleum Industry Workers Union or the National Union of Petroleum and Chemical Industry Workers, reinforcing a fair and transparent labour framework. As of 2024, union members account for 29% of our workforce and primarily comprise of technicians and plant operators at our refinery and terminals.

We maintain a proactive and open relationship with the union, built on mutual respect and constructive dialogue. In April 2024, we held a Union-Management meeting to address operational policies, employee welfare, and preparations for the collective bargaining agreement renewal set for Q4 2025. The Union highlighted the need for Labour-Management engagement. This was addressed by The Company through additional engagement programmes and communication highlighting employee benefits to all Petron Malaysia employees, an increase by 41% from previous year. This ongoing engagement ensures that employees’ concerns are addressed effectively, with our next meeting scheduled for Q1 2025 to maintain continuity in discussions.



Beyond formal union interactions, all employees have direct access to the HR Department to raise workplace issues, reinforcing our commitment to fair labour practices and employee well-being. By fostering open communication and maintaining strong labour relations, we create a work environment that is fair, inclusive, and aligned with industry best practices. This approach strengthens employee engagement, improves retention, and supports long-term business stability.

ZERO

INCIDENTS OF DISCRIMINATION

IN 2024

AWARDS AND RECOGNITIONS

As testament to our efforts to strengthen our position as a reputable employer of choice, Petron Malaysia was awarded the following accolades during the year:

Awards and Recognitions

★ Graduan Brand Awards 2024: Secured 1st Runner-Up in the Energy category (Top 30 overall (out of 50 companies))

★ M100 Awards 2024: Achieved 2nd Runner-Up in the Energy, Oil & Gas, Utilities category (Top 25 overall (out of 100 companies))

★ EPF Award: Best Employer Award for the Central Region 2024



SAFETY

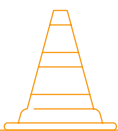
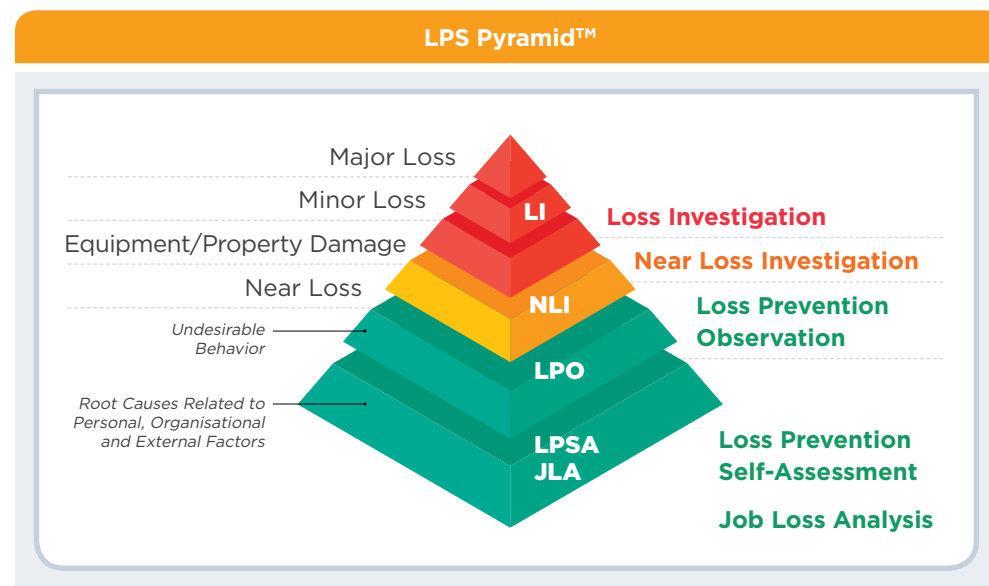
At Petron Malaysia, safety is more than just a compliance requirement – it is an integral part of our operational philosophy and values. We recognise the inherent risks in the oil and gas sector and the potential impact these risks can have on our employees, contractors, and surrounding communities. Our commitment to safety is not only about preventing accidents and injuries but also about creating a culture where safety is embedded in every aspect of our work.

In 2024, we continued to prioritise the health and safety of everyone involved in our operations, including the workforce at our Port Dickson Refinery (PDR), Lumut PME Plant (LPP), and Terminal sites. We have consistently maintained a strong safety record, with notable achievements in our Distribution and Terminal operations, where we sustained 37.82 million injury-free manhours and 27.82 years without any Lost Time Injuries (LTI). These milestones reflect the effectiveness of our proactive approach to safety and our dedication to operational excellence.

Petron Malaysia is committed to achieving zero work-related fatalities, a zero LTI rate, and zero process safety incidents. Our efforts are guided by a comprehensive Safety, Security, Health, and Environment (SSHE) Policy, as well as compliance with the Occupational Safety and Health (Amendment) Act 2022 (OSHA). Our facilities, including the Refinery and all Terminals, are ISO 45001:2018 OHSMS certified, further affirming our commitment to maintaining the highest safety standards.

Central to our approach is the Loss Prevention System (LPS), a behaviour-based safety process embedded within our Petron Operations Integrity Management System (POIMS). The LPS system helps us identify unsafe work practices and promotes safer behaviour among employees and contractors, ultimately preventing incidents driven by personal and organisational factors. Through this, we aim to continuously improve SSHE performance, ensure operational continuity, and protect the well-being of our people and the environment.

By maintaining a sharp focus on safety and continually improving our processes, we ensure that Petron Malaysia operates in a manner that fosters trust, operational integrity, and a secure environment for everyone.



SAFETY

OCCUPATIONAL HEALTH AND SAFETY MANAGEMENT



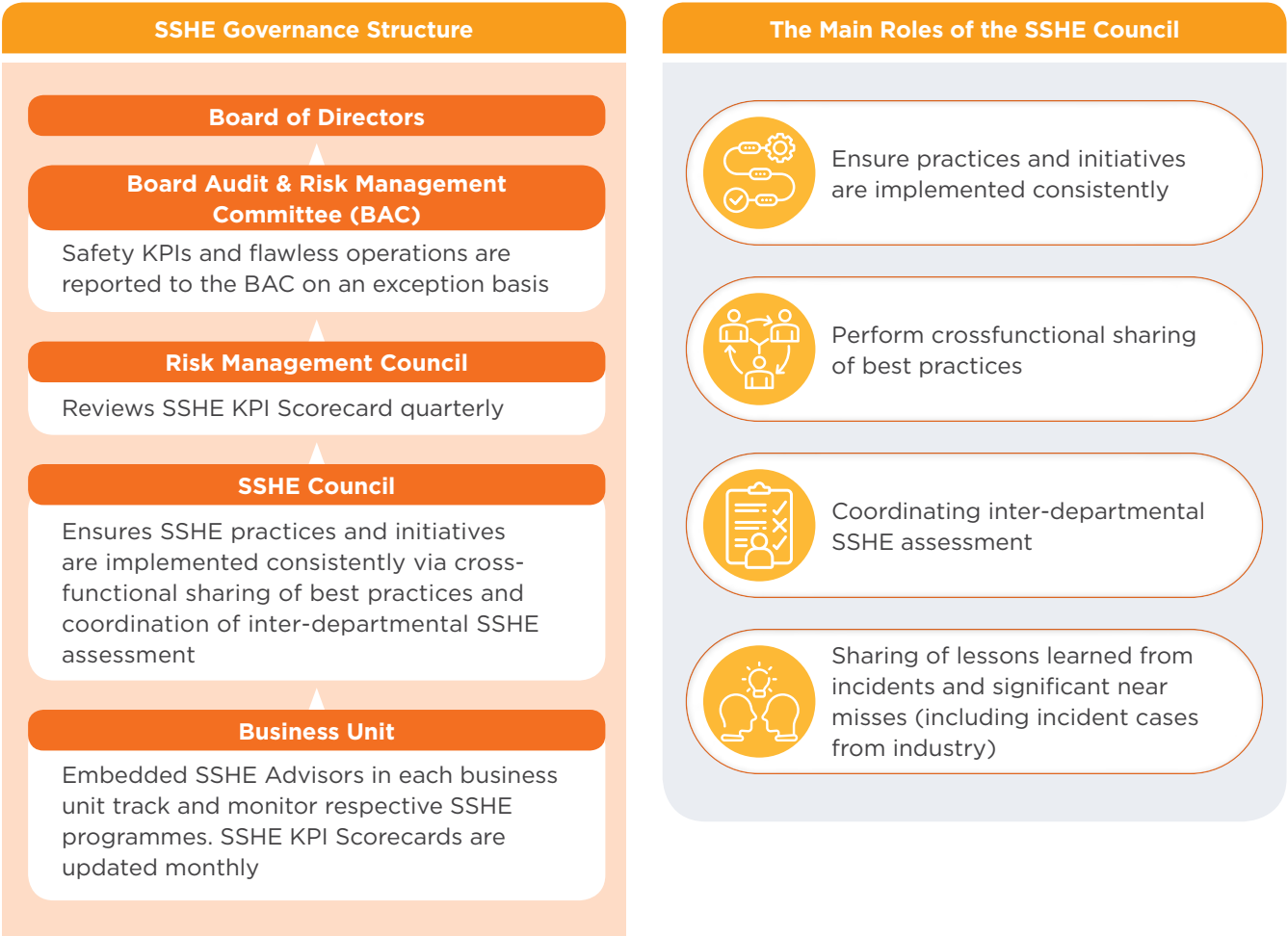
SAFETY

OSH GOVERNANCE

Effective occupational safety and health (OSH) governance is critical to ensuring a safe working environment across Petron Malaysia’s operations. We have established a structured framework that integrates clear policies, risk management strategies, and continuous engagement with employees to uphold workplace safety. Our approach is designed to not only comply with regulatory requirements but to also foster a proactive safety culture where all employees and contractors take an active role in minimising risks.

The SSHE Council serves as the primary body overseeing OSH governance and implementation. Functioning as a joint management-worker committee, it provides a structured platform for employees to engage in safety-related discussions, ensuring that workplace safety remains a shared responsibility. Led by the Refinery Manager as Chairperson and supported by SSHE Advisors embedded within each business unit, the council facilitates cross-functional collaboration, promotes best practices, and reviews lessons learned from past incidents to drive continuous improvement.

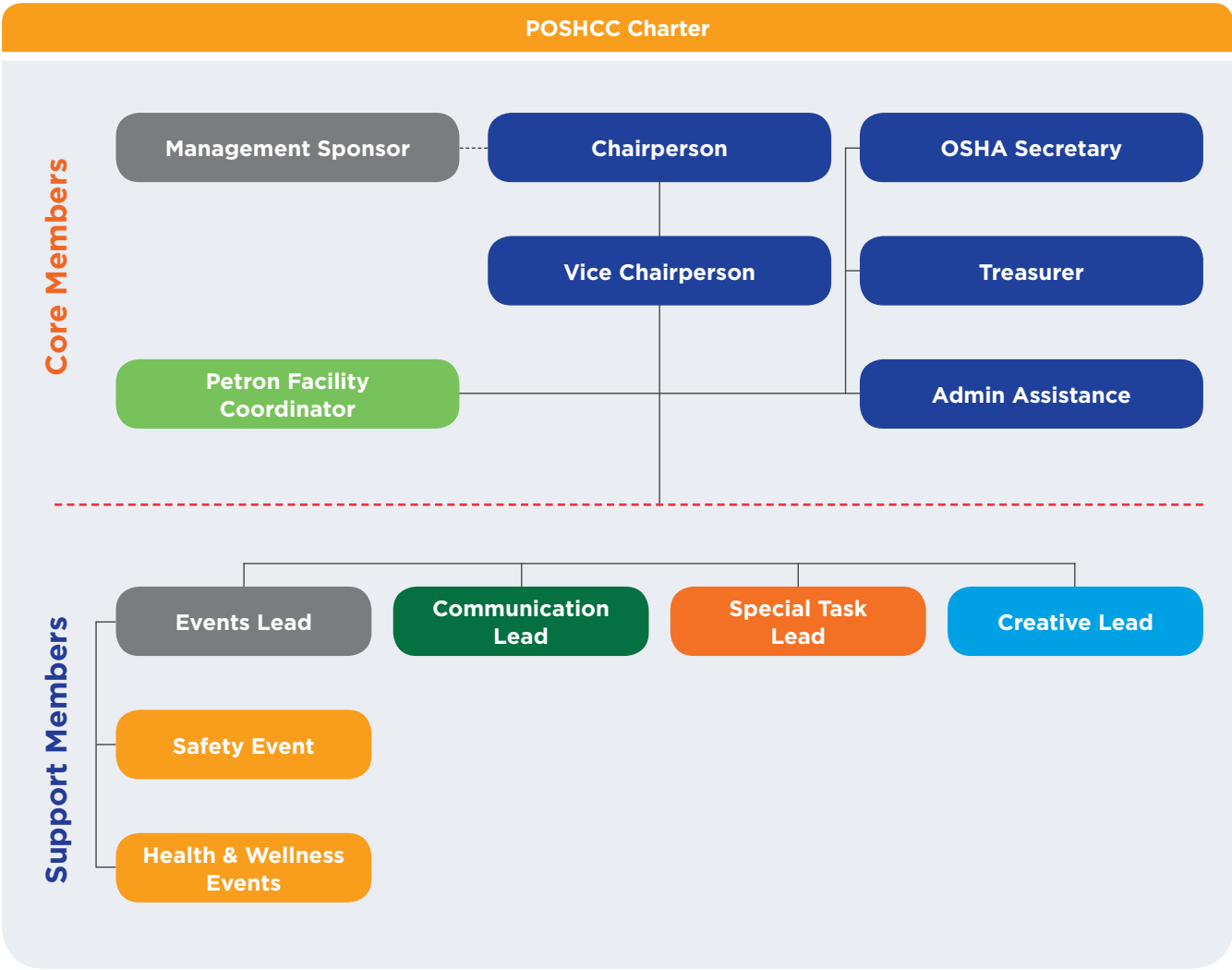
In 2024, the SSHE Council convened twice to evaluate the implementation and effectiveness of our occupational health and safety management system. These meetings focused on strengthening compliance, addressing safety concerns raised by employees, and refining our POIMS to align with evolving industry standards.



SAFETY

Beyond the SSHE Council, we reinforce workplace safety through SHEE Committees at our Operations and the Petron Office Safety, Health & Care Committee (POSHCC) at HQ. Comprising both core and support members drawn from various departments, with a designated Management sponsor, POSHCC serves as a platform for cross-functional collaboration and employee engagement on safety and health-related matters. In addition to programmes such as the Green Bag Talks, the committee organises initiatives such as blood donation drives and first aid training, offering employees the opportunity to actively contribute to overall workplace well-being. By drawing on diverse perspectives and ensuring ongoing alignment with the OSHA, POSHCC continually refines safety practices and fosters a culture where every individual has a role in safeguarding health and safety.

Through these governance structures, we maintain a systematic approach to workplace safety, ensuring that policies are consistently implemented, risks are effectively managed, and employees remain actively engaged in creating a safe and compliant workplace.



SAFETY

THE PETRON OPERATIONS INTEGRITY MANAGEMENT SYSTEM (POIMS)

Petron Malaysia employs a comprehensive Occupational Health and Safety Management System (OHSMS) to manage risks and uphold safety, health, environmental, and security standards across all operations including our employees, workers of our contractors and suppliers. The Petron Operations Integrity Management System (POIMS) serves as the foundation of this framework, providing structured protocols to identify, assess, and mitigate operational risks. Since its introduction in 2012, POIMS has been instrumental in maintaining high safety standards and ensuring compliance with the Occupational Safety and Health (Amendment) Act 2022 and the EQA 1974. Our compliance with ISO 45001:2018 is independently assured by SIRIM, an accredited ISO certification body. Since 2018, their annual audits of our refinery and terminals have consistently affirmed that our POIMS, along with SSHE performance data, aligns with the standards set under the prescribed OHSMS.

POIMS is embedded in all operational units and is structured around 11 core elements, each designed to reinforce leadership accountability, strengthen risk management, and drive continuous improvement. These elements encompass various aspects of operations, from facility design and personnel training to incident investigation and emergency preparedness.

POIMS Framework:

- Management Leadership, Commitment and Accountability

Risk Assessment and Management

Facilities Design and Construction

Information/Documentation

Personnel and Training

Operations and Maintenance

Management of Change

Third-Party Services

Incident Investigation and Analysis

Community Awareness and Emergency Preparedness

Operations Safety Assessment and Improvement

To further strengthen our safety protocols, Petron Malaysia ensures compliance with the internationally recognised OHSMS standard. To this end, Petron Malaysia pursued a series of audits and improvements aimed at reinforcing safety systems and protocols across its operations in FY2024.

For instance, Petron Peninsular Terminals (PPT) and POMSB participated in a SIRIM Integrated Management System (IMS) audit from 29 July to 2 August (PPT) and 4 to 8 November 2024 (POMSB). The audit covered re-certification of QMS, EMS, and OHSMS for PPT, as well as new certification for EMS and OHSMS at POMSB terminals, including our Kuantan Terminal (KTN) and Port Dickson Terminal (PDT) under PPT, and Sandakan Terminal (SDK), Tawau Terminal (TWU), and Sepangar Bay Terminal (SBT) under POMSB. The closing meeting on 8 November reported zero non-compliances, with minor observations for improvement.

As of 2024, our Refinery and all Terminals are OHSMS certified (ISO 45001)

ISO 45001:2018 Occupational Health and Safety Management System	
Port Dickson Refinery	Pasir Gudang JV Terminal*
Port Dickson Terminal	Sepangar Bay Terminal*
Kuantan Terminal*	Sandakan Terminal*
Bagan Luar Terminal	Tawau Terminal*

Note:
* PMRMB sister companies' facilities.

In addition, PDR, PDT, and KLIA underwent a Joint Inspection Group (JIG) audit conducted by Total Energies Aviation. The assessments were carried out in December and focused on the Jet A1 fixed facilities, including the dedicated pipeline from PDR, a filter water separator, and the top loading bay.

Following a comprehensive review, a “Very Satisfactory” rating was recommended by the auditors for all sites. This marks an improvement for PDT and KLIA, which were upgraded from “Satisfactory” to “Very Satisfactory,” while PDR maintained its existing “Very Satisfactory” classification. These results reaffirm Petron Malaysia’s commitment to maintaining the highest operational and safety standards across its aviation fuel facilities.

SAFETY

In addition, KLIA also successfully renewed their technical approval certificate granted by Civil Aviation Authority Malaysia (CAAM) in 2024 after achieving a 90% audit score. This is an improvement from 78% the previous year, underscoring a stronger adherence to aviation safety requirements.

These assessments ensure that our processes remain aligned with best practices and continue to support a safe and incident-free workplace.

MITIGATION AND MANAGEMENT OF HAZARDS AND RISKS

Petron Malaysia maintains a robust approach to hazard and risk management across its nationwide operations, recognising that vigilance and preparedness are essential in protecting employees, contractors, and surrounding communities. We employ various methodologies—such as Job Safety Analysis (JSA), Hazard Identification, Risk Assessment and Risk Control (HIRARC), and Hazard Identification, Risk Assessment and Determining Controls (HIRADC)—to identify and manage potential threats before initiating any project or maintenance work.

Our ongoing efforts include the You-See-You-Act (UCUX) programme, which gives employees and contractors the authority to halt and report any unsafe behaviours and conditions. In 2024, a total of 464 UCUX cases were reported across LPP and the terminals, with a 90% resolution rate at LPP and 100% resolution at the terminals. This proactive approach allows us to address potential risks promptly and maintain a safe workplace. We also conduct detailed risk assessments in high-risk areas, supported by an Emergency Response Plan (ERP) at all major facilities to guide swift and coordinated action in the event of an incident. Over 20 risk assessments were conducted at PDR with over 90% closed in 2024.

Within the refinery setting, Hazard and Operability (HAZOP) studies are performed before new projects commence, helping to refine design and engineering decisions from the outset. Our POIMS further strengthens these efforts by mandating clear, well-documented strategies for mitigating risks, covering everything from logistics and distribution to service station operations.

Enhancing Safety through Robust Risk and Security Assessments

In 2024, a comprehensive Risk Assessment (RA) and Site Security Assessment (SSA) were undertaken at the Lumut PME Plant (LPP) to bolster workplace safety and operational security. Conducted under POIMS System 2, the first RA reviewed areas including ME1, ME2, utilities, the boiler room and IETS, the tank farm, and the loading/unloading bay, involving hazard identification (HI) and scenario-based risk assessment (SBRA). Simultaneously, the second SSA focused on security hiring processes, vetting and medical checks, documentation, regulatory compliance, and overall site protection measures.

Simultaneously, a Risk Assessment was carried out at the Kuantan Terminal to address operational hazards. This included examining key scenarios including workplace hazards and spillage risks. A total of nine preventive and seven mitigation measures were proposed, each with clear action plans for closure. Through these initiatives, Petron Malaysia continues to uphold a safe, secure, and incident-free environment.



SAFETY

MANAGEMENT OF CRITICAL INCIDENTS AND HAZARDOUS SITUATIONS

In 2024, Petron Malaysia continued to refine its approach to managing critical incidents and hazardous situations, recognising that they can arise in various forms—from leaks and fires to structural failures or the misuse of heavy machinery. Such events carry risks for employees, contractors, and neighbouring communities, as well as potential harm to the environment.

To tackle these challenges, we maintain clear reporting channels and systematic procedures for prompt investigation. Our Whistleblowing Policy, open to both internal and external parties, ensures that concerns can be raised without fear of reprisal. Meanwhile, the Petron On-line Incident Reporting System (POIRS) allows Near Loss or Loss Incidents to be reported, triggering immediate notifications to supervisors and relevant departments. POIRS also aligns with ISO 27001 Information Security Management System (ISMS), with restricted access provided to authorised SSHE administrators and senior management.

When a report is submitted through POIRS, the POIMS Incident Investigation and Analysis protocol comes into effect. This process includes rapid notification and mandates a thorough investigation within 21 days, identifying root causes, corrective steps, and preventative strategies. The severity of each incident is determined using criteria outlined in the Work-Related Incidents and Injury Guide, available to employees via the Petron My Hub intranet. All employees and contractors are also required to directly report any Near Loss or Loss incident directly to supervisors for immediate actions.

To ensure that lessons learned are shared and applied throughout the organisation, the SSHE Council communicates outcomes to every department. This framework reinforces Petron Malaysia's dedication to minimising risks and maintaining a secure environment for both our workforce and the public.

During the year, we had a Process Safety Incident occur at the Port Dickson Refinery (PDR) which prompted an eight-week maintenance shutdown from September to December. This temporary closure was necessary to conduct essential repairs on furnaces. Throughout the maintenance period, the supply of petroleum products to service stations, LPG customers, and commercial accounts remained uninterrupted, reflecting the company's commitment to reliable supply management even during unplanned outages.



SAFETY

Emergency Preparedness and Response

Petron Malaysia regularly enhances its emergency preparedness and response protocols through various exercises, ensuring stronger coordination and cooperation with relevant authorities. At the PDR, the Exercise PELITA IX took place on 29 August 2024, focusing on an oil spill response scenario at Pantai Tanjung Gemok. The Incident Commander activated the Command Centre at 9.30 a.m. after detecting a simulated leak from a 10-inch Automative Diesel Oil (ADO) underwater marine pipeline, resulting in an estimated 1,000 barrels of ADO entering the sea. The drill ended at noon with no injuries, and observers included 40 PDR staff and eight government agencies, such as the Marine Department, Department of Environment, DOSH, the Fire and Rescue Department, and the Police. Feedback from the exercise will guide future safety enhancements.

At POMSB, a team representing SBT, SDK and TWU participated in the 2023 Sabah State-Level Emergency Response Team (ERT) Competition on 9 March, held at Stadium Likas, Kota Kinabalu. Competing alongside 125 other groups, the POMSB team demonstrated its readiness to respond effectively to emergencies in collaboration with local authorities.

On 14 November 2024, Pasir Gudang Terminal (PGT) conducted a Joint Drill Exercise in partnership with Johor Port Berhad and Shaziman Transport Sdn Bhd. The drill simulated motor vehicle accidents, product spills, and first aid scenarios, testing both inter-agency collaboration and onsite emergency response capabilities. Recommendations from the drill included clearer operating procedures for non-drivers handling tanker trucks and designating a specific area for first aid treatment.

In Sabah, SBT conducted a joint exercise with Sabah Port and industry peers to address a fire and injury scenario during a tanker receipt operation. Government agencies such as BOMBA, the Navy, the Department of Environment, DOSH, and the Police were present to review response measures and coordination. Separately, Petron Tawau collaborated with Majawarisan Sdn Bhd and Sabah Electricity Sdn Bhd for a simulated oil spill during a fuel delivery, affirming that procedures are in place to mitigate environmental impact.

Collectively, these exercises reflect Petron Malaysia's commitment to maintaining high safety standards and ensuring rapid, effective incident response to protect personnel, communities, and the environment.



SAFETY

OSH TRAINING

Petron Malaysia prioritises workplace safety by equipping employees and contractors with the knowledge and skills to manage occupational risks effectively. Our OSH training programme is designed to enhance awareness, reduce workplace hazards, and prevent injuries or illnesses. By embedding safety consciousness into daily operations, we not only safeguard our workforce but also improve overall productivity and operational resilience.

Our OSH training covers a wide range of safety-critical areas, delivered through both in-person and online platforms. These include Safety Induction, Loss Prevention System (LPS), personal protective equipment (PPE) protocols, Work Permit Training, and Safety Awareness E-learning Training (SALT). All operational employees and contractors undergo these sessions to ensure they can identify risks, follow safe work procedures, and respond appropriately in hazardous situations.

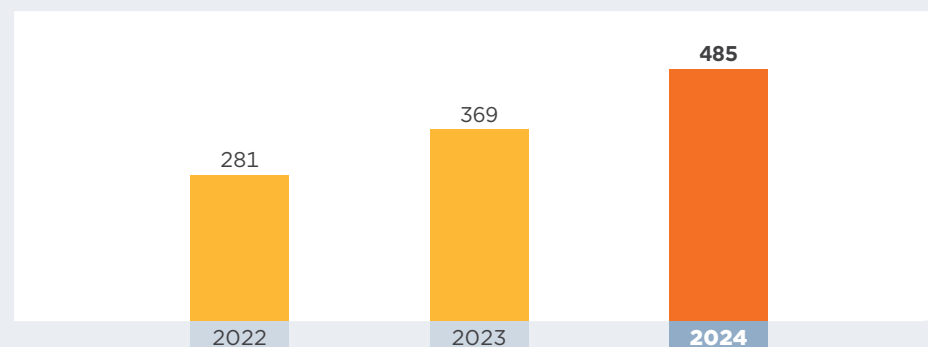
To systematically manage and track training efforts, we utilise a SSHE training matrix, which helps maintain compliance with industry safety standards and regulatory updates. In 2024, we trained 485 employees, reflecting a 31% increase from the

previous year. This increase was driven by updates to OSHA regulations, workforce expansion to support operational growth, and the renewal of licenses for 'competent persons' responsible for workplace hazard identification and mitigation.

Beyond mandatory safety training, individual business units implement specialised OSH programmes tailored to their operational needs, ensuring that employees receive targeted training relevant to their specific roles. Moreover, we have ensured that 100% of our security personnel have received training on Company security procedures, reinforcing our commitment to operational safety. Through continuous learning and proactive risk management, Petron Malaysia remains committed to fostering a safety-first culture across all levels of the organisation.



Total Number of Employees Trained on Health and Safety Standards



Notes:

- Data from PDR, LPP and Terminals only.
- Figures reported in 2021 and 2022 have been restated to account for a recalculation.

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In addition to mandatory training, business units conduct specialised OSH programmes tailored to their specific operational requirements, ensuring employees receive targeted safety training relevant to their roles.

Refinery	LPP	Terminals	
Mandatory training for all operations employees			
Safety Induction		Loss Prevention System	Basic Personal Protective Equipment (PPE)
Work Permit Training		Safety Awareness E-Learning Training (SALT)	
1. Basic Occupational First Aid (BOFA) - First aider 2. Authorised Entrant and Standby Person for Confined Space (AESP) 3. Authorised Gas Tester and Entry Supervisor for Confined Space -Refresher (AGTESR) 4. Hazard Identification & LPS 5. Safe Motorcycle Defensive Riding 6. Effective Safety & Health Committee 7. Squat/Regen Briefing 8. TIER-1 Best Practices 9. Crisis Communication & Media Handling 10. Integrated Management System (ISO 9001, ISO 14001 & ISO 45001) Understanding & Awareness 11. Internal Auditor (IMS - Integrated Management System) 12. Confined Space Work Permit Training 13. ERP Roles & Responsibilities 14. OSH Seminar 15. Basic Fire Fighting	1. Basic Occupational First Aid (BOFA) - First aider 2. WWTP Operation and Chemical Handling Training 3. Safety Stand Down 4. BOMBA ERT Certification Training	1. Basic Occupational First Aid (BOFA) - First aider 2. Authorised Entrant and Standby Person for Confined Space (AESP) 3. Authorised Gas Tester and Entry Supervisor for Confined Space -Refresher (AGTESR) 4. Authorised Gas Tester and Entry Supervisor for Confined Space (AGTES) 5. Defensive Driving 6. Safe and Defensive Driving (SSD) 7. Occupational Safety and Health in the Office (OSHO) 8. Occupational Safety and Health Coordinator (OSH-C) 9. OSH & Environmental Management Programme (OSHE) 10. Understanding, Evaluating and Implementing Effective HIRARC at the Workplace (UIH) 11. Integrated Management System (ISO 9001, ISO 14001 & ISO 45001) Understanding & Awareness 12. Internal Auditor (IMS - Integrated Management System) 13. PIMMAG - Oil Spill Response Training 14. Chemical Handling Training	15. Tier 1 CSE, WAH & Lifting Training 16. H2S Awareness Training 17. Effective Communication in OSH (ECOMM) 18. BOMBA ERT Certification Training 19. Indoor Air Quality Assessor 20. Incident Reporting and Analysis Technique (IRAT) 21. CGSO - <i>Kursus Pengurusan Keselamatan Sasaran Penting dan Kawasan Tempat Larangan bagi Penghuni dan Pemilik</i> 22. POIMS Awareness Training 23. CIDB Green Card 24. Fundamental of Classification, Labelling and Safety Data Sheet of Hazardous Chemicals (CLASS 1) 25. Effective Safety and Health Committee (ESHC) 26. Safe Handling of Chemical 27. Noise Exposure 28. Scheduled Waste Management 29. LPS/JLA 30. Safe Handling of Forklift 31. Basic Fire Safety Training with BOMBA

SAFETY

OCCUPATIONAL HEALTH SERVICES

At Petron Malaysia, our approach to employee health goes beyond standard safety protocols to include comprehensive medical services, counselling, and preventative healthcare. By addressing potential risks both within and outside the workplace, we create an environment where our staff have the resources and support needed to maintain long-term well-being.

Employees and their dependants benefit from wide-ranging medical coverage, regular screenings, and frequent health talks organised by POSHCC. These sessions include essential subjects such as mental health awareness, cybersecurity awareness, and office safety. To further bolster emergency readiness, office-based teams now include safety wardens, and 80 office-based employees are trained in basic Automated External Defibrillation (AED) and Cardiopulmonary Resuscitation (CPR).



Note:

¹ For more info on our Go-To-Safety-Point Programme, refer to page 38.

² For more info on our Road Safety Programme, refer to page 39.

In line with occupational health requirements, our registered Occupational Health Doctors (OHDs) provide services for employees and contractors, ensuring that regulations—particularly those governing hazardous chemical exposure—are met. They also oversee health assessments for work in confined spaces, conduct mental health screenings, and offer referrals to specialists as needed. By blending strict safety standards with proactive healthcare measures, Petron Malaysia fosters a resilient workforce equipped to meet the demands of both professional and personal life.

Additionally, our internal PETRONews Bites provides a channel to raise employee awareness on various initiatives taken to promote safety in the workplace and among local communities.

COMMUNITY SAFETY

Petron Malaysia's Risk Management Strategy is not limited to the scope of our operations, but also extends to ensuring the safety and well-being of the communities in which we operate. Our operations—spanning refineries, terminals, plants, transportation, and service stations—are governed by strict protocols to minimise potential health and safety risks. This is achieved through continuous asset integrity improvements, incident response planning, training initiatives, strategic partnerships, and public awareness programmes.

Engaging with neighbouring communities is fundamental to our approach. We maintain open communication channels through community meetings, written updates, and direct messaging platforms, allowing residents to voice concerns and access important information about our operations. To facilitate structured feedback, we have established a Community Grievance Mechanism, where

reports related to safety and environmental issues are logged, reviewed, and tracked via POIMS. This ensures prompt action, particularly for matters raised during Control of Industrial Major Accident Hazard (CIMAH) and Petroleum Industry of Malaysia Mutual Aid Group (PIMMAG) engagements.

We also emphasise safety along our supply chain, for instance, we conduct defensive driving training and Emergency Response Plan (ERP) drills together with our hauliers to ensure drivers are equipped to prevent and manage motor vehicle accidents.



To ensure safety at our stations, we regularly conduct Go-to-Safety-Point¹ refresher courses that strengthens emergency preparedness at our service stations by training dealers and staff to respond effectively in crisis situations. In addition, our in-house SSHE advisors oversee compliance with POIMS at every station, reinforcing our commitment to operational safety.

Beyond maintaining operational safety, we actively promote community safety initiatives. Our Fire and Road Safety Programme² educates schoolchildren on essential safety practices, equipping them with life-saving knowledge. Through these initiatives, Petron Malaysia remains committed to fostering a safer environment for both our workforce and the communities we serve.

SAFETY

Petron Malaysia's *Tandas Kita Bersih* Initiative

Our commitment to enhancing public health and safety encompasses our maintenance of high hygiene standards at our service stations. Clean, well-maintained facilities are essential in ensuring a safe and comfortable environment for our customers and the broader community. Through our “*Tandas Kita Bersih*” initiative launched in 2018, we uphold strict restroom cleanliness standards across all our service stations, ensuring they are clean, dry, and fully functional at all times.

This initiative aligns with our broader efforts to mitigate health and safety risks associated with our operations, from fuel distribution to retail services. By maintaining high sanitation levels, we help reduce the spread of communicable diseases and provide a more pleasant experience for the thousands of customers who visit our service stations daily.



Our commitment to hygiene excellence has been recognised by local council levels. These achievements reflect our continuous investment in customer well-being and reinforce our dedication to improving public facilities.

Awards Won for *Tandas Kita Bersih* Initiative in 2024

State	Local Council	Station
Johor	Iskandar Puteri City Council	▶ Petron Tun Aminah – 1st ▶ Petron Linkedua NB – 2nd ▶ Petron Bukit Indah – 3rd
	Pasir Gudang City Council	▶ Petron Tmn Nusa Damai – 1st ▶ Petron Masai Kong Kong – 2nd ▶ Petron Tmn Cahaya Masai – 3rd
Pahang	Temerloh City Council	▶ Petron Jln Karak Mentakab – 1st ▶ Petron Tmn Rimba – 3rd
Perak	Taiping City Council	▶ Petron Bukit Gantang Lay by SB – 1st
Sabah	Kota Kinabalu City Council	▶ Petron Ulam South – 1st ▶ Petron Jln Kolam – 2nd ▶ Petron Ulam North – 3rd
Selangor	Hulu Selangor City Council	▶ Petron Hulu Bernam – 1st ▶ Petron Bukit Sentosa – 2nd
	Klang City Council	▶ Petron Sungai Jati – 1st
	Petaling Jaya City Council	▶ Petron Jalan Selangor SS – 1st ▶ Petron Kelana Jaya – 2nd
Terengganu	Kemaman City Council	▶ Petron Geliga – 1st

Product Safety

As a commitment to product safety and transparent labelling and advertising for our customers, our products and their safety data sheets are available on the Petron website.

SAFETY

HEALTH AND SAFETY PERFORMANCE

Employees

	2022		2023		2024	
No. of Hours Worked	897,197.10		878,217.90		850,951.50	
	2022		2023		2024	
	Number	Rate	Number	Rate	Number	Rate
Fatalities	0	0	0	0	0	0
LTI	0	0	0	0	0	0
High-consequence work-related injuries	0	0	0	0	0	0
Recordable work-related injuries	0	0	0	0	0	0
Recordable work-related ill-Health	0	0	0	0	0	0

Non-Employees

	2022		2023		2024	
No. of Hours Worked	2,308,376.10		2,351,379.90		2,462,117.50	
	2022		2023		2024	
	Number	Rate	Number	Rate	Number	Rate
Fatalities	0	0	0	0	0	0
LTI	0	0	0	0	0	0
High-consequence work-related injuries	0	0	0	0	0	0
Recordable work-related injuries	0	0	0	0	4	0.4
Recordable work-related ill-Health	0	0	0	0	0	0

Notes:

- Data from PDR, LPP and Terminals only.
- The rates for employees and non-employees have been rounded up to one decimal point.
- Rates were calculated based on 200,000 work hours.
- Non-employees refer to workers who are not employees but whose work/or workplace is controlled by Petron Malaysia.
- Lost Time Incident refers to any work-related injury or occupational illness that results in at least one lost workday after the day of the incident. If the medical doctor recommends days away from work, the incident should be recorded as a "Lost Time Incident", even if the injured person is not scheduled to work on the calendar day following the illness or injury.
- Lost Time Injury refers to a Lost Time Incident that was a result of an Employee or Contractor Injury (including fatalities).
- High-consequence work-related injuries are injuries that result in fatality or an injury from which the worker, does not, or is not expected to fully recover from to pre-injury health status within six months.
- Recordable work-related injuries are injuries that result in fatality or days away from work, restricted work or transfer to another job, medical treatment beyond first aid, or loss of consciousness; or significant injury diagnosed by a physician or other licenced healthcare professional, even if it does not result in death, days away from work, restricted work or job transfer, medical treatment beyond first aid, or loss of consciousness.
- 4 instances of Recordable work-related injuries refer to Medical Time Injury and did not qualify as Lost Time Incident.

Source: Petron Malaysia's Work-Related Incidents and Injury (WII) guidelines

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Calculation Formula

$$\text{Rate of fatalities as a result of work-related injury} = \frac{\text{Number of fatalities as a result of work-related injury}}{\text{Number of hours worked}} \times 200,000$$

$$\text{Rate of high-consequence work-related injuries (excluding fatalities)} = \frac{\text{Number of high-consequence work-related injuries (excluding fatalities)}}{\text{Number of hours worked}} \times 200,000$$

$$\text{Lost Time Injury Rate (LTIR)} = \frac{\text{Number of lost time injuries in the reporting period}}{\text{Number of hours worked}} \times 200,000$$

$$\text{Rate of recordable work-related injuries} = \frac{\text{Number of recordable work-related injuries}}{\text{Number of hours worked}} \times 200,000$$

Source: Petron Malaysia's Work-Related Incidents and Injury (WII) guidelines



SAFETY

SAFETY AWARDS AND RECOGNITIONS

Petron Malaysia's unwavering commitment to occupational safety, health, and environmental responsibility was reaffirmed in 2024 through a series of distinguished awards.

Petron Malaysia's Record-Breaking Triumph at the 2024 MSOSH Awards

Petron Malaysia set a new benchmark in occupational safety and health by securing an unprecedented 15 awards at the 42nd Malaysian Society for Occupational Safety and Health (MSOSH) Awards on 11 November 2024 at Sunway Resort Hotel. This milestone achievement reaffirms Petron's unwavering commitment to safety excellence across its operations.

Among the standout accolades was the Platinum Award for Kuantan Terminal, marking Petron's first Platinum win since 2007. The High Achiever Award was presented to Bagan Luar Terminal, recognising its exceptional performance based on audited results. Additionally, Petron Malaysia's General Manager, Pn. Faridah Ali, was honoured with the prestigious President Award for her outstanding leadership in advancing OSH standards.



This year's success surpasses 2023's nine MSOSH Awards, solidifying Petron's position as a leader in workplace safety. The achievement highlights the effectiveness of the Petron Operations Integrity Management System (POIMS) and the company's dedication to continuous improvement in safety performance.

Petron Malaysia was also recognised for its leadership in occupational safety and health at the MSOSH OSH Practitioners Award. This award acknowledges OSH practitioners and leaders who have demonstrated exceptional leadership and outstanding results in advancing workplace safety.

Additionally, as a testament to our expertise in the Petroleum, Gas, and Petrochemical sectors, the Bagan Luar Terminal (BLT) Terminal Manager was invited by MSOSH to serve as a panel speaker to share insights on industry best practices and effective safety management strategies.



SAFETY

Malaysian Society for Occupational, Safety and Health Awards (MSOSH) 2024

President Award	Platinum Award	Grand Award	Gold Merit	Gold Class 1
- Pn. Faridah Ali, General Manager of Petron Malaysia	- Kuantan Terminal*	- Port Dickson Refinery - Port Dickson Terminal - Bagan Luar Terminal - Pasir Gudang JV Terminal* - Sepang Bay Terminal*	- Sandakan Terminal* - Tawau Terminal*	- KLIA Aviation Depot - Petron Jalan Meru 3 - Petron Skudai Toll NB - Petron Grand Saga SB - Petron BKE

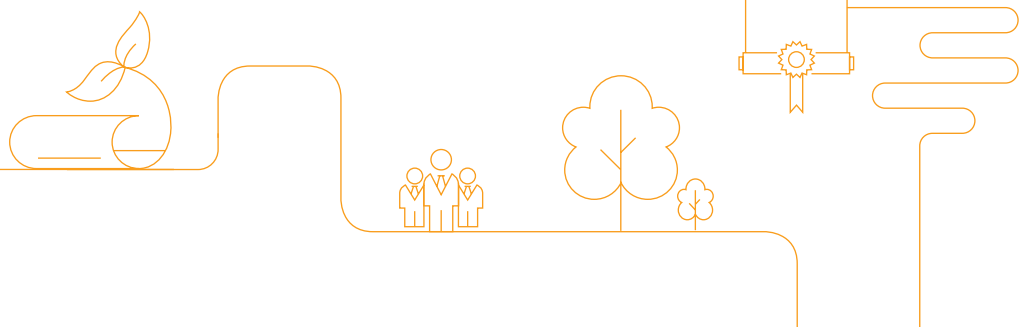
MSOSH OSH Practitioners Award

Superior OSH Performance	Best Workplace Health Promotion	Overall Award – Most Valuable OSH Practitioner
- Bagan Luar Terminal - Kuantan Terminal*	- Bagan Luar Terminal	- Bagan Luar Terminal

Petron Malaysia remains committed to enhancing workplace safety, promoting best practices, and fostering a culture of safety-first in every aspect of its operations.

Note:

* PMRMB sister companies' facilities.



Beyond the MSOSH Awards, the company also earned several other significant recognitions:

• MiSHA Awards 2024

Petron Malaysia was honoured at the 2024 Malaysian Industrial Safety and Health Association (MiSHA) Awards where both our Pasir Gudang Terminal (PGT) and Port Dickson Terminal (PDT) received the Diamond Award in the MiSHA OSH Principle of Prevention under the MiSHA Prime Award (MPA) category. This marks the first time Petron's terminals have participated in the award programme, with both PGT and PDT selected based on stringent evaluation criteria. The Diamond Award, the second-highest recognition in the competition, was presented following a nationwide assessment of over 60 industrial sites.

MiSHA National Excellence Awards on OSH Principle of Prevention (OSHPoP) 2024

Diamond Award

- Pasir Gudang JV Terminal*
- Port Dickson Terminal

Collectively, these achievements demonstrate Petron Malaysia's focus on creating a safer workplace, reinforcing process safety, and engaging communities in hazard prevention.



CUSTOMER DATA PROTECTION

Ensuring the security and confidentiality of customer data is a fundamental responsibility that Petron Malaysia upholds with the highest level of diligence. As digital interactions and data exchanges continue to grow, we remain vigilant in protecting sensitive information from unauthorised access, misuse, or breaches. Our approach integrates stringent security protocols, industry best practices, and strict compliance with data protection regulations to prevent vulnerabilities. Customer data collected via Petron Care, PMiles App and website, corporate website, social media platforms, service station dealers, and commercial transactions are safeguarded through robust control measures. As we advance in our digital transformation, we continue to strengthen our cybersecurity framework to uphold privacy rights, maintain customer trust, and reinforce our commitment to responsible data management.

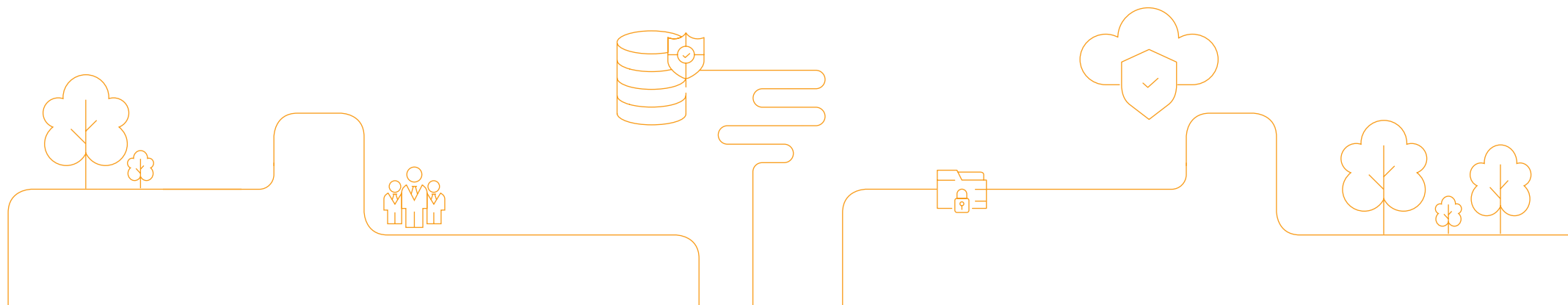
DATA PROTECTION MANAGEMENT

Petron Malaysia remains steadfast in safeguarding customer data and ensuring the integrity of its digital infrastructure. In response to the evolving cyber threat landscape, we have adopted a proactive approach to data security which implements stringent measures to prevent unauthorised access, data breaches, and potential cyberattacks.

Data protection governance is embedded in the Company's Information Technology Policy, which aligns with Petron Malaysia's Standards of Business Conduct (SBC) and incorporates the ISO 27001 Information Security Management System (ISMS) requirements. In addition, cybersecurity protocols have been adapted from San Miguel Corporation's global ISMS framework and tailored to meet local regulatory requirements and industry best practices.

To further reinforce digital security, Petron Malaysia conducts an external cybersecurity audit through the Internal Audit department, alongside continuous vulnerability and penetration testing to identify and mitigate risks. Employees play a critical role in cybersecurity, and awareness efforts are enhanced through targeted training, security alerts, and best practice guidelines on phishing detection, malware prevention, and password security.

Investment in IT infrastructure is also prioritised, with system upgrades including enhanced firewalls, advanced encryption tools, and strengthened mobile device security measures. These efforts reflect Petron Malaysia's commitment to safeguarding sensitive data, ensuring business continuity, and maintaining the trust of customers, partners, and stakeholders in an increasingly complex digital environment.



CUSTOMER DATA PROTECTION

Prioritising The Protection of Customer Data

Petron Malaysia leverages multiple customer engagement platforms—such as Petron Care, PMiles hotlines, the corporate website, and social media channels—to gather insights that improve service quality and customer experience. All personal data collected is strictly managed in compliance with the PDPA and governed by PMiles Terms and Conditions, with access restricted to authorised personnel. Regular audits reinforce data integrity and confidentiality, reflecting Petron Malaysia's commitment to robust cyber risk management and the highest standards of data security.

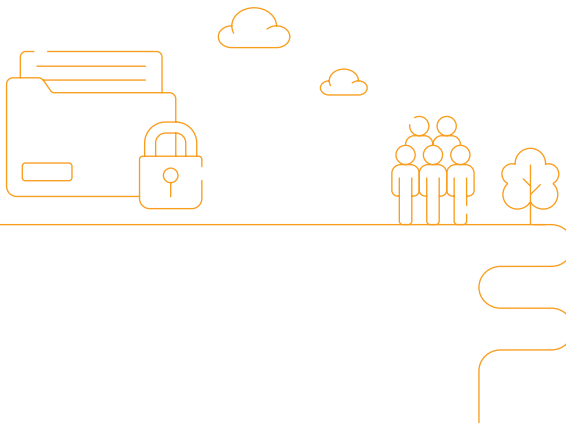
Dedicated to safeguarding customer information at every touchpoint, Petron Malaysia implements stringent processes that reaffirm its commitment to privacy and compliance. By continuously refining its security measures, the company ensures that sensitive information remains protected, thereby maintaining stakeholder trust in an evolving digital landscape. These mitigatory measures include the following:

Petron Miles Call Centre

The Petron Miles Call Centre recorded zero incidents of customer data theft or unauthorised access in FY2024. Nevertheless, to safeguard customer data and mitigate the risk of breaches, Petron Malaysia has established a robust data protection framework within its call centre operations. Access to systems is governed by role-based permissions, ensuring employees can only view or handle information relevant to their responsibilities. System-enforced password resets are required at regular intervals to uphold credential security. In cases of staff resignation, access is promptly revoked to eliminate post-employment system exposure. These measures are further supported by continuous training and awareness initiatives, reinforcing a culture of data security and compliance across the team.

Customer Relations

Customer Relations is responsible for the Service Station and Commercial Master List, which contains dealers' personal information governed by the PDPA. To maintain data integrity, the database is both frequently updated and secured with password protection. Access is limited to designated employees whose roles require interaction with this information, thereby maintaining strict control over who can view and manage the data.



CUSTOMER DATA PROTECTION

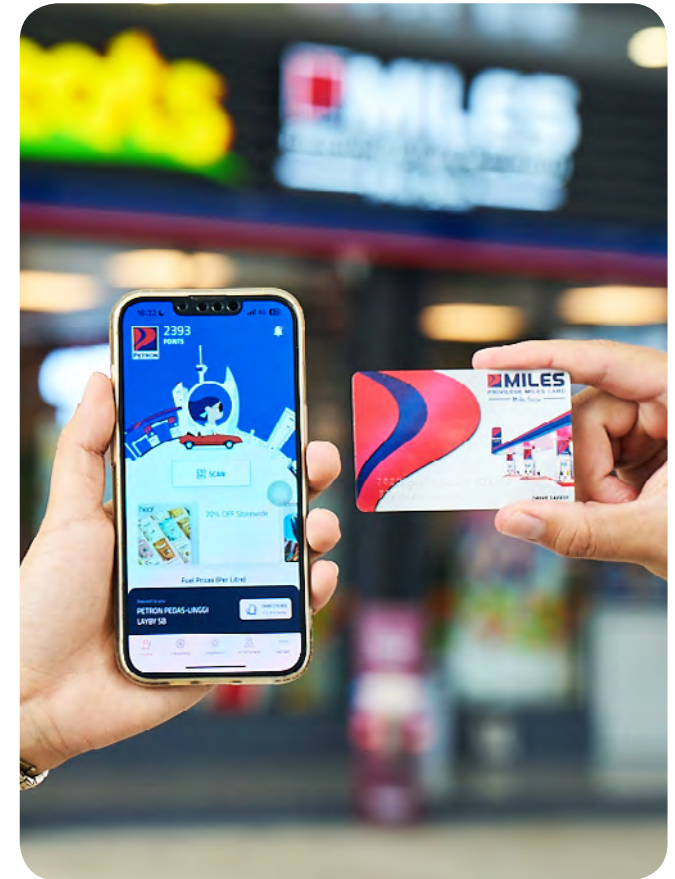
Petron Miles App

Petron Malaysia's PDPA consent requirement applies to the entire Petron Miles membership, not solely to digital channels such as the Petron Mobile App or the Petron Miles website. During Petron Mobile App registration, users must explicitly consent to the PDPA, Terms & Conditions, and privacy policy to finalise their membership. This process is clearly detailed in the Petron Miles Membership Terms & Conditions, highlighting Petron's continued focus on robust data protection throughout all customer engagement platforms.

DATA PROTECTION PERFORMANCE

There were no verified incidents of customer data breaches, loss, or regulatory violations reported in 2024. Moving forward, we remain focused on strengthening our cybersecurity framework to ensure robust data protection and uphold stakeholder privacy.

	Unit	2022	2023	2024
Number of substantiated complaints concerning breaches of customer privacy and losses of customer data	Number	0	0	0
Total number of identified leaks, thefts or losses of customer data		0	0	0



MEMBERSHIP OF ASSOCIATIONS

Company	Organisation/Association	Petron Malaysia's Participation
PMRMB/PFISB/POMSB	Malaysian Society for Occupational Safety and Health (MSOSH)	Refinery – Port Dickson Terminals – Port Dickson, Bagan Luar, KLIA Aviation Depot, Kuantan*, Pasir Gudang JV*, Sepangar Bay*, Sandakan* and Tawau* Lumut PME Plant
PMRMB/PFISB/POMSB	Petroleum Industry of Malaysia Mutual Aid Group (PIMMAG) PIMMAG is established to enhance the protection of the environment through the provision of pooled resources to respond to oil spill contingencies arising in Malaysia and Malaysian waters, including the Exclusive Economic Zone. Its major shareholders are the oil companies operating in Malaysia. However, any company with oil related activities is also eligible to join as a member.	Members of PIMMAG Advisory Committee (PAC): • Supply and Distribution SSHE & Training Advisor • PDR Emergency Response Coordinator Refinery – Port Dickson Terminals – Port Dickson, Bagan Luar, KLIA Aviation Depot, Kuantan*, Pasir Gudang JV*, Sepangar Bay*, Sandakan* and Tawau* Lumut PME Plant Also covers inland Offshore Self Regulation - Retail Service Stations, Commercial and Fleet.
PMRMB	Malaysian Biodiesel Association (MBA)	Lumut PME Plant Operations Manager
PMRMB	United Nations Global Compact (UNGC) In 2024, Petron Malaysia became a participant of the UNGC, the world's largest corporate responsibility initiative with more than 20,000 participants from 160 countries.	Participation as a subsidiary of San Miguel Corporation

Note:

* PMRMB's sister companies' facilities.

PERFORMANCE DATA TABLE

As a listed issuer on Bursa Malaysia's Main Market, Petron Malaysia Refining & Marketing Bhd is committed to providing the mandated Environmental, Social, and Governance (ESG) disclosures. These obligations align with the latest recommendations outlined in Bursa Malaysia's Sustainability Reporting Guide (3rd Edition). The following performance data—drawn from the ESG Reporting Platform—captures our targets and progress across the 11 Common Sustainability Matters identified by Bursa Malaysia:

	Community/Society
	Anti-corruption
	Energy management
	Emissions management
	Waste management
	Water
	Supply chain management
	Labour practices and standards
	Diversity
	Health and safety
	Data privacy and security

To ensure the accuracy and transparency of our disclosures, key Environmental data indicated in the table below have been internally reviewed by Petron Corporation's Internal Audit.

Additionally, plans are underway to further expand our internal review processes, strengthening the accuracy, comprehensiveness, and reliability of the data presented.

Indicator	Measurement Unit	2022	2023	2024	Target
Bursa (Community/Society)					
Bursa C2(a) Total amount invested in the community where the target beneficiaries are external to the listed issuer	MYR	608,315.59	1,153,727	1,870,439	By 2025, increase amount invested in the community by 5% from 2022
Bursa C2(b) Total number of beneficiaries of the investment in communities	Number	5,245	7,763	28,534	By 2025, increase number of beneficiaries by 5% from 2022
Bursa (Anti-corruption)					
Bursa C1(a) Percentage of employees who have received training on anticorruption by employee category					
Management	Percentage	56.00	47.00	11.90	By 2025, increase number of employees trained on Standards of Business Conduct to 100%
Non-Management	Percentage	22.00	64.00	11.00	
Bursa C1(b) Percentage of operations assessed for corruption-related risks	Percentage	100.00	0.00	0.00	By 2025, 100% of operations assessed for corruption-related risks
Bursa C1(c) Confirmed incidents of corruption and action taken	Number	0	0	0	
Bursa (Energy management)					
Bursa C4(a) Total energy consumption	Megawatt	984,406.00	980,803.00	819,914.00	
Bursa (Emissions management)					
Bursa C11(a) Scope 1 emissions in tonnes of CO ₂ e	Metric tonnes	181,916.00	190,607.00	164,627.00	By 2025, reduce GHG emissions intensity by 4% from 2022 (Scope 1 & 2)
Bursa C11(b) Scope 2 emissions in tonnes of CO ₂ e	Metric tonnes	74,370.00	70,971.00	59,092.00	
Bursa C11(c) Scope 3 emissions in tonnes of CO ₂ e (at least for the categories of business travel and employee commuting)	Metric tonnes	-	-	1,083.00	

Internal assurance

External assurance

No assurance

(*) Restated

PERFORMANCE DATA TABLE

Indicator	Measurement Unit	2022	2023	2024	Target
Bursa (Waste management)					
Bursa C10(a) Total waste generated	Metric tonnes	3,048.00	449.00*	972.00	
Bursa C10(a)(i) Total waste diverted from disposal	Metric tonnes	2,916.00	400.00*	600.00	
Bursa C10(a)(ii) Total waste directed to disposal	Metric tonnes	132.00	49.00*	372.00	By 2025, reduce intensity of hazardous waste sent to disposal by 2% from 2022
Bursa (Water)					
Bursa C9(a) Total volume of water used	Megalitres	234.00*	150.00*	120.00	By 2025, reduce water consumption intensity by 2% from 2022
Bursa (Supply chain management)					
Bursa C7(a) Proportion of spending on local suppliers	Percentage	46.00	69.00*	64.00	
Bursa (Labour practices and standards)					
Bursa C6(a) Total hours of training by employee category					
Management	Hours	11,757	16,694	17,860	By 2025, increase average training hours by employee category 32 hours (Management) 15 hours (Non-Management)
Non-Management	Hours	3,726	2,338	3,365	
Bursa C6(b) Percentage of employees that are contractors or temporary staff	Percentage	19.00	4.00	3.00	

Indicator	Measurement Unit	2022	2023	2024	Target
Bursa C6(c) Total number of employee turnover by employee category					
Management	Number	53*	50*	31	
Non-Management	Number	12*	15*	10	
Bursa C6(d) Number of substantiated complaints concerning human rights violations	Number	0	0	0	
Bursa (Diversity)					
Bursa C3(a) Percentage of employees by gender and age group, for each employee category					
Age Group by Employee Category					
Management Under 30	Percentage	18.00	17.00	17.00	
Management Between 30-50	Percentage	70.00	73.00	75.00	
Management Above 50	Percentage	12.00	11.00	12.00	
Non-Management Under 30	Percentage	24.00	25.00	27.00	
Non-Management Between 30-50	Percentage	61.00	62.00	63.00	
Non-Management Above 50	Percentage	15.00	13.00	9.00	
Gender Group by Employee Category					
Management Male	Percentage	57.00	57.00	59.00	
Management Female	Percentage	43.00	43.00	44.00	
Non-Management Male	Percentage	96.00	94.00	92.00	
Non-Management Female	Percentage	4.00	6.00	7.00	

Internal assurance

External assurance

No assurance

(*) Restated

PERFORMANCE DATA TABLE

Indicator	Measurement Unit	2022	2023	2024	Target
Bursa C3(b) Percentage of directors by gender and age group					
Male	Percentage	67.00	56.00	67.00	
Female	Percentage	33.00	44.00	33.00	
Under 30	Percentage	0.00	0.00	0.00	
Between 30-50	Percentage	0.00	11.00	11.00	
Above 50	Percentage	100.00	89.00	89.00	
Bursa (Health and safety)					
Bursa C5(a) Number of work-related fatalities	Number	0	0	0	By 2025, zero work-related fatalities
Bursa C5(b) Lost time incident rate ("LTIR")	Rate	0	0	0	By 2025, zero Lost Time Injury Rate
Bursa C5(c) Number of employees trained on health and safety standards	Number	281	369	485	By 2025, 100% of employees (in Operations) attend mandatory training on health & safety

Indicator	Measurement Unit	2022	2023	2024	Target
Bursa (Data privacy and security)					
Bursa C8(a) Number of substantiated complaints concerning breaches of customer privacy and losses of customer data	Number	0	0	0	

Internal assurance

External assurance

No assurance

(*) Restated

SUSTAINABILITY PERFORMANCE DATA

ECONOMIC

Material Matters Indicators	Unit	2022	2023	2024
Direct Economic Impact Performance				
Economic Value Generated				
Revenue	RM billion	18.4	17.2	15.8
Other Income	RM million	98	164	50
Economic Value Distributed				
Payment to Suppliers/Business Partners/Contractors	RM billion	17.9	16.8	15.7
Salaries and Benefits for Employees	RM million	48	53	51
Dividend paid to Investors		54	67.5	62.1
Tax paid to Government		26	36	45
Total Amount Invested in Local Community		0.60	1.2	1.9
Beneficiaries of the investment in communities	Number	5,245	7,763	28,534
Economic Value Retained				
Economic Value Retained for Reinvestment	RM million	388	434	45
Supporting Local Suppliers and Uplifting Local Leadership				
Percentage of Local Suppliers/Business Partners	%	94	93	94
Percentage of procurement budget used on local suppliers		46	69	63
Proportion of senior management hired from the local community		95	95	98

ECONOMIC

Material Matters Indicators	Unit	2022	2023	2024
Ethical Business Performance				
Employees who have received training on anti-corruption by employee category	%	48	100	12
• Management	% (Number)	56 (281)	47 (239)	11.9 (66)
• Non-Management		22 (36)	64 (99)	11 (18)
Operations assessed for risks related to corruption	%	100	N/A	N/A
Confirmed incidents of corruption and actions taken	Number	0	0	0
Legal Actions for anti-Competitive Behaviour, Anti-trust and Monopoly Practices	Number	0	0	0
Employees that have completed Annual Ethical Declaration	%	100	100	100
Number of substantiated complaints concerning human rights violations	Number	N/A	0	0
New suppliers that were screened using social criteria	%	100	100	100



SUSTAINABILITY PERFORMANCE DATA

ENVIRONMENTAL

Material Matters Indicators	Unit	2022	2023	2024
Group Greenhouse Gas (GHG) Emissions				
Total	KilotonnesCO ₂ e (ktCO ₂ e)	256	262	225
Scope 1		182	191	165
Scope 2		74	71	59
Scope 3 (Business Travel & Employee Commuting)		-	-	1
GHG Emissions				
PD Refinery and Terminal - Scope 1	ktCO ₂ e	176.6	186.3	160.5
PD Refinery and Terminal - Scope 2		69.6	66.2	54.7
Lumut PME Plant – Scope 1		5.59	4.30	4.11
Lumut PME Plant – Scope 2		3.46	3.37	3.08
Terminals (BLT, KTN, SBT, SDK, TWU) – Scope 1		0.006	0.005	0.003
Terminals (BLT, KTN, SBT, SDK, TWU) – Scope 2		0.95	1.03	1.06
HQ & PRTC – Scope 2		0.37	0.35	0.30
Business Travel - Scope 3		-	-	0.33
Employee Commuting - Scope 3		-	-	0.75
GHG Emissions Intensity				
PD Refinery and Terminal - Scope 1	kgCO ₂ e/BBL	7.3	7.4	6.6
PD Refinery and Terminal - Scope 2		2.9	2.6	2.2
Lumut PME Plant – Scope 1		10.3	7.2	6.9
Lumut PME Plant – Scope 2		6.7	5.7	5.1
Terminals (BLT, KTN, SBT, SDK, TWU) – Scope 1		0.0004	0.0003	0.0002
Terminals (BLT, KTN, SBT, SDK, TWU) – Scope 2		0.06	0.07	0.07
Group Energy Consumption				
Total	Megawatt (MWh)	984,406	980,803	819,914
	Gigajoules (GJ)	3,543,860	3,530,891	2,951,692

ENVIRONMENTAL

Material Matters Indicators	Unit	2022	2023	2024
Group Energy Consumption by Sources				
Fuel Gas	GJ	3,096,756	3,114,345	2,597,372
Gasoline		0	3	1
Diesel		2,103	9,429	2,642
Natural Gas		101,519	73,158	79,489
LFO		3,171	9,258	1,810
Electricity		340,311	324,698	270,377
Energy Consumption				
PD Refinery and Terminal	GJ	3,417,011	3,426,465	2,849,850
Lumut PME Plant		120,707	98,007	95,536
Terminals (BLT, KTN, SBT, SDK, TWU)		4,454	4,823	4,923
HQ & PRTC		1,688	1,596	1,383
Energy Intensity				
PD Refinery and Terminal	MJ/BBL	141.5	135.8	117.1
Lumut PME Plant		233.9	165.0	159.2
Terminals (BLT, KTN, SBT, SDK, TWU)		0.30	0.32	0.31
Emissions of Sulphur Oxides (SOx) & Nitrogen Oxides (NOx)				
SOx	Tonnes	55	79	76
NOx		315	350	291
Emissions of SOx & NOx Intensity				
SOx	G/BBL	2.3	3.1	3.1
NOx		13.0	13.9	12.0
Group Significant (Reportable) Spills				
Spills on land	Number	0	0	0
Spills on water		0	0	0
Spills at offsite		0	0	0



SUSTAINABILITY PERFORMANCE DATA

ENVIRONMENTAL

Material Matters Indicators	Unit	2022	2023	2024
Group Significant (Reportable) Spills				
Spills on Land	Litres	0	0	0
Spills on Water		0	0	0
Spills at Offsite		0	0	0
Group Waste Generation				
Total	Tonnes	3,048	450	973
Group Waste Performance (Hazardous)				
Waste Generated	Tonnes	320	440	892
Waste Diverted from Disposal		244	400	600
Waste Sent to Disposal		76	40	292
Group Waste Performance (Non-Hazardous)				
Waste Generated	Tonnes	2,728	10	81
Waste Diverted from Disposal		2,672	0	0
Waste Sent to Disposal		56	10	81
Group Water Performance				
Water Consumption	Megalitres (ML)	233	150	120
Water Discharge		538	537	485
Water Withdrawal		771	687	605
Total Weight of Materials Used to Produce Primary Products and Services				
Renewable Materials	Tonnes	65,993	77,386	71,565
Non-Renewable Materials		2,421,236	2,640,227	2,059,335
Total Weight of Materials Used to Package Primary Products and Services				
Non-Renewable Materials	Tonnes	488	630	711
Biodiversity				
Total Trees Planted	Number	28	292	1,400

SOCIAL

Material Matters Indicators	Unit	2022	2023	2024
Agile, Diverse & Thriving Workforce Performance				
Total Number of Employees	Number	658	660	716
• Male		391	436	469
• Female		209	222	247
Percentage of Board Members by:				
Gender				
• Male	%	67	56	67
• Female		33	44	33
Age Group				
• >50	%	100	89	89
• 30-50		0	11	11
• <30		0	0	0
Employee Diversity (by Employee Category, Gender, Age Group and Employment Contract)				
Management				
• Male	%	57	57	59
• Female		43	43	44
• <30		18	17	17
• 30-50		70	73	75
• >50		12	11	12
Non-Management				
• Male	%	96	94	92
• Female		4	6	7
• <30		24	25	27
• 30-50		61	62	63
• >50		15	13	9



SUSTAINABILITY PERFORMANCE DATA

SOCIAL

Material Matters Indicators	Unit	2022	2023	2024
Percentage of employees that are contractors or temporary staff				
Permanent	%	81	96	97
Contract		19	4	3
New Hires (by Employee Category, Gender and Age Group)				
Employee Category				
Management	Number	93	55	71
Non-Management		35	14	23
Gender				
Male	Number	93	41	61
Female		35	28	34
Age Group				
<30	Number	69	31	51
30-50		58	38	44
>50		1	0	0
Turnover (by Employee Category, Gender and Age Group)				
Employee Category				
Management	Number	53	50	31
Non-Management		12	15	10
Gender				
Male	Number	43	39	28
Female		22	26	13
Age Group				
<30	Number	10	15	13
30-50		42	39	20
>50		13	11	8

SOCIAL

Material Matters Indicators	Unit	2022	2023	2024
Employee Training (by Employee Category and Gender)				
Total Training Hours by Employee Category				
Management	Hours	11,757	16,694	17,860
Non-Management		3,726	2,338	3,365
Average Training Hours Per Employee (by Gender)				
Male	Hours	25	27	30
Female		20	32	29
Average Training Hours Per Employee (by Employee Category)				
Management	Hours	24	32	32
Non-Management		23	15	21
Parental Leave (by Gender)				
Employees that were entitled to parental leave				
Male	Number	436	435	469
Female		222	225	247
Employees that took parental leave				
Male	Number	24	24	22
Female		11	14	6
Employees that returned to work in the reporting period after parental leave ended				
Male	Number	24	24	22
Female		11	14	6
Employees that returned to work after parental leave ended that were still employed 12 months after their return to work				
Male	Number	24	22	20
Female		9	14	5
Retention rate of employees that took parental leave				
Male	%	100	92	91
Female		82	100	83

SUSTAINABILITY PERFORMANCE DATA

SOCIAL

Material Matters Indicators	Unit	2022	2023	2024
Freedom of Association and Collective Bargaining				
Workforce breakdown by Union/Non-Union				
Union	Number	163	154	162
Non-Union		495	506	554
Workforce breakdown by Union/Non-Union				
Union against Total Employees	%	25	23	29
Safety Performance				
Number of Work-related Fatalities				
• Employees	Number	0	0	0
• Contractor		0	0	0
Lost Time Injury (LTI)	Number	0	0	0
Lost Time Injury Rate (LTIR)	Rate	0	0	0
Employees Trained on Health and Safety Standards	Number	281	369	485
Number of Hours Worked				
Employees	Hours	897,197.10	878,217.90	850,951.50
Contractor		2,308,376.10	2,351,379.90	2,462,117.50
Number and Rate of high-consequence work-related injuries				
Employees	Number	0	0	0
	Rate	0	0	0
Contractor	Number	0	0	4
	Rate	0	0	0.4
Number and Rate of Recordable work-related injuries				
Employees	Number	0	0	0
	Rate	0	0	0
Contractor	Number	0	0	0
	Rate	0	0	0

SOCIAL

Material Matters Indicators	Unit	2022	2023	2024
Data Protection Performance				
Number of Substantiated Complaints Concerning Breaches of Customer Privacy and Losses of Customer Data	Number	0	0	0
Total Number of Identified Leaks, Thefts or Losses of Customer Data	Number	0	0	0

GRI CONTENT INDEX

Statement of use	Petron Malaysia Refining & Marketing Bhd has reported the information cited in this GRI content index for the period 1 January 2024 to 31 December 2024 with reference to the GRI Standards.
GRI 1 used	GRI 1: Foundation 2021
Applicable GRI Sector Standard	GRI 11: Oil and Gas Sector 2021

GRI STANDARD	DISCLOSURE	LOCATION (Remarks/Pg. No.)
GRI 2: General Disclosures 2021	2-1 Organisational details	5-7. Refer also to PMRMB's Annual report 2024 page 8-9.
	2-2 Entities included in the organisation's sustainability reporting	4.
	2-3 Reporting period, frequency and contact point	4.
	2-4 Restatements of information	68, 69, 73, 86, 102.
	2-5 External assurance	4. Refer also to PMRMB's Annual report 2024 page 153.
	2-6 Activities, value chain and other business relationships	5-7, 79.
	2-7 Employees	84-85.
	2-8 Workers who are not employees	-
	2-9 Governance structure and composition	Refer to PMRMB's Annual report 2024 page 46.
	2-10 Nomination and selection of the highest governance body	Refer to PMRMB's Annual report 2024 page 83-86.
	2-11 Chair of the highest governance body	Refer to PMRMB's Annual report 2024 page 46.
	2-12 Role of the highest governance body in overseeing the management of impacts	14-15. Refer also to PMRMB's Annual report 2024 page 87-88.
	2-13 Delegation of responsibility for managing impacts	14-15. Refer also to PMRMB's Annual report 2024 page 87-88.
	2-14 Role of the highest governance body in sustainability reporting	14-15. Refer also to PMRMB's Annual report 2024 page 87-88.
	2-15 Conflicts of interest	Refer to PMRMB's Annual report 2024 page 55, 60, 61, 64, 73, 166.
	2-16 Communication of critical concerns	-
	2-17 Collective knowledge of the highest governance body	Refer to PMRMB's Annual report 2024 page 70-72.
	2-18 Evaluation of the performance of the highest governance body	14. Refer also to PMRMB's Annual report 2024 page 85-86.
	2-19 Remuneration policies	Refer to PMRMB's Annual report 2024 page 69, 70, 91.
	2-20 Process to determine remuneration	Refer to PMRMB's Annual report 2024 page 60.
	2-21 Annual total compensation ratio	Refer to PMRMB's Annual report 2024 page 69, 70, 91.
	2-22 Statement on sustainable development strategy	10.
	2-23 Policy commitments	Refer to PMRMB's Annual report 2024 page 74-75. Refer also to the Corporate Governance section.
	2-24 Embedding policy commitments	Refer to PMRMB's Annual report 2024 page 74-75. Refer also to the Corporate Governance section.
	2-25 Processes to remediate negative impacts	63, 83, 93, 96, 104.
	2-26 Mechanisms for seeking advice and raising concerns	49, 83, 100.
	2-27 Compliance with laws and regulations	31, 50, 63.
	2-28 Membership associations	113.
	2-29 Approach to stakeholder engagement	16-20.
	2-30 Collective bargaining agreements	93.
GRI 3: Material Topics 2021	3-1 Process to determine material topics	21-23.
	3-2 List of material topics	23.

GRI CONTENT INDEX

GRI STANDARD	DISCLOSURE	LOCATION (Remarks/Pg. No.)	GRI SECTOR STANDARD REF. NO.
ADVANCING ETHICAL BUSINESS GROWTH			
Generating Economic Benefits			
GRI 3: Material Topics 2021	3-3 Management of material topics	32-47	11.14.1, 11.15.1
GRI 201: Economic Performance 2016	201-1 Direct economic value generated and distributed	33-34	11.14.2
GRI 202: Market Presence 2016	202-2 Proportion of senior management hired from the local community	34	11.14.3, 11.11.2
GRI 203: Indirect Economic Impacts 2016	203-2 Significant indirect economic impacts	43-47	11.14.5
GRI 204: Procurement Practices 2016	204-1 Proportion of spending on local suppliers	33	11.14.6
GRI 413: Local Communities 2016	413-1 Operations with local community engagement, impact assessments, and development programs	34-47	11.15.2
	413-2 Operations with significant actual and potential negative impacts on local communities	34-47	11.15.3
Ethical Business Practices			
GRI 3: Material Topics 2021	3-3 Management of material topics	48-51	11.19.1; 11.20.1
GRI 205: Anti-corruption 2016	205-1 Operations assessed for risks related to corruption	49, 51	11.20.2
	205-2 Communication and training about anti-corruption policies and procedures	50-51	11.20.3
	205-3 Confirmed incidents of corruption and actions taken	31, 50, 63	11.20.4
GRI 414: Supplier Social Assessment 2016	414-1 New suppliers that were screened using social criteria	49, 81	11.10.8
	414-2 Negative social impacts in the supply chain and actions taken	49	11.10.9
GRI 206: Anti-competitive Behavior 2016	206-1 Legal actions for anti-competitive behavior, anti-trust, and monopoly practices	117	11.19.2
PROTECTING THE ENVIRONMENT AND NATURE			
Climate Change and GHGs			
GRI 3: Material Topics 2021	3-3 Management of material topics	54-62	11.1.1
GRI 302: Energy 2016	302-1 Energy consumption within the organisation	61-62	11.1.2
	302-3 Energy intensity	61	11.1.4
GRI 305: Emissions 2016	305-1 Direct (Scope 1) GHG emissions	58	11.1.5
	305-2 Energy indirect (Scope 2) GHG emissions	58	11.1.6
	305-3 Other indirect (Scope 3) GHG emissions	58	11.1.7
	305-4 GHG emissions intensity	58	11.1.8

GRI CONTENT INDEX

GRI STANDARD	DISCLOSURE	LOCATION (Remarks/Pg. No.)	GRI SECTOR STANDARD REF. NO.
Air Emissions and Pollution Management			
GRI 3: Material Topics 2021	3-3 Management of material topics	63-65	11.3.1; 11.8.1
GRI 305: Emissions 2016	305-7 Nitrogen oxides (NOx), sulfur oxides (SOx), and other significant air emissions	64	11.3.2
GRI 306: Effluents and Waste 2016	306-3 Significant spills	64-65	11.8.2
GRI 307: Environmental Compliance	307-1 Non-compliance with environmental laws and regulations	63	-
Waste and Circular Economy			
GRI 3: Material Topics 2021	3-3 Management of material topics	66-71	11.5.1
GRI 306: Waste 2020	306-1 Waste generation and significant waste-related impacts	66-71	11.5.2
	306-2 Management of significant waste-related impacts	66-71	11.5.3
	306-3 Waste generated	68-69	11.5.4
	306-4 Waste diverted from disposal	68-69	11.5.5
	306-5 Waste directed to disposal	68-69	11.5.6
Water and its Management			
GRI 3: Material Topics 2021	3-3 Management of material topics	72-74	11.6.1
GRI 303: Water and Effluents 2018	303-1 Interactions with water as a shared resource	72-73	11.6.2
	303-2 Management of water discharge-related impacts	73	11.6.3
	303-3 Water withdrawal	73	11.6.4
	303-4 Water discharge	73	11.6.5
	303-5 Water consumption	73	11.6.6
Natural Resources			
GRI 3: Material Topics 2021	3-3 Management of material topics	75-76	-
GRI 301: Materials 2016	301-1 Materials used by weight or volume	76	-
	301-2 Recycled input materials used	76	-
	301-3 Reclaimed products and their packaging materials	76	-



GRI CONTENT INDEX

GRI STANDARD	DISCLOSURE	LOCATION (Remarks/Pg. No.)	GRI SECTOR STANDARD REF. NO.
Biodiversity			
GRI 3: Material Topics 2021	3-3 Management of material topics	77-78	11.4.1
GRI 304: Biodiversity 2016	304-1 Operational sites owned, leased, managed in, or adjacent to, protected areas and areas of high biodiversity value outside protected areas	77	11.4.2
	304-2 Significant impacts of activities, products and services on biodiversity	77-78	11.4.3
	304-3 Habitats protected or restored	77-78	11.4.4
	304-4 IUCN Red List species and national conservation list species with habitats in areas affected by operations	77	11.4.5
Sustainable Supply Chain			
GRI 3: Material Topics 2021	3-3 Management of material topics	49, 79-81	11.10.1; 11.12.1
GRI 308: Supplier Environmental Assessment 2016	308-1 New suppliers that were screened using environmental criteria	81	-
	308-2 Negative environmental impacts in the supply chain and actions taken	81	-
GRI 414: Supplier Social Assessment 2016	414-1 New suppliers that were screened using social criteria	49	11.10.8; 11.12.3
	414-2 Negative social impacts in the supply chain and actions taken	49	11.10.9
FOSTERING SOCIETAL WELL-BEING			
Agile, Diverse and Thriving Workforce			
GRI 3: Material Topics 2021	3-3 Management of material topics	83-93	11.10.1; 11.11.1; 11.13.1; 11.18.1
GRI 401: Employment 2016	401-1 New employee hires and employee turnover	86	11.10.2
	401-2 Benefits provided to full-time employees that are not provided to temporary or part-time employees	89	11.10.3
	401-3 Parental leave	90	11.10.4; 11.11.3
GRI 402: Labor/Management Relations 2016	402-1 Minimum notice periods regarding operational changes	92	11.10.5
GRI 404: Training and Education 2016	404-1 Average hours of training per year per employee	89	11.10.6; 11.11.4
	404-2 Programs for upgrading employee skills and transition assistance programs	87-88	11.10.7
GRI 405: Diversity and Equal Opportunity 2016	405-1 Diversity of governance bodies and employees	84-85	11.11.5
GRI 406: Non-discrimination 2016	406-1 Incidents of discrimination and corrective actions taken	93	11.11.7
GRI 407: Freedom of Association and Collective Bargaining 2016	407-1 Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk	92-93	11.13.2



GRI CONTENT INDEX

GRI STANDARD	DISCLOSURE	LOCATION (Remarks/Pg. No.)	GRI SECTOR STANDARD REF. NO.
Safety			
GRI 3: Material Topics 2021	3-3 Management of material topics	94-109	11.9.1; 11.15.1
GRI 403: Occupational Health and Safety 2018	403-1 Occupational health and safety management system	98-99	11.9.2
	403-2 Hazard identification, risk assessment, and incident investigation	99	11.9.3
	403-3 Occupational health services	104	11.9.4
	403-4 Worker participation, consultation, and communication on occupational health and safety	96-97, 99	11.9.5
	403-5 Worker training on occupational health and safety	102-103	11.9.6
	403-6 Promotion of worker health	104	11.9.7
	403-7 Prevention and mitigation of occupational health and safety impacts directly linked by business relationships	94, 99	11.9.8
	403-8 Workers covered by an occupational health and safety management system	98	11.9.9
	403-9 Work-related injuries	106	11.9.10
	403-10 Work-related ill health	106	11.9.11
GRI 410: Security Practices 2016	410-1 Security personnel trained in human rights policies or procedures	102	11.18.2
GRI 416: Customer Health and Safety 2016	416-1 Assessment of the health and safety impacts of product and service categories	105	-
	416-2 Incidents of non-compliance concerning the health and safety impacts of products and services	50	-
GRI 413: Local Communities 2016	413-1 Operations with local community engagement, impact assessments, and development programs	38, 39, 104	11.15.2
	413-2 Operations with significant actual and potential negative impacts on local communities	38, 39, 104	11.15.3
	Additional disclosure: Report the number and type of grievances from local communities identified, including: - percentage of the grievances that were addressed and resolved; - percentage of the grievances that were resolved through remediation.	38, 39, 104	11.15.4
GRI 417: Marketing and Labeling 2016	417-1 Requirements for product and service information and labeling	105	-
	417-2 Incidents of non-compliance concerning product and service information and labeling	50	-
	417-3 Incidents of non-compliance concerning marketing communications	50	-
Customer Data Protection			
GRI 3: Material Topics 2021	3-3 Management of material topics	110-112	-
GRI 418: Customer Privacy 2016	418-1 Substantiated complaints concerning breaches of customer privacy and losses of customer data	50, 112	-

GLOSSARY

Facilities

BLT	- Bagan Luar Terminal	PGT	- Pasir Gudang Terminal (JV/Chevron)
KLIA	- KLIA Aviation Depot (JV-Petronas/Shell)	SBT	- Sepang Bay Terminal
KTN	- Kuantan Terminal	SDK	- Sandakan Terminal
KVDT	- Klang Valley Distribution Terminal (JV-Petronas/Shell)	TWU	- Tawau Terminal
LPP	- Lumut PME Plant	WPT	- Westport Terminal (JV-BHP)
PDR	- Port Dickson Refinery	HQ	- Head Office
PDT	- Port Dickson Terminal	PRTC	- Petron Retail Training Centre

ACP	- Assistant Commissioner of Police	BSC	- Board Sustainability Committee
ADO	- Automotive Diesel Oil	BTS	- Back to School
AED	- Automated External Defibrillator	CAAM	- Civil Aviation Authority Malaysia
AESP	- Authorised Entrant and Standby Person for Confined Space	CAAP	- Clean Air Action Plan
AGTES	- Authorised Gas Tester and Entry Supervisor for Confined Space	CePSWaM	- Certified Environmental Professional in Scheduled Waste Management
AGTESR	- Authorised Gas Tester and Entry Supervisor for Confined Space-Refresher	CGC	- Credit Guarantee Corporation
AMG	- Asset Management Group	CH ₄	- Methane
AMLA	- Anti-Money Laundering, Anti-Terrorism Financing and Proceeds of Unlawful Activities Act	CIMAH	- Control of Industrial Major Accident Hazard
API	- American Petroleum Institute	CO	- Carbon Monoxide
AR5	- Fifth Assessment Report	CO ₂	- Carbon Dioxide
ARM	- Alternative Raw Material	CO ₂ e	- Carbon Dioxide equivalent
BAC	- Board Audit & Risk Management Committee	CODO	- Company Owned, Dealer Operated
BBL	- Barrel	CPR	- Cardiopulmonary Resuscitation
BOD	- Board of Directors	CSR	- Corporate Social Responsibility
BOFA	- Basic Occupational First Aid	D&TO	- Distribution and Terminal Operations
BOMBA	- Fire and Rescue Department of Malaysia	DEI	- Diversity, Equity and Inclusion
		DHT	- Diesel Hydrotreater
		DODO	- Dealer Owned, Dealer Operated

DOE	- Department of Environment	HIRADC	- Hazard Identification, Risk Assessment and Determining Controls
DOSH	- Department of Occupational Safety and Health	HIRARC	- Hazard Identification, Risk Assessment and Risk Control
DPM	- Digital Power Meter	HR	- Human Resources
EBP	- Environmental Business Plan	IDP	- Individual Development Plan
ECOMM	- Effective Communication in OSH	IETS	- Industrial Effluent Treatment System
EES	- Economic, Environmental and Social	IMS	- Integrated Management System
EIA	- Environmental Impact Assessment	IPCC	- Intergovernmental Panel on Climate Change
EMP	- Environmental Monitoring Programme	IRAT	- Incident Reporting and Analysis Technique
EMS	- Environmental Management System	IPSOS	- Institut Public de Sondage d'Opinion Secteur
EPA	- Environmental Protection Agency	iREMOTE	- Integrated Remote Monitoring Enforcement
EPF	- Employees Provident Fund	ISMS	- Information Security Management System
EQA	- Environmental Quality Act	IUCN	- International Union for Conservation of Nature
ER	- Emergency Response	JIG	- Joint Inspection Group
ERP	- Emergency Response Plan	JPJ	- Road Transport Department
ERT	- Emergency Response Team	JPJKK	- Crime Prevention and Community Safety Department
ESG	- Environmental, Social and Governance	JSA	- Job Safety Analysis
ESHC	- Effective Safety and Health Committee	JV	- Joint Venture
ESS	- Employee Self Service	KPDN	- Ministry of Domestic Trade and Cost of Living
EV	- Electric Vehicle	LDAR	- Leak Detection and Repair
E-waste	- Electronic Waste	LFO	- Light Fuel Oil
ExCITES	- Excellence, Customer Focus, Innovation, Technology, Teamwork, Ethics, and Safety	LPG	- Liquefied Petroleum Gas
GHG	- Greenhouse Gas	LPS	- Lost Prevention System
GJ	- Gigajoules	LSWR	- Low Sulphur Waxy Residue
GRI	- Global Reporting Initiative	LTi	- Lost Time Injury
GTSP	- Go-To-Safety-Point	LVN	- Light Virgin Naphtha
HAZOP	- Hazard and Operability		
HI	- Hazard Identification		



GLOSSARY

MBA	- Malaysian Biodiesel Association	OHD	- Occupational Health Doctor	PMHA	- Prime Minister's Hibiscus Award	SC	- Sustainability Council
MCCG	- Malaysian Code on Corporate Governance	OHSMS	- Occupational Health and Safety Management System	PMRMB	- Petron Malaysia Refining & Marketing Bhd	SDASA	- Sekolah Menengah Dato' Abdul Samad
MDT	- Management Development Training	OPT	- Outdoor Payment Terminal	POIMS	- Petron Operations Integrity Management System	SSD	- Safe and Defensive Driving
MIF2	- Marine Import Facility 2	OSH	- Occupational Safety and Health	POIRS	- Petron Online Incident Reporting System	SSHE	- Safety, Security, Health and Environment
MiSHA	- Malaysian Industrial Safety and Health Association	OSHA	- Occupational Safety and Health (Amendment) Act 2022	POMSB	- Petron Oil (M) Sdn. Bhd.	SKPD	- Sekolah Kebangsaan Port Dickson
ML	- Megalitres	OSH-C	- Occupational Safety and Health Coordinator	POS	- Point-of-Sale	SOx	- Sulphur Oxides
MoU	- Memorandum of Understanding	OSHE	- OSH & Environmental Management Programme	POSHCC	- Petron Malaysia's Office Safety, Health & Care Committee	SSA	- Site Security Assessment
MPA	- MiSHA Prime Award	OSHO	- Occupational Safety and Health in the Office	PPE	- Personal Protective Equipment	STPD	- Sekolah Tinggi Port Dickson
MPKS	- Kuala Selangor Municipal Council	OSHPoP	- OSH Principle of Prevention	PPT	- Petron Malaysia Peninsular Terminal	SWTE	- Scheduled Waste-to-Energy
MS	- Malaysia Standard	PAC	- PIMMAG Advisory Committee	PTPTN	- National Higher Education Fund Corporation	TNB	- Tenaga Nasional Berhad
MSME	- Micro, Small and Medium Enterprise	PCS	- Portable Container System	PWD	- Persons with Disabilities	TSA	- Total Energies Aviation
MSOSH	- Malaysian Society for Occupational Safety and Health	PD	- Port Dickson	QMS	- Quality Management System	TWG	- Technical Working Group
MSPO	- Malaysian Sustainable Palm Oil	PDPA	- Personal Data Protection Act 2010	RA	- Risk Assessment	UCUX	- You-See-You Act
MSPO SCCS	- Malaysian Sustainable Palm Oil Supply Chain Certification Standard	PDRM	- Royal Malaysia Police	RBDPO	- Refined, Bleached & Deodorised Palm Oil	UIH	- Understanding, evaluating and implementing effective HIRARC at the workplace
N ₂ O	- Nitrous Oxide	PEFC	- Programme for the Endorsement of Forest Certification	R&D	- Research and Development	UM	- University of Malaya
NHC	- New Hires Club	PEMS	- Predictive Emission Monitor System	RSP	- Road Safety Programme	UNGC	- United Nations Global Compact
NOTS	- No Oil to Sewer	PFISB	- Petron Fuel International Sdn. Bhd.	RTM	- Radio Televisyen Malaysia	UN SDG	- United Nations Sustainable Development Goal
NOx	- Nitrogen Oxides	PIMMAG	- Petroleum Industry of Malaysia Mutual Aid Group	RVM	- Reverse Vending Machine	UPM	- Universiti Putra Malaysia
NSRF	- National Sustainability Reporting Framework	PKLRC	- Petron Kuala Lumpur Recreational Club	SALT	- Safety Awareness E-learning Training	VFD	- Variable Frequency Drive
O ₂	- Oxygen	PME	- Palm Oil Methyl Ester	SBC	- Standards of Business Conduct	VIA	- Volunteerism in Action
OEM	- Original Equipment Manufacturer			SBRA	- Scenario-based Risk Assessment	WII	- Work-Related Incidents and Injury
						YHM	- Yayasan Hijau Malaysia



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